Insured Name: Shelter Mutual Insurance Company
Policy Number: CPP 6104133 - 01
Effective Date: 01/01/2026

ZURICH®

THIS DISCLOSURE IS ATTACHED TO AND MADE PART OF YOUR POLICY.

DISCLOSURE OF IMPORTANT INFORMATION RELATING TO TERRORISM RISK INSURANCE ACT

SCHEDULE*

Premium attributable to risk of loss from certified acts of terrorism for lines of insurance subject to TRIA:

Property Portfolio Protection	**$1,882.00**

*Any information required to complete this Schedule, if not shown above, will be shown in the Declarations.

A. Disclosure of Premium

In accordance with the federal Terrorism Risk Insurance Act ("TRIA"), as amended, we are required to provide you with a notice disclosing the portion of your premium, if any, attributable to the risk of loss from terrorist acts certified under that Act for lines subject to TRIA. That portion of premium attributable is shown in the Schedule above. The premium shown in the Schedule above is subject to adjustment upon premium audit, if applicable.

B. Disclosure of Federal Participation in Payment of Terrorism Losses

You should know that where coverage is provided by this policy for losses resulting from certified acts of terrorism, the United States Government may pay up to 80% of insured losses exceeding the statutorily established deductible paid by the insurance company providing the coverage.

C. Disclosure of $100 Billion Cap on All Insurer and Federal Obligations

If aggregate insured losses attributable to terrorist acts certified under TRIA exceed $100 billion in a calendar year (January 1 through December 31) and an insurer has met its deductible under the program, that insurer shall not be liable for the payment of any portion of the amount of such losses that exceeds $100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of Treasury.

D. Availability

As required by TRIA, we have made available to you for lines subject to TRIA coverage for losses resulting from acts of terrorism certified under TRIA with terms, amounts and limitations that do not differ materially from those for losses arising from events other than acts of terrorism.

E. Definition of Act of Terrorism under TRIA

TRIA defines "act of terrorism" as any act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act ("TRIA"), to be an act of terrorism. The Terrorism Risk Insurance Act provides that the Secretary of Treasury shall certify an act of terrorism:

1. To be an act of terrorism;

2. To be a violent act or an act that is dangerous to human life, property or infrastructure;

3. To have resulted in damage within the United States, or outside of the United States in the case of an air carrier (as defined in section 40102 of Title 49, United States Code) or a United States flag vessel (or a vessel based principally in the United States, on which United States income tax is paid and whose insurance coverage is subject to regulation in the United States), or the premises of a United States mission; and

4. To have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

No act may be certified as an act of terrorism if the act is committed as part of the course of a war declared by Congress (except for workers' compensation) or if losses resulting from the act, in the aggregate for insurance subject to TRIA, do not exceed $5,000,000.

CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM

Policy No.	Eff. Date of Pol.	Exp. Date of Pol.	Eff. Date of End.	Producer No.	Add'l. Prem	Return Prem.
CPP 6104133 - 01	01/01/2026	01/01/2027		33559000		

THIS ENDORSEMENT CHANGES YOUR POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies your insurance:

A. Cap on Losses From Certified Terrorism Losses

“Certified act of terrorism” means an act that is certified by the Secretary of the Treasury, in accordance with provisions of the federal Terrorism Risk Insurance Act (“TRIA”), to be an act of terrorism. The Terrorism Risk Insurance Act provides that the Secretary of Treasury shall certify an act of terrorism:

1. To be an act of terrorism;
2. To be a violent act or an act that is dangerous to human life, property or infrastructure;
3. To have resulted in damage within the United States, or outside of the United States in the case of an air carrier (as defined in section 40102 of Title 49, United States Code) or a United States flag vessel (or a vessel based principally in the United States, on which United States income tax is paid and whose insurance coverage is subject to regulation in the United States), or the premises of a United States mission; and
4. To have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

No act may be certified as an act of terrorism if the act is committed as part of the course of a war declared by Congress (except for workers’ compensation) or if losses resulting from the act, in the aggregate for insurance subject to TRIA, do not exceed $5,000,000.

If aggregate insured losses attributable to one or more "certified acts of terrorism" exceed $100 billion in a calendar year (January 1 through December 31) and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds $100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of Treasury.

B. Application of Other Exclusions

The terms and limitations of a terrorism exclusion or any other exclusion, or the inapplicability or omission of a terrorism exclusion or any other exclusion, do not serve to create coverage which would otherwise be excluded, limited or restricted under this policy.

Disclosure Statement

ZURICH®

It is our pleasure to present the enclosed policy to you for presentation to your customer.

INSTRUCTION TO AGENT OR BROKER

WE REQUIRE THAT YOU TRANSMIT THE ATTACHED/ENCLOSED DISCLOSURE STATEMENT TO THE CUSTOMER WITH THE POLICY.

Once again, thank you for your interest, and we look forward to meeting your needs and those of your customers.

Disclosure Statement

ZURICH®

NOTICE OF DISCLOSURE FOR AGENT & BROKER COMPENSATION

If you want to learn more about the compensation Zurich pays agents and brokers visit:

https://www.zurichna.com/producercompensation

or call the following toll-free number: (866) 903-1192.

This Notice is provided on behalf of Zurich American Insurance Company

and its underwriting subsidiaries.

COMMON POLICY DECLARATIONS

Policy Number CPP 6104133 - 01

Renewal of Number CPP 6104133 - 00

Named Insured and Mailing Address

Shelter Mutual Insurance Company
(SEE NAMED INSURED ENDT)
1817 West Broadway
Columbia, MO 65203-1107

Producer and Mailing Address

AON RISK SERVICES CENTRAL INC
4220 DUNCAN AVE STE 401
SAINT LOUIS, MO 63110-1108

Producer Code 33559000

Policy Period: Coverage begins 01/01/2026 at 12:01 A.M.; Coverage ends 01/01/2027 at 12:01 A.M.

The named insured is ☐ Individual ☐ Partnership ☒ Corporation
☐ Other:

This insurance is provided by one or more of the stock insurance companies which are members of the Zurich-American Insurance Group. The company that provides coverage is designated on each Coverage Part Common Declarations. The company or companies providing this insurance may be referred to in this policy as "The Company", we, us, or our. The address of the companies of the Zurich-American Insurance Group are provided on the next page.

THIS POLICY CONSISTS OF THE FOLLOWING COVERAGE(S):

Property Portfolio Protection	PREMIUM	$	96,155.00
issued by Zurich American Insurance Company			
THIS PREMIUM MAY BE SUBJECT TO AUDIT This premium does not include Taxes and Surcharges.	**TOTAL**	$	96,155.00
Taxes and Surcharges	**TOTAL**	$	127.67
			See Taxes, Surcharges or Fees Schedule

The Form(s) and Endorsement(s) made a part of this policy at the time of issue are listed on the **SCHEDULE of FORMS and ENDORSEMENTS**.

Countersigned this day of

Authorized Representative

THESE DECLARATIONS TOGETHER WITH THE COMMON POLICY CONDITIONS, COVERAGE PART DECLARATIONS, COVERAGE PART FORM(S), FORMS AND ENDORSEMENTS, IF ANY,ISSUED TO FORM A PART THEREOF, COMPLETE THE ABOVE NUMBERED POLICY.

Policy Number CPP 6104133 - 01

KENTUCKY MUNICIPAL TAX SCHEDULE

Named Insured Shelter Mutual Insurance Company

Effective Date: 01/01/2026
12:01 A.M., Standard Time

Agent Name AON RISK SERVICES CENTRAL INC

Agent No. 33559000

TAX JURISDICTION	TAX AMOUNT
15: 1121 Monarch Street, Lexington, KY 40513-1889 (Insurance Surcharge)	$ 28.67
KY Collection Fee	$ 13.00
LexingtonCityTax ,KY	$ 84.00

The amount displayed includes tax and collection fees.

Policy Number **CPP 6104133 - 01**

SCHEDULE OF TAXES, SURCHARGES OR FEES

Named Insured Shelter Mutual Insurance Company

Effective Date: 01/01/2026
12:01 A.M., Standard Time

Agent Name AON RISK SERVICES CENTRAL INC

Agent No. 33559000

CO - Real and Personal Property (CO Hazard Mitigation Fee)	$	2.00
KY - 15: 1121 Monarch Street, Lexington, KY 40513-1889 (Insurance Surcharge)	$	28.67
KY - FayetteTax ,KY	$	0.00
KY - KY Collection Fee	$	13.00
KY - LexingtonCityTax ,KY	$	84.00

Policy Number

CPP 6104133 - 01

SCHEDULE OF FORMS AND ENDORSEMENTS

Named Insured Shelter Mutual Insurance Company

Effective Date: 01/01/2026
12:01 A.M., Standard Time

Agent Name AON RISK SERVICES CENTRAL INC

Agent No. 33559000

Common Policy Forms and Endorsements

U-GU-630-E CW	01/20	Disclosure of Important Information Relating to Terrorism Risk Insurance Act
U-GU-767-B CW	01/15	Cap On Losses From Certified Acts Of Terrorism
U-GU-D-310-A	01/93	Common Policy Declarations
KY-TAX-FORM	12/08	Kentucky Municipal Tax Schedule
U-GU-616-A CW	10/02	Schedule of Taxes, Surcharges or Fees
U-GU-619-A CW	10/02	Schedule of Forms and Endorsements
U-GU-319-F	01/09	Important Notice - In Witness Clause
U-GU-621-A CW	10/02	Schedule Of Named Insured(s)
U-GU-618-A CW	10/02	Schedule of Locations
IL 00 17	11/98	Common Policy Conditions
IL 01 05	10/08	Missouri Changes - Pollution
IL 01 92	02/08	Indiana Changes - Pollution
IL 02 74	02/13	Missouri Changes - Cancellation And Nonrenewal
IL 00 03	09/08	Calculation Of Premium
U-GU-1191-A CW	03/15	Sanctions Exclusion Endorsement
U-GU-2126-A	02/25	Important Notice - Consumer Complaints
U-GU-832-A MO	07/09	Notice to Missouri Policyholder

Property Portfolio Protection Forms and Endorsements

PPP-0001	06/06	Commercial Property Coverage Part Declarations
PPP-D-1000	08/22	Property Schedule Of Premises
PPP-0102	08/22	Commercial Property Conditions
PPP-0103	08/22	Commercial Property Definitions
PPP-0110	08/22	Real and Personal Property Coverage Form
PPP-0130	08/22	Business Income Coverage Form (Including Extra Expense)
PPP-0226	08/22	Wind/Hail Deductible
PPP-0304	08/22	Earth Movement Coverage
PPP-0308	08/22	Enabling Endorsement

Policy Number

CPP 6104133 - 01

SCHEDULE OF FORMS AND ENDORSEMENTS

Named Insured Shelter Mutual Insurance Company

Effective Date: 01/01/2026
12:01 A.M., Standard Time

Agent Name AON RISK SERVICES CENTRAL INC

Agent No. 33559000

PPP-0310	08/22	Flood Coverage
PPP-0402	08/22	Financial Institution Coverage
PPP-0415	08/22	Tenant Relocation & Replacement Expense Coverage
PPP-1546	10/25	Ordinance or Law Limits Inclusion
PPP-0503	08/22	Mine Subsidence Schedule
PPP-1031	10/24	Arkansas Changes
PPP-1121	08/22	Illinois Changes
PPP-1122	08/22	Illinois Changes -- Mine Subsidence
PPP-1151	08/22	Kansas Changes
PPP-1171	08/22	Louisiana Changes
PPP-1231	08/22	Mississippi Changes
PPP-1241	08/22	Missouri Changes
PPP-1261	08/22	Nebraska Changes - Appraisal
PPP-1351	08/22	Oklahoma Changes - Appraisal
CP 01 28	07/00	Missouri - Calculation of Additional Premium
Inland Marine Forms and Endorsements		
IM 2250	07/13	Pollutant -- Amended Definition

Important Notice - In Witness Clause

ZURICH®

In return for the payment of premium, and subject to the terms of this policy, coverage is provided as stated in this policy.

IN WITNESS WHEREOF, this Company has executed and attested these presents and, where required by law, has caused this policy to be countersigned by its duly Authorized Representative(s).

President

Corporate Secretary

QUESTIONS ABOUT YOUR INSURANCE? Your agent or broker is best equipped to provide information about your insurance. Should you require additional information or assistance in resolving a complaint, call or write to the following (please have your policy or claim number ready):

Zurich in North America
Customer Inquiry Center
1299 Zurich Way
Schaumburg, Illinois 60196-1056
1-800-382-2150 (Business Hours: 8am - 4pm [CT])
Email: info.source@zurichna.com

Policy Number

CPP 6104133 - 01

SCHEDULE OF NAMED INSURED(S)

Named Insured Shelter Mutual Insurance Company

Effective Date: 01/01/2026
12:01 A.M., Standard Time

Agent Name AON RISK SERVICES CENTRAL INC

Agent No. 33559000

NAMED INSURED

Shelter Mutual Insurance Company

Shelter Enterprises, L.L.C.

Haulers Insurance Company, Inc.

AmShield Insurance Company

Shelter Investments, L.L.C.

Daniel Boone Agency, L.L.C.

Shelter Life Insurance Company

Shelter General Insurance Company

Shelter Reinsurance Company

Shelter Benefits Management Inc.

Shelter Financial Services, Inc.

Policy Number

CPP 6104133 - 01

SCHEDULE OF LOCATIONS

Named Insured Shelter Mutual Insurance Company

Effective Date: 01/01/2026
12:01 A.M., Standard Time

Agent Name AON RISK SERVICES CENTRAL INC

Agent No. 33559000

Loc. No.	Bldg. No.	Designated Locations (Address, City, State, ZIP Code)	Occupancy
001		1709 East Highland Drive Jonesboro, AR 72401-6128	
001	001	1709 East Highland Drive Jonesboro, AR 72401-6128	
002		5225 West Sunset Avenue Springdale, AR 72762-0738	
002	001	5225 West Sunset Avenue Springdale, AR 72762-0738	
003		83 Centennial Boulevard Highlands Ranch, CO 80129-2323	
003	001	83 Centennial Boulevard Highlands Ranch, CO 80129-2323	
004		8891 Allisonville Road Indianapolis, IN 46250-1362	
004	001	8891 Allisonville Road Indianapolis, IN 46250-1362	
005		2701 Southwest Wanamaker Road Topeka, KS 66614-4265	
005	001	2701 Southwest Wanamaker Road Topeka, KS 66614-4265	
006		1817 West Broadway Columbia, MO 65203-1107	
006	001	1817 West Broadway Columbia, MO 65203-1107	
006	002	1817 West Broadway Columbia, MO 65203-1107	
006	003	1817 West Broadway Columbia, MO 65203-1107	
007		1729 West Broadway Columbia, MO 65203-1190	
007	001	1729 W BROADWAY Columbia, MO 65203-1190	
007	002	1729 E BROADWAY Columbia, MO 65203-1190	

Policy Number

CPP 6104133 - 01

SCHEDULE OF LOCATIONS

Named Insured Shelter Mutual Insurance Company

Effective Date: 01/01/2026
12:01 A.M., Standard Time

Agent Name AON RISK SERVICES CENTRAL INC

Agent No. 33559000

Loc. No.	Bldg. No.	Designated Locations (Address, City, State, ZIP Code)	Occupancy
007	003	1729 W BROADWAY Columbia, MO 65203-1190	
008		1900 West Worley Street Columbia, MO 65203-1040	
008	001	1900 West Worley Street Columbia, MO 65203-1040	
009		1905 West Ash Street Columbia, MO 65203-1151	
009	001	1905 West Ash Street Columbia, MO 65203-1151	
009	002	1905 West Ash Street Columbia, MO 65203-1151	
010		COLUMBIA REGIONAL AIRPORT COLUMBIA, MO 65201	
010	001	COLUMBIA REGIONAL AIRPORT COLUMBIA, MO 65201	
011		4901 Northeast Lakewood Way Lee's Summit, MO 64064-1987	
011	001	4901 Northeast Lakewood Way Lee's Summit, MO 64064-1987	
012		7001 Pioneers Boulevard Lincoln, NE 68506-4630	
012	001	7001 Pioneers Boulevard Lincoln, NE 68506-4630	
013		8308 East 91st Street Tulsa, OK 74133-5639	
013	001	8308 East 91st Street Tulsa, OK 74133-5639	
014		3167 Robbins Road Springfield, IL 62704-6553	
014	001	3167 Robbins Road Springfield, IL 62704-6553	
015		1121 Monarch Street Lexington, KY 40513-1889	

Policy Number

CPP 6104133 - 01

SCHEDULE OF LOCATIONS

Named Insured Shelter Mutual Insurance Company

Effective Date: 01/01/2026
12:01 A.M., Standard Time

Agent Name AON RISK SERVICES CENTRAL INC

Agent No. 33559000

Loc. No.	Bldg. No.	Designated Locations (Address, City, State, ZIP Code)	Occupancy
015	001	1121 Monarch Street Lexington, KY 40513-1889	
016		4757 O'Neal Lane Baton Rouge, LA 70817-1638	
016	001	4757 O'Neal Lane Baton Rouge, LA 70817-1638	
017		2001 West Broadway Columbia, MO 65203-1111	
017	001	2001 West Broadway Columbia, MO 65203-1111	
018		2003 West Broadway Columbia, MO 65203-1100	
018	001	2003 West Broadway Columbia, MO 65203-1100	
019		2005 West Broadway Columbia, MO 65203-1298	
019	001	2005 West Broadway Columbia, MO 65203-1298	
020		6300 Diagonal Highway Boulder, CO 80301-9270	
020	001	6300 Diagonal Highway Boulder, CO 80301-9270	
021		595 Steed Road Ridgeland, MS 39157-1704	
021	001	595 Steed Road Ridgeland, MS 39157-1704	
022		1820 West Ash Street Columbia, MO 65203-1133	
022	001	1820 West Ash Columbia, MO 65203-1133	
023		4925 South National Avenue Springfield, MO 65810-2989	
023	001	4925 South National Avenue Springfield, MO 65810-2989	

Policy Number

CPP 6104133 - 01

SCHEDULE OF LOCATIONS

Named Insured Shelter Mutual Insurance Company

Effective Date: 01/01/2026
12:01 A.M., Standard Time

Agent Name AON RISK SERVICES CENTRAL INC

Agent No. 33559000

Loc. No.	Bldg. No.	Designated Locations (Address, City, State, ZIP Code)	Occupancy
024		12615 Chenal Parkway Little Rock, AR 72211-3361	
024	001	12615 Chenal Parkway Little Rock, AR 72211-3361	
025		4068 Rural Plains Circle Franklin, TN 37064-1962	
025	001	4068 Rural Plains Circle Franklin, TN 37064-1962	
026		1101 New Highway 7 Columbia, TN 38401-6664	
026	001	1101 New Highway 7 Columbia, TN 38401-6664	
027		1671 West Horizon Ridge Parkway Henderson, NV 89012-3522	
027	001	1671 W. Horizon Ridge Parkway, Suites 101-120, 111 Henderson, NV 89012-3522	
028		13194 North Macarthur Boulevard Oklahoma City, OK 73142	
028	001	13194 N MacArthur Blvd Oklahoma City, OK 73142	
029		2504 Keith Drive Columbia, TN 38401-4361	
029	001	2504 Keith Dr Columbia, TN 38401-4361	

COMMON POLICY CONDITIONS

All Coverage Parts included in this policy are subject to the following conditions.

A. Cancellation

1. The first Named Insured shown in the Declarations may cancel this policy by mailing or delivering to us advance written notice of cancellation.

2. We may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least:

a. 10 days before the effective date of cancellation if we cancel for nonpayment of premium; or

b. 30 days before the effective date of cancellation if we cancel for any other reason.

3. We will mail or deliver our notice to the first Named Insured's last mailing address known to us.

4. Notice of cancellation will state the effective date of cancellation. The policy period will end on that date.

5. If this policy is cancelled, we will send the first Named Insured any premium refund due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund may be less than pro rata. The cancellation will be effective even if we have not made or offered a refund.

6. If notice is mailed, proof of mailing will be sufficient proof of notice.

B. Changes

This policy contains all the agreements between you and us concerning the insurance afforded. The first Named Insured shown in the Declarations is authorized to make changes in the terms of this policy with our consent. This policy's terms can be amended or waived only by endorsement issued by us and made a part of this policy.

C. Examination Of Your Books And Records

We may examine and audit your books and records as they relate to this policy at any time during the policy period and up to three years afterward.

D. Inspections And Surveys

1. We have the right to:

a. Make inspections and surveys at any time;

b. Give you reports on the conditions we find; and

c. Recommend changes.

2. We are not obligated to make any inspections, surveys, reports or recommendations and any such actions we do undertake relate only to insurability and the premiums to be charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. And we do not warrant that conditions:

a. Are safe or healthful; or

b. Comply with laws, regulations, codes or standards.

3. Paragraphs **1.** and **2.** of this condition apply not only to us, but also to any rating, advisory, rate service or similar organization which makes insurance inspections, surveys, reports or recommendations.

4. Paragraph **2.** of this condition does not apply to any inspections, surveys, reports or recommendations we may make relative to certification, under state or municipal statutes, ordinances or regulations, of boilers, pressure vessels or elevators.

E. Premiums

The first Named Insured shown in the Declarations:

1. Is responsible for the payment of all premiums; and

2. Will be the payee for any return premiums we pay.

F. Transfer Of Your Rights And Duties Under This Policy

Your rights and duties under this policy may not be transferred without our written consent except in the case of death of an individual named insured.

If you die, your rights and duties will be transferred to your legal representative but only while acting within the scope of duties as your legal representative. Until your legal representative is appointed, anyone having proper temporary custody of your property will have your rights and duties but only with respect to that property.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

MISSOURI CHANGES – POLLUTION

This endorsement modifies insurance provided under the following:

CAPITAL ASSETS PROGRAM (OUTPUT POLICY) COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
FARM COVERAGE PART
FARM UMBRELLA LIABILITY POLICY
STANDARD PROPERTY POLICY

In this Coverage Part or Policy, any exclusion, limitation or other provision relating to pollutants ("pollutants"), or any amendment to or replacement of such exclusions, limitations or other provisions, applies whether or not the irritant or contaminant has any function in or on your business, operations, premises, site or location.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

INDIANA CHANGES – POLLUTION

This endorsement modifies insurance provided under the following:

CAPITAL ASSETS PROGRAM (OUTPUT POLICY) COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
FARM COVERAGE PART
STANDARD PROPERTY POLICY

In this Coverage Part or Policy, any exclusion, limitation or other provision relating to pollutants ("pollutants"), or any amendment to or replacement of such exclusions, limitations or other provisions, applies whether or not the irritant or contaminant has any function in your business, operations, premises, site or location.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

MISSOURI CHANGES – CANCELLATION AND NONRENEWAL

This endorsement modifies insurance provided under the following:

CAPITAL ASSETS PROGRAM (OUTPUT POLICY) COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
COMMERCIAL INLAND MARINE COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
CRIME AND FIDELITY COVERAGE PART
EMPLOYMENT-RELATED PRACTICES LIABILITY COVERAGE PART
EQUIPMENT BREAKDOWN COVERAGE PART
FARM COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
MEDICAL PROFESSIONAL LIABILITY COVERAGE PART
POLLUTION LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART

A. When this endorsement is attached to the Standard Property Policy **CP 00 99,** the term Commercial Property Coverage Part in this endorsement also refers to the Standard Property Policy.

B. With respect to the:

Commercial General Liability Coverage Part

Commercial Property – Legal Liability Coverage Form **CP 00 40**

Commercial Property – Mortgageholders Errors And Omissions Coverage Form **CP 00 70**

Crime And Fidelity Coverage Part

Employment-Related Practices Liability Coverage Part

Equipment Breakdown Coverage Part

Farm Liability Coverage Form

Liquor Liability Coverage Part

Pollution Liability Coverage Part

Products/Completed Operations Liability Coverage Part

Medical Professional Liability Coverage Part;

the following **Cancellation** and **Nonrenewal** Provisions apply:

Paragraph **2.** of the **Cancellation** Common Policy Condition is replaced by the following:

2. We may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation, stating the actual reason for cancellation, at least:

a. 10 days before the effective date of cancellation if we cancel for nonpayment of premium;

b. 30 days before the effective date of cancellation if cancellation is for one or more of the following reasons:

(1) Fraud or material misrepresentation affecting this policy or a claim filed under this policy or a violation of any of the terms or conditions of this policy;

(2) Changes in conditions after the effective date of this policy which have materially increased the risk assumed;

(3) We become insolvent; or

(4) We involuntarily lose reinsurance for this policy;

c. 60 days before the effective date of cancellation if we cancel for any other reason.

Nonrenewal

The following is added and supersedes any provision to the contrary:

a. We may elect not to renew this policy by mailing or delivering to the first Named Insured, at the last mailing address known to us, written notice of nonrenewal, stating the actual reason for nonrenewal, at least 60 days prior to the effective date of the nonrenewal.

b. If notice is mailed, proof of mailing will be sufficient proof of notice.

C. With respect to the:

Capital Assets Program (Output Policy) Coverage Part

Commercial Inland Marine Coverage Part

Commercial Property Coverage Part

Farm Property – Other Farm Provisions Form – Additional Coverages, Conditions, Definitions Coverage Form

Farm – Livestock Coverage Form

Farm – Mobile Agricultural Machinery And Equipment Coverage Form;

Paragraphs **1., 2., 3., 4.** and **6.** of the **Cancellation** Common Policy Condition are replaced by the following:

Cancellation, Nonrenewal And Decreases In Coverage

1. The first Named Insured shown in the Declarations may cancel this policy by mailing or delivering to us advance written notice of cancellation.

2. We may cancel, nonrenew, reduce in amount or adversely modify this policy by mailing or delivering to the first Named Insured written notice of this action at-least:

a. 10 days before the effective date of this action if due to nonpayment of premium or evidence of incendiarism; or

b. 30 days before the effective date of this action if for any other reason.

3. We will mail or deliver our notice to the first Named Insured's last mailing address known to us.

4. Notice of:

a. Cancellation will state the effective date of cancellation. The policy period will end on that date.

b. Any other action will state the effective date of that action.

6. If notice is mailed, proof of mailing will be sufficient proof of notice.

D. With respect to all Coverage Parts addressed in this endorsement, Paragraph **5.** of the **Cancellation** Common Policy Condition is replaced by the following:

5. If this policy is cancelled, we will send the first Named Insured any premium refund due. The cancellation will be effective even if we have not made or offered a refund. The following provisions govern calculation of return premium:

a. We will compute return premium pro rata and round to the next higher whole dollar when this policy is:

(1) Cancelled by us or at our request;

(2) Cancelled because you no longer have a financial or insurable interest in the property or business operation that is the subject of this insurance;

(3) Cancelled but rewritten with us or in our company group; or

(4) Cancelled after the first year, if it is a prepaid policy written for a term of more than one year.

b. When this policy is cancelled at the request of the first Named Insured (except when Paragraph **a.(2), a.(3)** or **a.(4)** applies), we will return 90% of the pro rata unearned premium (or 75% of the pro rata unearned premium for the Equipment Breakdown Coverage Part), rounded to the next higher whole dollar. However, when such cancellation takes place during the first year of a multiyear prepaid policy, we will return the full annual premium for the subsequent years.

The refund will be less than 90% of the pro rata unearned premium (or less than 75% of the pro rata unearned premium for the Equipment Breakdown Coverage Part) if the refund of such amount would reduce the premium retained by us to an amount less than the minimum premium for this policy.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

CALCULATION OF PREMIUM

This endorsement modifies insurance provided under the following:

CAPITAL ASSETS PROGRAM (OUTPUT POLICY) COVERAGE PART
COMMERCIAL AUTOMOBILE COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
COMMERCIAL INLAND MARINE COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
CRIME AND FIDELITY COVERAGE PART
EMPLOYMENT-RELATED PRACTICES LIABILITY COVERAGE PART
EQUIPMENT BREAKDOWN COVERAGE PART
FARM COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
MEDICAL PROFESSIONAL LIABILITY COVERAGE PART
OWNERS AND CONTRACTORS PROTECTIVE LIABILITY COVERAGE PART
POLLUTION LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART

The following is added:

The premium shown in the Declarations was computed based on rates in effect at the time the policy was issued. On each renewal, continuation, or anniversary of the effective date of this policy, we will compute the premium in accordance with our rates and rules then in effect.

Sanctions Exclusion Endorsement

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

The following exclusion is added to the policy to which it is attached and supersedes any existing sanctions language in the policy, whether included in an Exclusion Section or otherwise:

SANCTIONS EXCLUSION

Notwithstanding any other terms under this policy, we shall not provide coverage nor will we make any payments or provide any service or benefit to any insured, beneficiary, or third party who may have any rights under this policy to the extent that such cover, payment, service, benefit, or any business or activity of the insured would violate any applicable trade or economic sanctions law or regulation.

The term policy may be comprised of common policy terms and conditions, the declarations, notices, schedule, coverage parts, insuring agreement, application, enrollment form, and endorsements or riders, if any, for each coverage provided. Policy may also be referred to as contract or agreement.

We may be referred to as insurer, underwriter, we, us, and our, or as otherwise defined in the policy, and shall mean the company providing the coverage.

Insured may be referred to as policyholder, named insured, covered person, additional insured or claimant, or as otherwise defined in the policy, and shall mean the party, person or entity having defined rights under the policy.

These definitions may be found in various parts of the policy and any applicable riders or endorsements.

All other terms and conditions of this policy remain unchanged.

Important Notice – Consumer Complaints

KEEP THIS NOTICE WITH YOUR INSURANCE PAPERS

Problems with your Insurance? Your satisfaction is very important to us. If you are having problems with your insurance, do not hesitate to contact us to resolve your problem.

In the event you need to contact someone about this insurance for any reason, please contact your agent or broker. If no agent was involved in the sale of this insurance, or if you have additional questions you may contact us at:

Consumer Inquiry Center

Zurich North America

1299 Zurich Way

Schaumburg, IL 60196-1056

(800) 382-2150

Email: info.source@zurichna.com

Please have your policy number available.

If you have been unable to contact or obtain satisfaction from your agent or your company, you may contact the Department of Insurance. The Department of Insurance enforces insurance laws and addresses insurance complaints.

1. **Arkansas**

   Arkansas Insurance Department
   1 Commerce Way, Suite 102
   Little Rock, AR 72202
   1-800-852-5494
   501-371-2640

2. **Florida**

   Office of Insurance Regulation
   200 East Gaines Street
   Tallahassee, FL 32399
   850-413-3140

3. **Illinois**

   Illinois Department of Insurance

Consumer Division
115 S. LaSalle St.
13th Floor
Chicago, IL 60603

or

Illinois Department of Insurance
320 West Washington St.
Springfield, IL 62727

4. **Indiana**

   State of Indiana Department of Insurance
   Consumer Services Division
   311 West Washington St., Suite 300
   Indianapolis, IN 42604

   Consumer Hotline: (800) 622-4461 or 317-232-2395
   Complaints may be filed electronically at www.in.gov/idoi.

5. **Virginia**

   Bureau of Insurance
   P.O. Box 1157
   Richmond, VA 23218
   1-800-552-7945
   804-371-9741

   Written correspondence is preferable so that a record of your inquiry is maintained.

6. **Wisconsin**

   Office of the Commissioner of Insurance
   Complaints Department
   101 E. Wilson St.
   Madison, WI 53703
   1-800-236-8517
   608-266-0103
   Complaints may be filed electronically at www.oci.wi.gov/.

Notice to Missouri Policyholder

ZURICH®

The Insurer is a member of the Missouri Property and Casualty Guaranty Association (hereinafter known as Association).

1. Under Section 375.772 2.(7) of the Revised Statutes of Missouri (RSMO), claims covered by the Act do not include a **claim** by or against an **Insured** or an insolvent Insurer if that **Insured** has a net worth of $25 million on the date the Insurer becomes insolvent.

2. Under Section 375.775.1(1) (RSMO), the Association's obligation includes only the amount of each covered **claim** which is less than $300,000. However, the Association will not:

a. Be obligated to an **Insured** or claimant in excess of the limits of liability of the policy from which the **claim** arises; or

b. Return to the **Insured** any unearned premium in excess of $25,000.

Commercial Property Coverage Part Declarations

Zurich American Insurance Company

NAMED INSURED:

Shelter Mutual Insurance Company

POLICY PERIOD:

From: 01/01/2026 To: 01/01/2027

12:01 A.M. STANDARD TIME AT YOUR MAILING ADDRESS

POLICY NUMBER: CPP 6104133 - 01

See Property Schedule of Premises

Commercial Property Coverage Part Declarations

Zurich American Insurance Company

NAMED INSURED:

Shelter Mutual Insurance Company

POLICY PERIOD:

From: 01/01/2026 To: 01/01/2027

12:01 A.M. STANDARD TIME AT YOUR MAILING ADDRESS

POLICY NUMBER: CPP 6104133 - 01

BLANKET LIMITS OF INSURANCE

The Limits of Insurance shown below are the most we will pay for direct physical loss of or damage in any one **occurrence** for **real property**, **personal property**, **business income** or **extra expense** as described at a **premises** for which the Limit of Insurance is shown as Blanket. If a more specific Limit of Insurance is shown for **real property**, **personal property**, **business income** or **extra expense** at a **premises** shown on the Property Schedule of Premises, that Limit of Insurance replaces, and is not in addition to, the Blanket Limit of Insurance. For **real property**, **personal property**, **business income** or **extra expense** shown as **NCP** on the Property Schedule of Premise, no coverage will apply for that coverage at that **premises**. Where used "NCP" means **NCP**.

Real Property and Personal Property Blanket Limit of Insurance	$ 197,628,608
Business Income and Extra Expense Blanket Limit of Insurance	$ 7,482,330

Commercial Property Coverage Part Declarations

Zurich American Insurance Company

NAMED INSURED:

Shelter Mutual Insurance Company

POLICY PERIOD:

From: 01/01/2026 To: 01/01/2027

12:01 A.M. STANDARD TIME AT YOUR MAILING ADDRESS

POLICY NUMBER: CPP 6104133 - 01

ADDITIONAL COVERAGES -- LIMITS OF INSURANCE

The Limits of Insurance shown below are the most we will pay for the Additional Coverage indicated in any one **occurrence** unless otherwise shown. If a more specific Limit of Insurance applies to an Additional Coverage at a specific **premises**, that Additional Coverage Limit of Insurance will be shown on the Schedule of Premises for that **premises**. That specific Limit of Insurance will replace and is not in addition to the Limits of Insurance shown below for that specified **premises**. If any Additional Coverage is shown as **NCP**, then no coverage is available for that Additional Coverage. Where used "NCP" means **NCP**.

COVERAGE		LIMIT OF INSURANCE	
Accounts Receivable	$	5,000,000	Per Occurrence
Better Green™			
Better Green™ Upgrade Property Damage and Time Element	$	100,000	Per Premises
Pre-Certified Better Green™ Enhancement Property Damage and Time Element	$	100,000	Per Premises
Brands And Labels			Covered
Civil Authority	$	1,000,000	30 Days - 1 Miles
Contaminant Clean Up And Removal – Land And Water	$	100,000	Per Premises Annual Aggregate
Contractual Penalties	$	25,000	Per Occurrence
Debris Removal			
Debris Removal – Covered Property			Covered
Debris Removal – Supplemental Limit	$	250,000	Per Occurrence
Debris Removal – Uncovered Property	$	2,500	Per Occurrence
Decontamination Expense	$	50,000	Per Premises
Deferred Payments	$	50,000	Per Occurrence
Dependent Premises Business Income And Extra Expense – Unscheduled Locations	$	250,000	Per Occurrence
Electronic Vandalism – Limited Coverage – Property Damage And Business Income Combined		"NCP"	
Equipment Breakdown			Covered
Expediting Expense	$	100,000	Per Premises
Expense To Reduce Loss			Covered
Extended Period Of Indemnity		365	Days
Fairs Or Exhibitions			

Commercial Property Coverage Part Declarations

Zurich American Insurance Company

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POLICY NUMBER: CPP 6104133 - 01

ADDITIONAL COVERAGES -- LIMITS OF INSURANCE

COVERAGE		LIMIT OF INSURANCE	
Personal Property	$	50,000	Per Occurrence
Business Income And Extra Expense	$	10,000	Per Occurrence
Fine Arts	$	100,000	Per Occurrence
Fire Department Service Charge	$	250,000	Per Premises
Fire Protective Equipment Refills			Covered
Fungus, Wet Rot or Dry Rot			
Direct Damage	$	50,000	Annual Aggregate
Business Income and Extra Expense	$	25,000	Annual Aggregate
Inflation Guard			
Real Property		4	% Annual
Personal Property		4	% Annual
Ingress/Egress	$	1,000,000	30 Days - 1 Miles
Installation or Service Property			
Stock	$	25,000	Per Occurrence
Tools And Equipment	$	10,000	Per Occurrence
	$	1,000	Any One Item
Leasehold Interest	$	100,000	Per Premises
Lock And Key Replacement	$	25,000	Per Premises
Loss Prevention Expense	$	250,000	Annual Aggregate after $1,000 Per Occurrence
Mobile Communication Property – Worldwide – Property Damage And Time Element	$	25,000	Per Occurrence
Newly Acquired Premises			
Real Property	$	2,500,000	180 Days Per Premises
Personal Property	$	1,000,000	180 Days Per Premises
Business Income	$	1,000,000	180 Days Per Premises
Newly Acquired Property			
Real Property	$	1,000,000	180 Days Per Premises
Personal Property	$	1,000,000	180 Days Per Premises

Commercial Property Coverage Part Declarations

Zurich American Insurance Company

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POLICY NUMBER: CPP 6104133 - 01

ADDITIONAL COVERAGES -- LIMITS OF INSURANCE

COVERAGE	LIMIT OF INSURANCE		
Ordinance or Law			
Undamaged			Covered
Demolition			Covered
Increased Cost Of Construction			Covered
Increased Period Of Restoration			Covered
Outdoor Trees, Shrubs, Plants, or Lawns	$	250,000	Per Premises
	$	5,000	Any one Tree, Shrub or Plant
Pair Or Set	$	250,000	Per Premises
Preservation Of Property	$	250,000	Per Occurrence
Professional Fees	$	25,000	Per Occurrence
Release Of Refrigerant	$	25,000	Per Premises
Reported Unscheduled Premises			
Real Property		"NCP"	
Personal Property		"NCP"	
Business Income		"NCP"	
Reward Payments	$	25,000	Per Occurrence
Salesperson Samples	$	100,000	Per Occurrence
Sewer, Drain Or Sump Non-Flood Related			Covered
Spoilage – Equipment Breakdown	$	100,000	Per Premises
Tenant Relocation Expense	$	25,000	Any One Tenant
	$	25,000	Per Occurrence
Tenant Replacement Expense	$	25,000	Per Occurrence
Theft Damage To Buildings			Covered
Transit			
Personal Property	$	100,000	Per Occurrence
Business Income And Extra Expense	$	10,000	Per Occurrence
Undamaged Improvements and Betterments	$	250,000	Per Premises

Commercial Property Coverage Part Declarations

Zurich American Insurance Company

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ADDITIONAL COVERAGES -- LIMITS OF INSURANCE

COVERAGE	LIMIT OF INSURANCE		
Unintentional Errors and Omissions – Property Damage And Time Element Combined	$	1,000,000	Per Occurrence
Unreported Premises			
Real Property	$	100,000	Per Unreported Premises
Personal Property	$	250,000	Per Unreported Premises
Business Income And Extra Expense	$	50,000	Per Unreported Premises
Utility Service Interruption			
Property Damage	$	1,000,000	Per Occurrence
Business Income And Extra Expense	$	1,000,000	Per Occurrence
Valuable Papers And Records	$	2,500,000	Per Occurrence

Commercial Property Coverage Part Declarations

Zurich American Insurance Company

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DEDUCTIBLES

POLICY DEDUCTIBLES

Property Deductible	$250,000 Per Occurrence

The above deductible applies to all loss, damage, cost or expense covered by this Commercial Property Coverage Part, unless a specific coverage deductible is shown elsewhere on this Declarations, the Property Schedule of Premises Deductibles or an endorsement.

Business Income Waiting Period	24 Hours

The above waiting period applies to all loss, damage, cost or expense covered by Business Income Coverage, unless a more specific deductible is shown on the Property Schedule of Premises or an endorsement.

Transit	$5,000 Per Occurrence

The above deductible applies to all loss or damage to **covered property** in Transit, unless a specific coverage deductible is shown elsewhere in this declarations or in an endorsement.

Utility Service Interruption Waiting Period	24 Hours

The above waiting period applies to all loss, damage, cost or expense covered by Utility Service Interruption- Time Element Coverage unless a more specific deductible is shown on the Property Schedule of Premises or an endorsement.

Commercial Property Coverage Part Declarations

Zurich American Insurance Company

NAMED INSURED:	**POLICY PERIOD:**
Shelter Mutual Insurance Company	From: 01/01/2026 To: 01/01/2027
	12:01 A.M. STANDARD TIME AT YOUR MAILING ADDRESS

POLICY NUMBER: CPP 6104133 - 01

CATASTROPHE COVERAGE -- LIMITS OF INSURANCE AND DEDUCTIBLES

The Limits of Insurance shown below are the most we will pay for direct physical loss of or damage in any one **occurrence** for the peril described. It will only apply to property at a **premises** for which a Limit of Insurance for the following Catastrophe Coverage is shown on the Schedule of Premises for any specific **premises**. That Limit of Insurance is the most we will pay for that specific **premises**. If you have **reported unscheduled premises** coverage, the Limits of Insurance below apply.

If coverage does not apply at any specific **premises**, the Limit of Insurance will show as **NCP** for those **premises**.

COVERAGE	**LIMITS OF INSURANCE AND DEDUCTIBLES**
Earth Movement (Schedule A)	
Premises	See Property Schedule Of Premises
Occurrence	$25,000,000
Annual Aggregate	$25,000,000
Deductible	See Property Schedule Of Premises
Earth Movement (Schedule B)	
Premises	See Property Schedule Of Premises
Occurrence	$10,000,000
Annual Aggregate	$10,000,000
Deductible	See Property Schedule Of Premises
Flood Annual Aggregate	$15,000,000
Flood (Schedule I)	
Premises	See Property Schedule Of Premises
Occurrence	$15,000,000
Annual Aggregate	$15,000,000
Deductible	See Property Schedule Of Premises
Flood (Schedule II)	
Premises	See Property Schedule Of Premises
Occurrence	$2,500,000
Annual Aggregate	$2,500,000
Deductible	See Property Schedule Of Premises

Commercial Property Coverage Part Declarations

Zurich American Insurance Company

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Shelter Mutual Insurance Company

POLICY PERIOD:

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POLICY NUMBER: CPP 6104133 - 01

CATASTROPHE COVERAGE -- LIMITS OF INSURANCE AND DEDUCTIBLES

Catastrophe Deductibles

Percentage Deductibles

When a deductible applies to **covered property** on a percentage basis at a **premises**, we will determine the amount of the deductible by applying the percentage shown on the Declarations against the value of the **covered property at that premises**. The value will be based on:

When a deductible applies to **time element coverage** on a percentage bases at a **premises**, we will determine the amount of the deductible by applying the percentage shown on the Declarations against the full 12 months **business income** value that would have been earned following the **occurrence** at the **premises** where the direct physical loss or damage occurred

Earth Movement Deductibles

Loss or damage to Covered Property caused by **earth movement** is subject to separate deductible amounts. The deductibles applicable to **earth movement** are stated in the Property Schedule of Premises for that specific premises.

Flood Deductibles

Loss or damage to Covered Property caused by **flood** is subject to separate deductible amounts. The deductibles applicable to **flood** are stated in the Property Schedule of Premises for that specific **premises**

Wind/Hail Deductibles

Loss or damage to Covered Property caused by wind or hail is subject to separate deductible amounts. The deductibles applicable to wind and hail are stated in the Property Schedule of Premises for that specific **premises**. If the Wind and Hail Deductibles apply to loss or damage at **reported unscheduled premises**, the deductible amounts for **reported unscheduled premises** are stated on the Catastrophe Coverage – Limits of Insurance and Deductibles section of this Declarations.

Property Schedule of Premises

Real Property	Personal Property	Business Income including Extra Expense	Extra Expense	Earth Movement Schedule - Limit	Flood Schedule - Limit		
Premises 1 - Address : 1709 East Highland Drive Jonesboro AR US 72401-6128							
Blanket	Blanket	Blanket		B - $3,037,711	I - $3,037,711		
Premises 2 - Address : 5225 West Sunset Avenue Springdale AR US 72762-0738							
Blanket	Blanket	Blanket		A - $3,588,135	I - $3,588,135		
Premises 3 - Address : 83 Centennial Boulevard Highlands Ranch CO US 80129-2323							
Blanket	Blanket	Blanket		A - $3,825,661	I - $3,825,661		
Premises 4 - Address : 8891 Allisonville Road Indianapolis IN US 46250-1362							
Blanket	Blanket	Blanket		A - $2,608,605	I - $2,608,605		
Premises 5 - Address : 2701 Southwest Wanamaker Road Topeka KS US 66614-4265							
Blanket	Blanket	Blanket		A - $2,729,964	I - $2,729,964		
Premises 6 - Address : 1817 West Broadway Columbia MO US 65203-1107							
Blanket	Blanket	Blanket		A - $25,000,000	I - $15,000,000		
Premises 7 - Address : 1729 West Broadway Columbia MO US 65203-1190							
Blanket	"NCP"	Blanket		A - $21,562,485	I - $15,000,000		
Premises 8 - Address : 1900 West Worley Street Columbia MO US 65203-1040							
Blanket	"NCP"	Blanket		A - $751,686	I - $751,686		
Premises 9 - Address : 1905 West Ash Street Columbia MO US 65203-1151							
Blanket	Blanket	Blanket		A - $4,177,164	I - $4,177,164		
Premises 10 - Address : COLUMBIA REGIONAL AIRPORT COLUMBIA MO US 65201							
Blanket	"NCP"	Blanket		A - $851,000	I - $851,000		
Premises 11 - Address : 4901 Northeast Lakewood Way Lee's Summit MO US 64064-1987							

Real Property	Personal Property	Business Income including Extra Expense	Extra Expense	Earth Movement Schedule - Limit	Flood Schedule - Limit		
Blanket	Blanket	Blanket		A - $7,981,505	I - $7,981,505		
Premises 12 - Address : 7001 Pioneers Boulevard Lincoln NE US 68506-4630							
Blanket	Blanket	Blanket		A - $110,174	I - $110,174		
Premises 13 - Address : 8308 East 91st Street Tulsa OK US 74133-5639							
Blanket	Blanket	Blanket		A - $2,794,417	I - $2,794,417		
Premises 14 - Address : 3167 Robbins Road Springfield IL US 62704-6553							
Blanket	Blanket	Blanket		A - $2,544,417	I - $2,544,417		
Premises 15 - Address : 1121 Monarch Street Lexington KY US 40513-1889							
Blanket	Blanket	Blanket		A - $4,113,176	I - $4,113,176		
Premises 16 - Address : 4757 O'Neal Lane Baton Rouge LA US 70817-1638							
Blanket	Blanket	Blanket		A - $2,935,741	I - $2,935,741		
Premises 17 - Address : 2001 West Broadway Columbia MO US 65203-1111							
Blanket	"NCP"	Blanket		A - $2,401,902	I - $2,401,902		
Premises 18 - Address : 2003 West Broadway Columbia MO US 65203-1100							
Blanket	"NCP"	Blanket		A - $2,429,736	I - $2,429,736		
Premises 19 - Address : 2005 West Broadway Columbia MO US 65203-1298							
Blanket	"NCP"	Blanket		A - $9,501,751	I - $9,501,751		
Premises 20 - Address : 6300 Diagonal Highway Boulder CO US 80301-9270							
Blanket	Blanket	Blanket		A - $2,318,500	I - $2,318,500		
Premises 21 - Address : 595 Steed Road Ridgeland MS US 39157-1704							
Blanket	Blanket	Blanket		A - $2,175,454	I - $2,175,454		
Premises 22 - Address : 1820 West Ash Street Columbia MO US 65203-1133							
Blanket	Blanket	Blanket		A - $25,000,000	I - $15,000,000		
Premises 23 - Address : 4925 South National Avenue Springfield MO US 65810-2989							

Real Property	Personal Property	Business Income including Extra Expense	Extra Expense	Earth Movement Schedule - Limit	Flood Schedule - Limit		
Blanket	Blanket	Blanket		A - $3,524,662	I - $3,524,662		
Premises 24 - Address : 12615 Chenal Parkway Little Rock AR US 72211-3361							
Blanket	Blanket	Blanket		A - $398,901	I - $398,901		
Premises 25 - Address : 4068 Rural Plains Circle Franklin TN US 37064-1962							
Blanket	Blanket	Blanket		A - $304,722	II - $304,722		
Premises 26 - Address : 1101 New Highway 7 Columbia TN US 38401-6664							
Blanket	Blanket	Blanket		A - $4,358,239	I - $4,358,239		
Premises 27 - Address : 1671 West Horizon Ridge Parkway Henderson NV US 89012-3522							
Blanket	Blanket	Blanket		A - $816,451	I - $816,451		
Premises 28 - Address : 13194 North Macarthur Boulevard Oklahoma City OK US 73142							
Blanket	Blanket	Blanket		A - $129,750	I - $129,750		
Premises 29 - Address : 2504 Keith Drive Columbia TN US 38401-4361							
Blanket	"NCP"	Blanket		A - $2,576,000	I - $2,576,000		

This Property Schedule of Premises is considered to be physically attached to the policy and is deemed incorporated therein. The information that is physically attached and incorporated into the policy includes but is not limited to Limits of Insurance, Deductibles and coverage.

Where used “NCP” means **NCP.**

Property Schedule of Premises Deductibles

Wind/Hail	Earth Movement	Flood								
Premises 1 - Address : 1709 East Highland Drive Jonesboro AR US 72401-6128										
	$250,000	$250,000								
Premises 2 - Address : 5225 West Sunset Avenue Springdale AR US 72762-0738										
	$250,000	$250,000								
Premises 3 - Address : 83 Centennial Boulevard Highlands Ranch CO US 80129-2323										
	$250,000	$250,000								
Premises 4 - Address : 8891 Allisonville Road Indianapolis IN US 46250-1362										
	$250,000	$250,000								
Premises 5 - Address : 2701 Southwest Wanamaker Road Topeka KS US 66614-4265										
	$250,000	$250,000								
Premises 6 - Address : 1817 West Broadway Columbia MO US 65203-1107										
$500,000	$250,000	$250,000								
Premises 7 - Address : 1729 West Broadway Columbia MO US 65203-1190										
	$250,000	$250,000								
Premises 8 - Address : 1900 West Worley Street Columbia MO US 65203-1040										
	$250,000	$250,000								
Premises 9 - Address : 1905 West Ash Street Columbia MO US 65203-1151										
	$250,000	$250,000								
Premises 10 - Address : COLUMBIA REGIONAL AIRPORT COLUMBIA MO US 65201										
	$250,000	$250,000								
Premises 11 - Address : 4901 Northeast Lakewood Way Lee's Summit MO US 64064-1987										
	$250,000	$250,000								
Premises 12 - Address : 7001 Pioneers Boulevard Lincoln NE US 68506-4630										
	$250,000	$250,000								
Premises 13 - Address : 8308 East 91st Street Tulsa OK US 74133-5639										
	$250,000	$250,000								

Wind/Hail	Earth Movement	Flood								
Premises 14 - Address : 3167 Robbins Road Springfield IL US 62704-6553										
	$250,000	$250,000								
Premises 15 - Address : 1121 Monarch Street Lexington KY US 40513-1889										
	$250,000	$250,000								
Premises 16 - Address : 4757 O'Neal Lane Baton Rouge LA US 70817-1638										
	$250,000	$250,000								
Premises 17 - Address : 2001 West Broadway Columbia MO US 65203-1111										
	$250,000	$250,000								
Premises 18 - Address : 2003 West Broadway Columbia MO US 65203-1100										
	$250,000	$250,000								
Premises 19 - Address : 2005 West Broadway Columbia MO US 65203-1298										
	$250,000	$250,000								
Premises 20 - Address : 6300 Diagonal Highway Boulder CO US 80301-9270										
	$250,000	$250,000								
Premises 21 - Address : 595 Steed Road Ridgeland MS US 39157-1704										
	$250,000	$250,000								
Premises 22 - Address : 1820 West Ash Street Columbia MO US 65203-1133										
$372,202	$250,000	$250,000								
Premises 23 - Address : 4925 South National Avenue Springfield MO US 65810-2989										
	$250,000	$250,000								
Premises 24 - Address : 12615 Chenal Parkway Little Rock AR US 72211-3361										
	$250,000	$250,000								
Premises 25 - Address : 4068 Rural Plains Circle Franklin TN US 37064-1962										
	$250,000	$250,000								
Premises 26 - Address : 1101 New Highway 7 Columbia TN US 38401-6664										
	$250,000	$250,000								
Premises 27 - Address : 1671 West Horizon Ridge Parkway Henderson NV US 89012-3522										
	$250,000	$250,000								

Wind/Hail	Earth Movement	Flood								
Premises 28 - Address : 13194 North Macarthur Boulevard Oklahoma City OK US 73142										
	$250,000	**$250,000**								
Premises 29 - Address : 2504 Keith Drive Columbia TN US 38401-4361										
	$250,000	**$250,000**								

If there is not a premises specific deductible appearing at a **premises** above, the applicable policy deductible shown on the Declarations applies.

Commercial Property Conditions

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Commercial Property Conditions

This Commercial Property Coverage Part is subject to the following conditions as well as the Common Policy Conditions.

A. Abandonment

There can be no abandonment of any property to us.

B. Appraisal

If we and you disagree on the value of the property or the amount of the loss, either may make written request for an appraisal of the loss. If the other party agrees to the appraisal request in writing, each party will select a competent, disinterested and impartial appraiser who has no direct or indirect financial interest in the claim. The two appraisers will select an umpire. If they cannot agree, either may request that selection of an umpire be made by a judge of a court having jurisdiction. The appraisers will state separately the value of each item of lost or damaged property as of the date of loss and amount of loss in accordance with the Valuation provisions of the applicable Coverage Form or, if not stated, the **actual cash value** and **replacement cost**. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

1. Pay its chosen appraiser; and

2. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim in whole or in part, based on the terms and conditions of the policy.

C. Assignment of Loss

This insurance does not apply to any claim submitted by, or on behalf of, any person or entity pursuant to an assignment of benefits, rights, interest, proceeds or causes of action. Such assignments to which we refer specifically includes, but is not limited to, post-loss assignments of benefits, rights, interest, proceeds or causes of action.

This condition does not apply to an assignment:

1. Made with our written consent; or

2. Made in the case of death of an individual Named Insured. If you die, your rights and duties will be transferred to your legal representative but only while acting within the scope of duties as your legal representative. Until your legal representative is appointed, anyone having proper temporary custody of your property will have your rights and duties but only with respect to that property.

D. Concealment, Misrepresentation or Fraud

This policy is void in any case of concealment, misrepresentation or fraud by you or any other insured as it relates to this Commercial Property Coverage Part at any time before or after a loss. It is also void as to you or any other insured, and we will not pay you or any other insured, if you or any other insured, at any time before or after a loss, intentionally conceal or misrepresent or fraudulently state a material fact concerning:

1. The insurance provided by this policy;

2. The **covered property**;

3. Your interest in the **covered property**; or

4. A claim under the policy.

E. Conformity to Statute

Terms of this Commercial Property Coverage Part that are in conflict with the statutes of the state in which this policy is issued are hereby amended to conform to such statutes.

F. Control of Damaged Goods

In the event of direct physical loss of or damage caused by a **covered cause of loss** to **merchandise** or **finished stock**, bearing labels or permanent markings identifying you as the manufacturer or distributor of that **merchandise** or **finished stock**, you retain the full right of possession and control of such damaged **merchandise** or **finished stock**.

You may, using reasonable judgment, determine whether the damaged **merchandise** or **finished stock** can be reprocessed or sold. Coverage for certain costs of reprocessing may be available to you under the Brands and Labels Additional Coverage. None of the damaged **merchandise** or **finished stock** that you determine to be unfit for reprocessing or sale will be sold or otherwise disposed of except by you or with your consent.

The salvage value of the damaged property will be determined at the time of loss. We will deduct the **market value** of the salvage which could have been obtained from the sale or other disposition of such **merchandise** or **finished stock** through normal insurance industry salvage practices.

If the **merchandise** or **finished stock** are to be destroyed, you will allow us to confirm such destruction and we will include the reasonable costs you incur as part of your claim.

G. Control of Property

Any act or neglect of any provision contained in the Commercial Property Conditions or Common Policy Conditions by any person, other than you, beyond your direction or control will not affect this insurance.

The breach of any provision contained in the Commercial Property Conditions or Common Policy Conditions at any one or more locations will not affect coverage at any location where, at the time of loss or damage, there was no breach.

H. Duties in the Event of Loss or Damage

1. You must see that the following are done in the event of loss or damage to **covered property**:

a. Notify the police if a law may have been broken.

b. Give us prompt notice of the loss or damage, including a description of the property involved.

c. As soon as possible, give us a description of how, when and where the loss or damage occurred.

d. Take all reasonable steps to protect the **covered property** from further damage and keep a record of your expenses necessary to protect the **covered property**, for consideration in the settlement of the claim. This will not increase the Limit of Insurance. However, we will not pay for any subsequent loss or damage resulting from a cause of loss that is not a **covered cause of loss**. Also, if feasible, set the damaged property aside and in the best possible order for examination.

e. At our request, give us complete inventories of the damaged and undamaged property. Include quantities, costs, values and amount of loss claimed.

f. As often as may be reasonably required, permit us to inspect the property proving the loss or damage and examine your books and records.

Also, permit us to take samples of damaged and undamaged property for inspection, testing and analysis, and permit us to make copies from your books and records.

g. Send us a signed, sworn proof of loss containing the information we request to investigate the claim. You must do this within 60 days after our request. We will supply you with the necessary forms.

h. Cooperate with us in the investigation or settlement of the claim.

2. We may examine any insured under oath, while not in the presence of any other insured and at such times as may be reasonably required, about any matter relating to this insurance or the claim, including an insured's books and records. In the event of an examination, an insured's answers must be signed.

3. Failure of an agent or one of your employees, other than an officer, partner, **manager**, **member**, director, trustee, proprietor or risk management employee, to notify us of any loss or damage that they know about will not affect the insurance afforded you by this Commercial Property Coverage Part.

I. Insurance Under Two or More Coverages

If two or more of this policy's coverages apply to the same loss or damage, we will not pay more than the actual amount of the loss or damage.

J. Legal Action Against Us

No one may bring a legal action against us under this Commercial Property Coverage Part unless:

1. All of its terms have been fully complied with; and
2. The action is brought within 2 years after the date on which the loss or damage commenced.

K. Liberalization

If we adopt any revision that would broaden the coverage under this Commercial Property Coverage Part, without additional premium and within 60 days prior to or during the policy period, the broadened coverage will immediately apply to this Commercial Property Coverage Part.

L. Loss Payment

The following apply unless otherwise provided in a Coverage Form in this Commercial Property Coverage Part:

1. In the event of loss or damage covered by this Commercial Property Coverage Part, at our option, we will:
   - **a.** Pay the amount of the loss or damage;
   - **b.** Pay the cost of repairing or replacing the lost or damaged property;
   - **c.** Take all or any part of the property at an agreed or appraised value; or
   - **d.** Repair, rebuild or replace the property with other property of like kind and quality.

   We will give notice of our intentions within 30 days after we receive the sworn proof of loss.
2. We will not pay you more than your financial interest in the **covered property**.
3. This Commercial Property Coverage Part provides no rights or benefits to any other person or organization, unless otherwise provided. Any claim for loss that is covered under this Commercial Property Coverage Part must be presented by you. At our option, we may adjust the loss with the owners of lost or damaged property if other than you. If we pay the owners, such payment will satisfy your claims against us for the owners' property. We will not pay the owners more than their financial interest in the **covered property**.
4. We may elect to defend you against suits arising from claims of owners of **covered property**. We will do this at our expense.
5. We will pay for covered loss or damage within 30 days after we receive the sworn proof of loss, if you have complied with all of the terms of this Commercial Property Coverage Part and:
   - **a.** We have reached agreement with you on the amount of the loss; or
   - **b.** An appraisal award has been made.
6. The first Named Insured shown on the Declarations will be the payee for any payment of claims that we may make with respect to this Commercial Property Coverage Part, subject to the Mortgage Holders condition below and any endorsements. However, our payment for loss or damage to **personal property of others** may be to the account of the owner of the property.

M. Mortgage Holders

1. Mortgage holder includes trustee.
2. We will pay for covered loss of or damage to buildings or structures to each mortgage holder shown on the Declarations in their order of precedence, as interests may appear.

3. The mortgage holder has the right to receive loss payment even if the mortgage holder has started foreclosure or similar action on the building or structure.

4. If we deny your claim because of your acts or because you have failed to comply with the terms of this Commercial Property Coverage Part, the mortgage holder will still have the right to receive loss payment if the mortgage holder:

   a. Pays the premium due under this Commercial Property Coverage Part at our request if you have failed to do so;

   b. Submits a signed, sworn proof of loss within 60 days after receiving notice from us of your failure to do so; and

   c. Has notified us of any change in ownership, occupancy or substantial change in risk known to the mortgage holder.

   All the terms of this Commercial Property Coverage Part will then apply directly to the mortgage holder.

5. If we pay the mortgage holder for any loss or damage and deny payment to you because of your acts or because you have failed to comply with the terms of this Commercial Property Coverage Part:

   a. The mortgage holder's rights under the mortgage will be transferred to us to the extent of the amount we pay; and

   b. The mortgage holder's right to recover the full amount of the mortgage holder's claim will not be impaired.

   At our option, we may pay to the mortgage holder the whole principal on the mortgage plus any accrued interest. In this event, your mortgage and note will be transferred to us and you will pay your remaining mortgage debt to us.

6. If we cancel the policy, we will give written notice to the mortgage holder at least:

   a. 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or

   b. 30 days before the effective date of cancellation if we cancel for any other reason.

7. If we elect not to renew the policy, we will give written notice to the mortgage holder at least 10 days before the expiration date of this policy.

N. No Benefit to Bailee

No person or organization, other than you, having custody of **covered property** will benefit from this insurance.

O. Other Insurance

1. If you have other insurance subject to the same plan, terms, conditions and provisions as the insurance under this Commercial Property Coverage Part, we will pay our share of the covered loss or damage. Our share is the proportion that the applicable Limit of Insurance under this Commercial Property Coverage Part bears to the sum of all the Limits of Insurance covering on the same basis.

2. If there is other insurance covering the same loss or damage, other than that described in Subsection **1.** above, we will pay only the least of the following amounts:

   a. Any Limit of Insurance applicable to the **covered property** that has sustained such loss or damage;

   b. The amount of covered loss or damage in excess of the amount due from that other insurance, whether you can collect on it or not, without application of any deductible amounts contained elsewhere in this Commercial Property Coverage Part; or

   c. The amount we would have paid had such other insurance not existed.

3. Subsections **1.** and **2.** above do not apply to other insurance that is purchased as insurance in excess of the Limit of Insurance under this Commercial Property Coverage Part.

P. Policy Period, Coverage Territory

Under this Commercial Property Coverage Part:

1. We cover loss or damage which happens:

a. During the policy period shown on the Declarations; and

b. Within the coverage territory.

2. The coverage territory is The United States of America, its territories, commonwealths and possessions including Puerto Rico.

3. When this Commercial Property Coverage Part provides coverage for property in transit:

a. The coverage territory is extended to Canada for property in transit if the origin or destination is included in **2.** above, except when property is being transported by a watercraft.

b. The coverage territory is extended to everywhere else in the world for property while being transported by an aircraft, if either the origin or destination is included in **2.** above and neither the origin nor the destination is in:

(1) Any country upon which the United States government has imposed sanctions, embargoes or similar prohibitions; or

(2) Chechnya, Democratic Republic of Congo, Iran, Iraq, Ivory Coast, Libya, Liberia, Myanmar, North Korea, Palestine, Sudan, South Sudan, Syria and Yemen.

4. If the property is in transit by watercraft that originated outside the coverage territory included in **2.** above, then coverage commences when the property has been fully discharged from the watercraft onto a point within the coverage territory.

5. If the property is in transit by watercraft with a destination outside the coverage territory included in **2.** above, then coverage ends when the property has been loaded on board the watercraft.

Q. Recovered Property

1. If either you or we recover any property after loss settlement, that party must give the other prompt notice. At your option, you may do one of the following:

a. Keep the loss payment and transfer the recovered property to us; or

b. Keep the recovered property and return the loss payment to us. If you do this, we will pay for the recovery expenses and the expense to repair the recovered property up to the applicable Limit of Insurance.

2. The amount of loss can be reduced by any salvage recovery through the sale of the damaged **covered property**.

a. If, following a loss, a recovery is made from the sale of damaged **covered property** and your claim has not yet been paid, we will be entitled to this salvage recovery until we have recovered our salvaging fees and expenses. The balance of the salvage recovery will be paid to you and the amount of your loss settlement will be reduced by this balance.

b. If your claim has already been paid when a salvage recovery is made, we will be entitled to the salvage proceeds until we have recovered the difference between the amount we paid you for your claim and the amount we would have paid you had the salvage recovery been handled in accordance with **a.** above. Any balance of the salvage recovery will then be promptly refunded to you.

R. Suspended Equipment

We, or any of our representatives, have the right to declare any boiler, fired or unfired vessel, refrigerating or air conditioning system, piping and its accessory equipment, and any mechanical or electrical machine or apparatus used for the generation, transmission or utilization of mechanical or electrical power to be suspended equipment when the property is found to be in, or exposed to, a dangerous condition, provided we have:

1. Told you of the dangerous condition immediately upon discovering it and informed you of its designation as suspended equipment; and

2. Mailed or delivered a written notice of such condition and designation, within 24 hours of the discovery, which notice is mailed or delivered to:

   a. Your last known address; or

   b. The address where said object is located.

Any designation of suspended equipment can only be rescinded, in writing, by endorsement to this Commercial Property Coverage Part.

Any designation of suspended equipment will result in your receiving a pro rata refund of premium you paid for the coverage of that property under this Commercial Property Coverage Part. However, any designation of suspended equipment will be in effect if we have not yet made or offered the refund.

S. Transfer of Rights of Recovery Against Others to Us

If any person or organization to or for whom we make payment under this Commercial Property Coverage Part has rights to recover damages from another, those rights are transferred to us to the extent of our payment. That person or organization must do everything necessary to secure our rights and cooperate with our efforts to recover our payment and must do nothing after loss to impair our rights. But you may, without restricting your coverage, waive your rights against another party in writing:

1. Prior to a loss.

2. After a loss only if, at the time of loss, that party is one of the following:

   a. Someone insured under this Commercial Property Coverage Part;

   b. A business firm owned or controlled by you;

   c. A business firm or an individual, that owns or controls you; or

   d. Your tenant.

Any recovery as a result of subrogation proceedings arising out of a covered loss, net of fees (including legal fees) and expenses we incur in such subrogation proceedings, will be shared with you in the following manner:

1. We will add the amount of any deductible you incurred to the amount of any other provable uninsured loss you incurred. This is your interest.

2. We will determine the proportion your interest bears to the entire provable loss (both insured and uninsured). This is your pro rata share.

3. We will reimburse to you your pro rata share of the recovery after deduction, from the total recovery, of recovery expenses paid by us and after deduction of any legal fees paid by us. We will retain the balance. We will not owe you any amount for any legal fees or any expenses incurred by you in furtherance of any recovery unless those fees or expenses are approved by us in writing and in advance of your incurring those fees or expenses.

Commercial Property Definitions

Words and phrases that appear in bold or in quotation marks have specific meaning as defined below or within this Commercial Property Coverage Part.

Words or phrases that are not defined are intended to have their ordinary or common meaning. Disputes concerning the meaning of words or phrases will be resolved using the most recently published version of Merriam Webster's Unabridged Dictionary. Unless otherwise stated, words that are used in the plural tense include the singular tense (and vice versa).

Throughout this Commercial Property Coverage Part, the words "you" and "your" refer to the Named Insured shown on the Commercial Property Coverage Part Declarations. The words "we", "us" and "our" refer to the Company providing this insurance coverage.

1. **Accounts receivable records** means accounting records you use to document the billing and collection of **money** due from your customers, regardless of what material it is inscribed, printed, written or recorded upon.

2. **Actual cash value** means **replacement cost** reduced by each of the following:

   a. Physical deterioration;

   b. Depreciation;

   c. Obsolescence; and

   d. Depletion.

   But in no event will the **actual cash value** be higher than the **market value**.

3. **Amount you actually spend** means:

   a. The total payments you make to an entity you do not own or operate at the time of loss or damage to repair, rebuild or replace the damaged **real property** or **personal property**; and

   b. For goods and services provided by entities you own or operate at the time of loss or damage to repair, rebuild or replace the damaged **real property** or **personal property**:

      (1) Direct payroll cost, excluding fixed payroll, for labor directly chargeable to the repair, rebuilding or replacement of the damaged property;

      (2) **Replacement cost** for your **merchandise** used in the repair, rebuilding or replacement of the damaged property;

      (3) Regular cash selling price, less any discounts and expenses you otherwise would have had, for your **finished stock** used in the repair, rebuilding or replacement of the damaged property; and

      (4) **Replacement cost** for your property other than **merchandise** or **finished stock** used in the repair, rebuilding or replacement of the damaged property if replaced within 24 months, otherwise your original cost,

      at the same or another location. If rebuilding or replacing at another location, we will not pay more than the cost of rebuilding or replacing at the same location where the loss or damage occurred.

4. **Business income** means:

   a. **Net income**; plus

   b. **Continuing expenses**.

5. **Certain water** means:

   a. Leakage, escape or discharge of any substance from a fire extinguishing system or equipment, caused by freezing or any other **covered cause of loss**, except for discharge in response to a fire;

   b. Leakage, escape, discharge, back-up or overflow of water or steam from a plumbing, heating, air conditioning or other system or appliance, caused by freezing or any other **covered cause of loss**;

   c. Accidental discharge or leakage from roof drains, gutters, downspouts or similar fixtures or equipment;

   d. Incursion, leakage or seepage of water caused by or resulting from thawing of snow, sleet or ice on buildings or structures; or

   e. Incursion, leakage or seepage of rain, snow, sleet or ice, whether driven by wind or not, into the interior of buildings or structures unless the building or structure first sustains damage caused by or resulting from a **covered cause of loss** through which the rain, snow, sleet or ice enters.

6. **Computer systems** means computer hardware, software, firmware, electronic equipment, including associated input and output devices, data storage devices, networking equipment and components, all when used for the purpose of creating, accessing, processing, displaying, protecting, monitoring, storing, retrieving or transmitting **electronic data**.

   Computer systems includes dedicated air conditioning, fire suppression equipment and electrical equipment used exclusively in **computer systems** operations.

   Computer systems does not mean:

   a. **Electronic data**; or

   b. Computers, devices or components which:

      (1) Exist primarily to control or operate machinery or equipment or to produce **stock in process** or **finished stock**; or

      (2) Are **stock**.

7. **Contaminant(s)(Contaminated)** means any:

   a. Solid, liquid, gaseous or thermal irritant;

   b. Pathogen, virus, bacteria or any other microorganism, including any by product; or

   c. Substance that creates an impurity when it mixes with or comes into contact with another substance.

   Contaminants includes smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

   Contaminants does not mean **fungus**.

8. **Continuing expenses** means:

   a. Your continuing normal operating expenses including, but not limited to:

      (1) Payroll;

      (2) Rental payments as tenants; and

      (3) Operating overhead; and

   b. Charges, which are the legal obligations of your tenants and have not been satisfied, and which are now your obligation.

   Continuing expenses does not mean:

   a. **Extra expense**;

   b. Expediting expense;

   c. **Research and development continuing expenses**; or

d. Bad debts.

9. **Covered cause of loss** means a fortuitous cause, not otherwise excluded, of direct physical loss of or damage.

10. **Covered Property** means **real property** or **personal property** that is insured for loss or damage under this Commercial Property Coverage Part.

11. **Dependent premises** means a location owned and operated by others who you depend on to:

a. Deliver materials or services directly to you, or to others as required by a contract to which you are a party;

b. Pay you royalties, licensing fees or commissions under written agreements;

c. Accept your products or services;

d. Manufacture products for delivery to your customers as required by a contract to which you are a party; and

e. Attract customers to your business.

If the location is described by an address only, it includes the area associated with that address in which you or the occupant are legally entitled to conduct **operations** and includes that area extending 1,000 feet beyond that address.

If the location is described by an address and further described by geographic boundaries, only the area within such boundaries and within 1,000 feet thereof, is included.

Dependent premises does not mean:

a. Locations owned and operated by others who you depend upon to provide water, power, steam, natural gas, sewer or communication, including video, voice, data and internet access, or other utility services to you; or

b. Any of the locations in **a.** through **e.** above, within any country in which the United States government has imposed sanctions, embargoes or similar prohibitions.

12. **Duplicate information property** means recorded information in any format which can either be copied from an existing original or duplicate or replaced by purchasing an existing duplicate that is available for sale, including any material it is recorded upon.

Duplicate information property does not mean:

a. **Stock**; or

b. **Fine arts**.

13. **Earth movement** means earthquake or other seismic activity including tsunami; rising or shifting of earth (including frost heaves) or subsidence other than **sinkhole collapse**.

Earth movement does not mean landslide, avalanche or volcanic eruption, explosion or effusion.

14. **Earthquake sprinkler leakage** means leakage or discharge of any substance from a fire protection sprinkler system, including collapse of a tank that is part of the system, caused by or resulting from earthquake. All earthquake shocks that occur within any single 168-hour period will constitute a single **occurrence**. The expiration of this policy will not reduce the 168-hour period.

15. **Electronic data** means programs, audio and image files and any other records that exist as data within a **computer system**.

16. **Electronic vandalism** means:

a. Unauthorized, willful or malicious;

(1) Electronic alteration, manipulation, tampering or destruction; or

(2) Access to, processing, programming, updating, use of or operation,

of **electronic data** or **computer systems**;

b. Introduction of a virus, code or similar instruction that disrupts the normal operation of **computer systems** and may destroy, alter, contaminate or compromise the integrity, quality or performance of **electronic data**;

c. Unauthorized viewing, copying or use of any **electronic data**;

d. An attack designed to slow, deprive, deny or limit legitimate access to **computer systems**, **electronic data**, your network or your website, whether or not known to you; or

e. A threat or hoax arising out of any activity in **a.** through **d.** above.

17. Equipment breakdown cause of loss means any of the following:

a. Artificially generated electrical current, including electrical arcing, that injures or disturbs electrical devices, wiring or equipment;

b. Explosion, rupture or bursting of steam boilers, steam pipes, steam engines, steam turbines, gas turbines or apparatus attached to and forming a part thereof, when owned, operated or controlled by you; except for explosion of accumulated gases or fuel within the furnace of any fired vessel, other than gas turbines, or within the flues or passages through which the products of combustion pass;

c. Any condition or event inside steam boilers, steam pipes, steam engines, steam turbines, gas turbines or apparatus attached to and forming a part thereof, when owned, operated or controlled by you; except for explosion of accumulated gases or fuel within the furnace of any fired vessel, other than gas turbines, or within the flues or passages through which the gases of combustion pass;

d. Any condition or event, other than an explosion, inside hot water boilers, other water heating equipment, engines other than steam engines, or pressure vessels when owned, operated or controlled by you; and

e. Mechanical or machinery breakdown, including rupture or bursting caused by centrifugal force, of property owned, operated or controlled by you.

18. Extra expense means operating expenses you incur during the **period of restoration** that would not have been necessary to incur if there had been no direct physical loss or damage to the property, provided such expenses are incurred in an attempt to:

a. Avoid a **suspension** of or to continue those **operations** which have been affected by the direct physical loss or damage to the property; or

b. Minimize the **period of restoration**.

Extra expense does not mean:

a. Costs incurred to purchase **merchandise** as a replacement for your **finished stock**;

b. **Continuing expenses** or **research and development continuing expenses**;

c. Costs to repair, rebuild or replace any property, or research or restore valuable papers and records; or

d. Amounts incurred on financing or investment activity conducted for your own account.

19. Finished stock means goods manufactured:

a. At a location you own or operate; or

b. Exclusively for you and you are the owner or licensee of the design, patent, trademark or copyright,

which are completed and ready for packing, shipment, installation or sale.

Finished stock does not mean **merchandise**.

20. Flood means:

a. A general and temporary condition of partial or complete inundation of normally dry land areas caused by:

(1) The overflow or the expansion beyond normal boundaries, of inland or tidal waters, including natural or man-made lakes, reservoirs, ponds, brooks, rivers, streams, harbors, oceans or any other body of water or watercourse;

(2) Waves or tides;

(3) Surface water from any source, for example, runoff or accumulation of rain;

(4) The spray from items **(1)**, **(2)** or **(3)** above, whether driven by wind or not; or

(5) Items **(1)**, **(2)** or **(3)** above caused directly or indirectly by wind, for example, storm surge;

b. Mudslide or mudflow; or

c. Water under the ground surface pressing on, or flowing or seeping through:

(1) Foundations, walls, floors or paved surfaces;

(2) Basements, whether paved or not; or

(3) Doors, windows or other openings;

d. Water that backs up or overflows from a sewer, drain or sump caused directly or indirectly by items **a.**, **b.** or **c.** above.

Flood does not mean tsunami.

21. Fungus means any type or form of fungus, mold or mildew and any mycotoxins, spores, scents or by-products produced or released by fungi.

Fungus does not mean **contaminants**.

22. Green roofing systems means environmentally friendly roof coverings as defined by the LEED® Green Building Rating System™ of the U.S. Green Building Council or any other trees, shrubs, plants, grass or lawns and other landscaping materials which are part of a vegetated roof.

23. Green standard(s) mean the standards or guidelines of the following for enhanced energy or water efficiency or use of environmentally preferable and sustainable materials, products or methods in design, construction, manufacture or operation:

a. LEED® Green Building Rating System™ of the U.S. Green Building Council;

b. Green Globes™ Assessment and Rating System; and

c. ENERGY STAR®.

24. Improvements and betterments means fixtures, alterations, installations or additions:

a. Comprising a part of the building you occupy as a tenant but do not own;

b. Made or acquired at your expense exclusive of rent paid by you, or for which you are legally required by written contract to insure; and

c. Which you cannot remove legally.

25. Information technology services provider means a data center owned and operated by others whom you depend on to provide technology services under a written contract consisting of:

a. Maintaining, managing or controlling **computer systems**;

b. Hosting or facilitating your internet website or web application(s); and

c. Other related technology services.

Information technology services provider does not mean video, voice or data communication services.

26. Installation or service premises means a location that is not owned, leased or operated by you, at which you are installing, constructing or servicing property.

27. Leasehold interest means:

a. The monthly rental value of the **premises** or **reported unscheduled premises** you rent or lease on the date the direct physical loss or damage occurs; minus

b. The actual monthly rent you pay, including taxes, insurance, janitorial or other services you pay as part of the rent.

28. **Malfunction** means any abnormal or imperfect function, including the failure to function, of machinery, systems, apparatus or equipment.

29. **Manager** means a person elected by the **members** to direct the limited liability company's business affairs.

30. **Market value** means the price which the property might be expected to realize if offered for sale in a fair market on the date of loss or damage.

31. **Member** means an owner of a limited liability company represented by its membership interest, who also may serve as a **manager**.

32. **Merchandise** means goods held for sale or installation by you on a **premises** or **reported unscheduled premises**.

33. **Mistake** means any act or decision, whether intentional or negligent, including the failure to act or decide, of any person, group, organization or governmental body which creates or allows a result which is unexpected, inadequate, defective, faulty or otherwise unsuitable for the intended purpose.

34. **Money** means:

    a. Currency, coins, bullion or bank notes, whether or not in current use; and

    b. Travelers checks, register checks, food stamps and money orders held for sale to the public.

    Money does not mean any type of currency only available in digital form as digital money, electronic money and electronic currency including but not limited to any type of virtual currency and cryptocurrency.

35. **Net income** means the net profit or loss, including rental income from tenants, that would have been earned or incurred before taxes.

36. **Newly acquired premises** means a permanently fixed location you own, lease, rent or control. The location becomes a **newly acquired premises** on the later of:

    a. The date you obtain possession or control of the location; or

    b. The date **real property** or **personal property** in which you have an insurable interest is first placed at the location.

    Newly acquired premises does not mean:

    a. A **premises**;

    b. An **unreported premises**;

    c. A **reported unscheduled premises**;

    d. A fair or exhibition;

    e. An **installation or service premises**; or

    f. A **temporary storage location**.

37. **NCP** means no coverage provided.

38. **Occurrence**, unless otherwise stated in a Coverage Form or endorsement, means all losses or damages that are attributable directly or indirectly to one cause or series of similar causes. All such losses or damages will be treated as one **occurrence**.

39. **Operations** means:

    a. Your business activities occurring at the covered location prior to the physical loss or damage; and

    b. The covered location is tenantable prior to the physical loss or damage.

    Operations does not mean:

a. The activities of those with whom you do business;

b. Investing or financing activities conducted for your own account; or

c. **Research and development operations**.

40. **Period of restoration** means:

a. the period of time that begins when:

(1) The direct physical loss or damage occurs; or

(2) The date **operations** would have begun if the start of **operations** is delayed because of loss of or damage to any of the following:

(a) **Real property**, whether complete or under construction;

(b) Alterations or additions to **real property**; or

(c) **Personal property**:

(i) Used in such construction, alterations or additions;

(ii) Incidental to the occupancy of the area intended for construction, alteration or addition; or

(iii) Incidental to the alteration of the occupancy of an existing building or structure.

b. If you resume **operations**, with reasonable speed, the **period of restoration** ends on the earlier of:

(1) The date when the location where the loss or damage occurred could have been physically capable of resuming the level of **operations** which existed prior to the loss or damage, if the location had been restored to the physical size, construction, configuration, location and material specifications which would satisfy the minimum requirements necessary to obtain all required building permits, occupancy permits, operating licenses or similar documents; or

(2) The date when a new permanent location is physically capable of resuming the level of **operations** which existed prior to the loss or damage if you resume **operations** at a new permanent location.

c. If you do not resume **operations**, or do not resume **operations** with reasonable speed (whether at your **premises** or **reported unscheduled premises** or elsewhere), the **period of restoration** will end on the date when the location where the loss or damage occurred could have been restored to the physical size, construction, configuration, location and material specifications which existed at the time of loss or damage, with no consideration for any time:

(1) Which would have been required to make changes in order to satisfy the minimum requirements necessary to obtain all required building permits, occupancy permits, operating licenses or similar documents; and

(2) Which would have been necessary to make the location physically capable of resuming the level of **operations** which existed prior to the loss or damage after the completion of repairs, replacement or rebuilding.

d. With respect to a **suspension** of **operations** caused by direct physical loss of or damage to property (of the type insurable under the Real and Personal Property Coverage Form) at a **dependent premises**, the **period of restoration** means the period of time that:

(1) Begins when the direct physical loss of or damage to such property at a **dependent premises** occurs; and

(2) Ends on the date when such property at that **dependent premises** should be repaired, rebuilt or replaced with reasonable speed and similar quality.

e. With respect to a **suspension** of **operations** caused by direct physical loss of or damage to property (of the type insurable under the Real and Personal Property Coverage Form) at an **information technology services provider** or utility service provider, the **period of restoration** means the period of time that:

(1) Begins when the direct physical loss of or damage to such property at the **information technology services provider** or utility service provider occurs; and

(2) Ends on the date when the services provided by such **information technology services provider** or utility service provider could be restored to the same or equivalent operating conditions that existed prior to the service failure.

f. **Period of restoration** does not include any increased period required due to the enforcement of any ordinance, law, request, demand, order, regulation or rule that requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of **contaminants** or **fungus**, wet rot or dry rot.

g. The expiration date of this policy will not cut short the **period of restoration**.

41. **Personal property** means:

a. Personal property owned by you;

b. Personal property owned by your officers, directors, partners, **managers**, **members** or employees (including leased or temporary employees);

c. **Personal property of others** in your care, custody or control, including non-owned detached trailers, except:

(1) While the trailer is attached to any motor vehicle or motorized conveyance, whether or not the motor vehicle or motorized conveyance is in motion; or

(2) During hitching or unhitching operations; or

(3) When a trailer becomes accidentally unhitched from a motor vehicle or motorized conveyance.

d. The value of labor, materials or services furnished or arranged by you on **personal property of others**;

e. Your interest in **improvements and betterments** to buildings or structures;

f. Glass which, as a tenant, you are required to insure;

g. **Computer systems**; and

h. **Duplicate information property**.

42. **Personal property of others** means personal property not owned by you, your officers, directors, partners, **managers**, **members** or employees (including leased or temporary employees).

43. **Premises** means:

A location scheduled on the Declarations for this Commercial Property Coverage Part.

a. If the location is described by an address only, it includes the area associated with that address in which you are legally entitled to conduct your business activities and includes that area extending 1,000 feet beyond the address.

b. If the location is described by an address and further described by geographic boundaries, it includes only the area within such geographic boundaries in which you are legally entitled to conduct your business activities and includes that area extending 1,000 feet beyond that area.

c. If the location is described as a specific building or structure at an address, the **premises** means only that building or structure specifically described and does not extend to any other area, unless otherwise stated on the Declarations.

44. **Raw stock** means material in the state in which you acquired it for conversion into **finished stock**.

45. **Real property** means your interest in:

a. Buildings, including their **green roofing systems**;

b. Permanent structures;

- **c.** Equipment and apparatus used to maintain or service the buildings, structures or their **premises** or **reported unscheduled premises**; and
- **d.** Materials, equipment, supplies and temporary structures used for construction, additions, renovations, alterations or repairs of buildings or permanent structures.

46. Replacement cost means the lesser of the cost to repair, rebuild or replace the **real property** or **personal property** at the time of direct physical loss or damage with new materials of like kind and quality, of similar size, for the same use or occupancy, and at the same or another location. If rebuilding or replacing at another location, we will pay no more than the cost of rebuilding or replacing at the same location where the loss occurred.

If property of the same kind and quality is no longer available, we will pay to replace it with other property of similar quality and function, including property of greater processing capacity.

Real property and **personal property** valuation includes the cost you paid for non-refundable or non-transferable extended warranties, maintenance contracts or service contracts which were still in force at the time of loss or damage and are no longer valid as a result of loss of or damage to **real property** or **personal property**.

47. Reported unscheduled premises means permanently fixed locations for which you have submitted a schedule on file with us containing:

- **a.** The address of the location and includes that area extending 1000 feet beyond the address;
- **b.** An identification of the property, **business income** or **extra expense** to be covered; and
- **c.** The value of such identified property, **business income** or **extra expense**.

Reported unscheduled premises does not mean:

- **a.** A **premises**;
- **b.** A **newly acquired premises**;
- **c.** An **unreported premises**;
- **d.** A fair or exhibition;
- **e.** An **installation or service premises**;
- **f.** A **temporary storage location**; or
- **g.** A **dependent premises**.

48. Research and development continuing expenses means your continuing normal operating expenses that are directly attributable to **research and development operations**, including payroll, rental payments as tenants and factory overhead.

49. Research and development operations means your business activities where **research and development property** are being planned, created, developed or tested.

50. Research and development property means:

- **a.** Information which cannot be duplicated or purchased from another source, including any material it is inscribed, printed, written or recorded upon, including documents, manuscripts, records or programs, developed or used in conjunction with any research and development project;
- **b.** Original or experimental property;
- **c.** Prototypes or samples;
- **d.** Experiments in progress;
- **e.** Biological products, processes or cultures; and
- **f.** **Research animals**.

Research and development property does not mean:

a. Animals, other than **research animals**; or

b. **Stock**.

51. **Research animal** means any multi-cellular organism that is used in your **research and development operations**.

52. **Scheduled property** means those items described in the Scheduled Property Coverage Form.

53. **Securities** means negotiable and non-negotiable instruments or contracts representing either **money** or property and includes:

a. Tokens, tickets, revenue, postal and other stamps whether or not in current use;

b. Points or any other unit that represents value or can be redeemed for value such as loyalty or reward points; and

c. Evidences of debt issued in connection with credit or charge cards, which cards are not issued by you.

Securities does not mean:

a. **Money**; or

b. Lottery tickets held for sale.

54. **Sinkhole collapse** means the sudden sinking or collapse of land into underground empty spaces created by the action of water on limestone or similar rock formations.

Sinkhole collapse does not mean the:

a. Sinking or collapse of land into man-made underground cavities;

b. Sinking or collapse of land caused by or resulting from **flood**; or

c. Cost of filling sinkholes.

55. **Specified causes of loss** means the following:

a. Fire;

b. Lightning;

c. Explosion;

d. Wind or hail;

e. Smoke;

f. Aircraft or vehicles;

g. Riot or civil commotion;

h. Vandalism, meaning willful and malicious damage to, or destruction of property;

i. Leakage from fire extinguishing equipment;

j. **Sinkhole collapse**;

k. Volcanic action;

l. Falling objects, excluding loss or damage to:

(1) **Personal property** in the open; or

(2) The interior of buildings or property inside buildings, unless the roof or an outside wall of the building is first damaged by a falling object;

m. Weight of snow, ice or sleet;

n. Accidental discharge or leakage of water or steam from any part of a system or appliance containing water or steam; and

o. **Equipment breakdown cause of loss**, excluding loss of or damage to **stock** caused by the release or escape of refrigerants.

56. **Stock** means the following:

a. **Raw stock**;

b. **Stock in process**;

c. **Finished stock**; and

d. **Merchandise**.

57. **Stock in process** means **raw stock** which has undergone aging, seasoning, mechanical or other process of manufacture but which has not become **finished stock**.

58. **Suspension** means:

a. The slowdown or cessation of your business activities; or

b. That a part or all of the covered location is rendered untenantable.

59. **Temporary storage location** means a permanently fixed location that you lease, rent or occupy for a period of less than one year where **stock** that is to become a permanent part of an **installation or service premises** is stored while waiting to be delivered to an **installation or service premises** and there is a written construction or installation contract or agreement to install that **stock** at that **installation or service premises**.

Temporary storage location does not mean:

a. A **premises**;

b. A **newly acquired premises**;

c. A **reported unscheduled premises**;

d. A fair or exhibition; or

e. An **unreported premises**.

60. **Time element coverage** means the coverage provided under any of the following:

a. Business Income Coverage Form (Including Extra Expense);

b. Business Income Coverage Form Including Research and Development Continuing Expenses (Including Extra Expense) – Technology; or

c. Extra Expense Coverage Form.

61. **Unreported premises** means a location that contains **real property** or **personal property** in which you have an insurable interest but has not been reported to us.

Unreported premises does not mean:

a. A **premises**;

b. A **newly acquired premises**;

c. A **reported unscheduled premises**;

d. Property in transit;

e. A fair or exhibition;

f. An **installation or service premises**;

g. A **temporary storage location**; or

h. A **dependent premises**.

Real and Personal Property Coverage Form

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Real and Personal Property Coverage Form

A. Coverage

We will pay for direct physical loss of or damage to **covered property** at a **premises** directly caused by a **covered cause of loss**. We will not pay more in any one **occurrence** than the applicable Limit of Insurance shown on the Declarations for loss of or damage to **covered property** at that **premises**.

B. Property Not Covered

We will not insure the following property:

1. Aircraft, unless manufactured by you and unfueled at a **premises**;

2. All contraband property, including property in the course of illegal transportation or trade;

3. Animals, unless:

- **a.** Owned by others and boarded by you; or
- **b.** Owned by you as **stock** while inside of buildings;

4. Any type of currency only available in digital form as digital money, electronic money and electronic currency including but not limited to any type of virtual currency and cryptocurrency;

5. Bridges and tunnels except when part of a building or structure or a pedestrian bridge or tunnel at a **premises**;

6. **Green roofing systems** except when part of a building or structure. However, in no event will we pay for the following causes of loss to a **green roofing system**:

- **a.** Disease or sickness;
- **b.** Changes in or extremes of temperature;
- **c.** Dampness or dryness of atmosphere or of soil supporting the vegetation; or
- **d.** Rain, snow, hail, ice or sleet;

7. Growing crops or standing timber;

8. Land and water including naturally occurring water, except water used in your **operations** and contained in any above ground:

- **a.** Enclosed tank;
- **b.** Piping system; or
- **c.** Processing equipment;

9. Mines, mineshafts, caverns, open pits or quarries and any property contained therein;

10. **Money**, bills, notes or **securities** except to the extent coverage is provided by the Crime Coverage Form if that coverage is part of this Commercial Property Coverage Part;

11. Outdoor trees, shrubs, plants or lawns except to the extent coverage is provided with a Limit of Insurance in the Outdoor Trees, Shrubs, Plants or Lawns Additional Coverage;

12. Property covered under another policy or Coverage Part in which it is more specifically described, except for the excess of the amount due (whether you can collect on it or not) from that other insurance;

13. **Research and development property** except to the extent coverage is provided by the Research and Development Property Industries Coverage if that coverage is part of this Commercial Property Coverage Part;

14. **Scheduled property** except to the extent coverage is provided by the Scheduled Property Coverage Form if that coverage is part of this Commercial Property Coverage Part;

15. Spacecraft, satellites, associated launch vehicles and any major components, including any property contained therein;

16. Transmission and distribution lines situated beyond 1000 feet from a **premises** or **reported unscheduled premises**;

17. Vehicles or self-propelled machines that are:

    a. Licensed for use on public roads, except vehicles or self-propelled machines you manufacture, process, warehouse or hold for sale but only while on a **premises** or **reported unscheduled premises**; or

    b. Operated principally away from a **premises** or **reported unscheduled premises**, except to the extent a self-propelled machine is covered under Installation and Service Additional Coverage; or

18. Watercraft unless;

    a. Manufactured by you and unfueled at a **premises**; or

    b. Unpowered while out of water while at a **premises** or **reported unscheduled premises**.

C. Additional Coverages

The following are Additional Coverages to this Coverage Form. Each of the Additional Coverages applies independently of one another. Unless otherwise stated, the provisions, including the exclusions, limitations, deductibles, terms and conditions in this form apply to these Additional Coverages.

The applicable Limit of Insurance for any Additional Coverage will be shown on the Declarations and is the most we will pay for all loss, damage, cost or expense covered within that Additional Coverage, even if coverage would otherwise be available under any other part of this Commercial Property Coverage Part.

When any Additional Coverages – Limits of Insurance on the Declarations is shown as "Covered", the most we will pay for that Additional Coverage is the applicable Limit of Insurance shown on the Declarations for that **premises**.

When any Additional Coverages – Limits of Insurance on the Declarations is shown as **NCP**, (or is not shown on the Declarations) then any loss, damage, cost or expense falling within that Additional Coverage is not covered, even if coverage would otherwise be available under any other part of this Commercial Property Coverage Part. If you have not chosen a coverage elsewhere in this Commercial Property Coverage Part, there is no coverage under its corresponding Additional Coverages. For example, if you do not have coverage for **reported unscheduled premises** under the Real and Personal Property Coverage Form, you will not have coverage related to **reported unscheduled premises** under the Debris Removal Additional Coverage or any other Additional Coverage.

The Additional Coverages – Limits of Insurance shown on the Declarations are the most we will pay for the Additional Coverage indicated in any one **occurrence** unless otherwise shown. If a specific Limit of Insurance is shown for an Additional Coverage on the Property Schedule of Premises at any **premises**, that specific Limit of Insurance replaces, and is not in addition to, the Limits of Insurance shown in the Additional Coverages – Limits of Insurance section of the Declarations.

When any Additional Coverages – Limits of Insurance on the Declarations is shown in the Annual Aggregate, the most we will pay in any one policy year, regardless of the number of locations, coverages or **occurrences** involved, will not exceed such Annual Aggregate Limit of Insurance.

Limits for these Additional Coverages apply in addition to any other Limits of Insurance, unless otherwise stated.

1. Accounts Receivable

We will pay for:

a. The sums due you from customers that you are unable to collect;

b. Interest charges on any loan required to offset amounts you are unable to collect pending our payment of these amounts;

c. Collection expenses in excess of your normal collection expenses; and

d. Other expenses reasonably incurred by you to re-establish **accounts receivable records**. However, this does not apply for any **accounts receivable records** that exist as **electronic data**,

that result from direct physical loss of or damage to your **accounts receivable records** while at or away from a **premises** or **reported unscheduled premises** directly caused by a **covered cause of loss**.

This Additional Coverage does not apply to damage caused by or resulting from a **mistake** in programming or instructions to a machine.

If you cannot accurately establish the amount of accounts receivable outstanding at the time of loss or damage to **accounts receivable records**, the following method will be used to determine the amount of covered loss, damage or expense:

a. Determine the total of the average monthly amounts of accounts receivable for the 12 months immediately preceding the month in which the loss or damage occurred; and

b. Adjust that total for normal fluctuations in the amount of accounts receivable for the month in which the loss or damage occurred or for any demonstrated variance from the average for that month.

The following will be deducted from the total amount of accounts receivable, however that amount is established:

a. The amount of the accounts receivable for which there is no loss or damage;

b. The amount of the accounts receivable that you are able to re-establish or collect;

c. An amount to allow for probable bad debts that you are normally unable to collect; and

d. All unearned interest and service charges.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Accounts Receivable.

2. Better Green™

a. Better Green™ Upgrade – Property Damage

(1) We will pay the reasonable and necessary costs for you to upgrade or improve **covered property** at a **premises**, from its pre-loss condition, in order to achieve compliance with **green standards**, when such property has sustained direct physical loss of or damage directly caused by a **covered cause of loss.** This Additional Coverage includes the following reasonable and necessary costs incurred by you in order to comply with or achieve certification under the **green standards**:

(a) Registration and certification fees charged by the **green standards** organization;

(b) Fees of **green standard** accredited architects, engineers or design professionals;

(c) Commissioning or recommissioning engineering services to verify that repaired or replaced building systems and equipment have been properly installed, calibrated and will perform to accordance with its design criteria and manufacturers' specification, including the cost of testing;

(d) Costs to flush out the air with 100% outside air and conduct indoor air quality testing; and

(e) Additional cost of salvaging, reusing and recycling the debris of the damaged property, less the cost of any amounts received from such salvage, reuse or recycling.

(2) The most we will pay under this Additional Coverage at any one **premises**, is 10% of the amount we pay to repair or replace the damaged property to its same pre-loss condition, after the application of any deductible, up to the Limit of Insurance shown on the Declarations for Better Green™ Upgrade – Property Damage and Time Element Combined Per Premises.

(3) This Additional Coverage does not apply to property that was certified under a **green standard** prior to the loss or damage.

b. Pre-Certified Better Green™ Enhancement – Property Damage

The following applies to **covered property** at a **premises** that was certified under a **green standard** prior to the covered loss or damage:

(1) Nothing in this Additional Coverage is intended to reduce the coverage otherwise applicable under this policy for repair or replacement of such pre-certified property with comparable materials and products, including any reasonable and necessary costs incurred to maintain certification under the applicable **green standard**, if such certification was lost as a result of loss or damage covered under this policy.

(2) We will pay the reasonable and necessary costs you incur to achieve a higher level of energy efficiency or certification under the applicable **green standard** than the property had achieved pre-loss, when such property has sustained direct physical loss of or damage directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage at any one **premises**, is 50% of the amount you pay to achieve a higher level of energy efficiency or certification under the applicable **green standard**, up to the Limit of Insurance shown on the Declarations for Pre-Certified Better Green™ Enhancement – Property Damage and Time Element Combined Per Premises.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

3. Brands and Labels

We will pay the reasonable and necessary costs for you to:

a. Stamp salvage on **merchandise** or **finished stock** and their containers, if the stamp will not physically damage the **merchandise** or **finished stock**; or

b. Remove the brands or labels, if doing so will not physically damage the **merchandise** or **finished stock**, provided you relabel the **merchandise** or **finished stock** and their containers, to comply with the law,

when such property has sustained direct physical loss of or damage directly caused by a **covered cause of loss** and we have elected to take all or any part of such property at an agreed or appraised value.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Brands and Labels.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

4. Contaminant Clean Up and Removal – Land and Water

We will pay the reasonable and necessary costs you incur to extract **contaminants** from uninsured property consisting of land or water at a **premises** or **reported unscheduled premises** if the discharge, dispersal, seepage, migration, release or escape of the **contaminants** is directly caused by a **specified cause of loss**.

This Additional Coverage does not apply to the costs to test for, monitor or assess the existence, concentration, or effects of **contaminants**. But we will pay for the reasonable and necessary cost of testing performed in the course of extracting the **contaminants** from the land or water.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** in any one policy year, regardless of the number of **occurrences** involved, is the Annual Aggregate Limit of Insurance shown on the Declarations for Contaminant Clean Up and Removal – Land and Water.

The costs will be paid only if they are reported to us in writing within 180 days of the date on which the **specified cause of loss** occurs.

5. Debris Removal

a. We will pay your expense to remove debris of **covered property**, for which a Limit of Insurance is shown on the Declarations, remaining after direct physical loss of or damage to **covered property** directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage for Debris Removal, is the remaining applicable Limit of Insurance for the **covered property** shown on the Declarations after payment of the covered physical loss or damage.

b. If the total of the loss or damage and debris removal expense exceeds the applicable Limit of Insurance, we will pay the remaining debris removal expenses.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Debris Removal – Supplemental Limit.

c. If wind causes direct physical loss of or damage to **covered property**, we will also pay for the expenses you incur to remove debris of uncovered property that is blown on to the **premises** or **reported unscheduled premises** by wind and to remove debris of outdoor trees, shrubs, plants or lawns damaged by wind.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Debris Removal – Uncovered Property.

The expenses will be paid only if they are reported to us in writing within 180 days of the date of loss or damage.

In no event will there be any coverage under this Debris Removal Additional Coverage for any costs to:

a. Extract **contaminants** from uninsured property consisting of land or water; or

b. Remove, restore or replace uninsured property consisting of land or water that is **contaminated**.

6. Decontamination Expense

We will pay the reasonable and necessary expenses you incur to comply with an ordinance or law in force at the time of covered loss or damage that requires you to clean up, remove, decontaminate or restore **covered property** at a **premises** or **reported unscheduled premises** due to the actual, not suspected, presence of **contaminants** if the discharge, dispersal, seepage, migration, release or escape of the **contaminants** is directly caused by a **specified cause of loss**.

This Additional Coverage does not apply to expenses to comply with any ordinance or law that you were required to comply with before the loss or damage occurred.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the Limit of Insurance shown on the Declarations for Decontamination Expense.

7. Deferred Payments

We will pay your financial interest in **personal property** that suffers direct physical loss of or damage directly caused by a **covered cause of loss** after delivery to buyers and sold by you on a conditional sale or trust agreement, or any installment or deferred payment plan and the buyer refuses to continue payment.

This Additional Coverage does not apply to any amount that was past due at the time of loss or damage, by more than 30 days.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Deferred Payments.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

8. Expediting Expense

In the event of direct physical loss of or damage to **covered property** at a **premises** or **reported unscheduled premises** directly caused by a **covered cause of loss**, we will pay reasonable and necessary additional expenses you incur for temporary repair of damage to such **covered property** and the additional expenses you incur for expediting the permanent repair or replacement of such damaged property. This Additional Coverage does not include expenses recoverable elsewhere in this Commercial Property Coverage Part.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the Limit of Insurance shown on the Declarations for Expediting Expense.

9. Fairs or Exhibitions

We will pay for direct physical loss of or damage to **personal property**:

a. At fairs or exhibitions; and

b. In transit to or from fairs or exhibitions,

directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Fairs or Exhibitions – Personal Property.

The coverage territory for this Additional Coverage is extended to include Canada.

This Additional Coverage does not apply to property covered under the Mobile Communication Property – Worldwide Additional Coverage.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limit of Insurance.

10. Fine Arts

We will pay for direct physical loss of or damage to fine arts that are paintings, etchings, pictures, tapestries and other bona fide works of art, rarity, historical value or artistic merit such as rugs, statuary, marbles, bronzes, antiques, furniture, rare books, antique silver, manuscripts, porcelains, rare glass and bric-a-brac while at or away from a **premises** or **reported unscheduled premises** directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Fine Arts.

This Additional Coverage does not apply to loss or damage caused by or resulting from any repair, restoration or retouching activity.

11. Fire Department Service Charge

When the fire department is called to save or protect **covered property** from a **covered cause of loss** at a **premises** or **reported unscheduled premises**, we will pay for your liability for the fire department service charges:

a. Assumed by contract or agreement prior to loss; or

b. Required by local ordinance, law or statute.

We will also pay for those costs incurred by your fire brigade to save or protect **covered property** from a fire, but not including the costs to refill fire protective equipment.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the Limit of Insurance shown on the Declarations for Fire Department Service Charge.

No deductible applies to this Additional Coverage.

12. Fire Protective Equipment Refills

We will pay the reasonable and necessary costs you incur to refill fire protective equipment which has been discharged:

a. Accidentally; or

b. In the course of saving or protecting **covered property** from a **covered cause of loss**.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the Limit of Insurance shown on the Declarations for Fire Protective Equipment Refills.

13. Fungus, Wet Rot or Dry Rot

We will pay the following when **fungus**, wet rot or dry rot are the direct result of a **covered cause of loss**, other than fire or lightning:

a. Direct physical loss of or damage to **covered property** caused by **fungus**, wet rot or dry rot including the cost of removal of the **fungus**, wet rot or dry rot;

b. The reasonable and necessary cost to tear out and replace any part of the **real property** needed to gain access to the **fungus**, wet rot or dry rot; and

c. The reasonable and necessary cost of testing performed after removal, repair, replacement or restoration of the damaged property is completed, provided there is a reason to believe that the **fungus**, wet rot or dry rot are still present. This Additional Coverage does not apply to the costs to test for, monitor or assess the existence, concentration, or effects of **fungus**, wet rot or dry rot except as provided in this Section **c.**

The most we will pay under this Additional Coverage in any one policy year, regardless of the number of **occurrences**, **premises** or **reported unscheduled premises** involved, is the Annual Aggregate Limit of Insurance shown on the Declarations for Fungus, Wet Rot or Dry Rot. This Limit is the most we will pay even if the **fungus**, wet rot or dry rot continues to be present, active or recur in the current or subsequent policy period(s).

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

14. Installation or Service Property

We will pay for direct physical loss of or damage to **personal property** that is **stock** to be installed, tools, equipment or self-propelled machines directly caused by a **covered cause of loss** while such **stock**, tools, equipment or self-propelled machines are in transit to or from, or at, an **installation or service premises** or a **temporary storage location**.

Coverage for **stock** to be installed ends at the earlier of the following:

a. The **stock** is accepted by the purchaser;

b. The **stock** is installed and you have been paid;

c. The **stock** is installed and put to its intended use; or

d. The policy expires or is cancelled.

The most we will pay under this Additional Coverage is the applicable Limit of Insurance shown on the Declarations for Installation or Service Property.

This Additional Coverage does not apply to loss or damage caused by or resulting from rain, hail, snow, ice or sleet to **stock** to be installed, tools, equipment or self-propelled machines in the open. This exclusion applies even if the tools, equipment or self-propelled machines in the open was caused by or resulted from a **mistake** or **malfunction**.

15. Leasehold Interest

a. We will pay for the loss of:

(1) The net present value of your **leasehold interest** for each remaining month of your lease, discounted at the Prime Rate prevailing on the date the direct physical loss or damage occurs, rounded to the nearest whole number;

(2) Bonus payments you paid to acquire your lease, not including rent, prepaid rent or security, the amount to be calculated as set forth in Section **b.** below;

(3) Prepaid rent that you paid in advance that will not be refunded to you, other than periodic rental payments, the amount to be calculated as set forth in Section **b.** below; and

(4) Sublease profit calculated as the net present value of the net profit you earn each month by subleasing the **premises** or **reported unscheduled premises** (or portion thereof) for each remaining month of the lease or sublease, whichever expires first, discounted at the Prime Rate prevailing on the date the direct physical loss or damage occurs, rounded to the nearest whole number,

that you sustain when your lease is cancelled by the lessor as a result of a valid condition of your lease and such cancellation is due to direct physical loss of or damage to a building or structure directly caused by a **covered cause of loss** at a **premises** or **reported unscheduled premises**.

b. Bonus payments and prepaid rent will each be determined as follows:

(1) Divide your original costs by the number of months left in your lease at the time of the respective expenditures for bonus payments or prepaid rent;

(2) Multiply the amount determined in **(1)** above by the number of months remaining in your lease at the time your lease is cancelled.

c. If your lease is cancelled and your landlord lets you continue to use the **premises** or **reported unscheduled premises** under a new lease, we will not pay more than the lesser of the following:

(1) The difference between the rent you were paying at the time of cancellation and the rent you will pay under the new lease; or

(2) The amount we would pay under Section **15.a.** above.

d. We will not pay under this Additional Coverage if the **premises** or **reported unscheduled premises** where the lease is cancelled had been vacant for more than 60 consecutive days prior to the loss or damage unless you had entered into an agreement to sublease the **premises** or **reported unscheduled premises**.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the Limit of Insurance shown on the Declarations for Leasehold Interest.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

16. Lock and Key Replacement

We will pay the reasonable and necessary cost of:

a. Entry key replacement if keys to a **premises** or **reported unscheduled premises** are stolen; or

b. Entry lock repair or replacement made necessary by theft or attempted theft at a **premises** or **reported unscheduled premises**.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the Limit of Insurance shown on the Declarations for Lock and Key Replacement.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

17. Loss Prevention Expenses

We will pay the reasonable and necessary expenses you incur to protect **covered property** at a **premises** or **reported unscheduled premises** from imminent direct physical loss of or damage directly caused by a **covered cause of loss**.

We will only pay these expenses in any one **occurrence** when they exceed the amount shown on the Declarations. We will then pay the amount of covered loss or damage in excess of such amount, up to the applicable Limit of Insurance.

The most we will pay under this Additional Coverage in any one policy year, regardless of the number of **occurrences**, **premises** or **reported unscheduled premises** involved, is the Annual Aggregate Limit of Insurance shown on the Declarations for Loss Prevention Expenses.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

18. Mobile Communication Property – Worldwide

We will pay for direct physical loss of or damage to **personal property** that are cellular phones, laptop computers or other personal handheld computer or communication devices and their accessories being used in your **operations** that are away from a **premises** or **reported unscheduled premises** directly caused by a **covered cause of loss**.

The coverage territory for this Additional Coverage is extended to apply anywhere in the world.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Mobile Communication Property – Worldwide – Personal Property.

This Additional Coverage does not apply to:

a. Property that is **stock**; or

b. Property rented or leased to others.

19. Newly Acquired Premises

We will pay for direct physical loss of or damage to **covered property** at a **newly acquired premises** directly caused by a **covered cause of loss**.

This Additional Coverage will automatically expire on the earliest of the following dates:

a. The date you report the **newly acquired premises** to us;

b. The number of days shown on the Declarations from the date the location becomes a **newly acquired premises**; or

c. The date this policy expires or is cancelled.

We will charge you additional premium for values reported from the date the location becomes a **newly acquired premises**.

The most we will pay under this Additional Coverage at any one **newly acquired premises** is the applicable Limit of Insurance shown on the Declarations for Newly Acquired Premises.

20. Newly Acquired Property

We will pay for direct physical loss of or damage to:

a. Your newly acquired or constructed **real property** at a **premises** if coverage is not currently shown for **real property** at that **premises** on the Declarations; and

b. Your newly acquired **personal property** at a **premises** if coverage is not currently shown for **personal property** at that **premises** on the Declarations,

directly caused by a **covered cause of loss**.

This Additional Coverage will automatically expire on the earliest of the following dates:

a. The date you report the newly acquired property to us;

b. The number of days shown on the Declarations from the date construction of **real property** begins or completed **real property** or **personal property** is acquired; or

c. The date this policy expires or is cancelled.

We will charge you additional premium for values reported from the date construction of **real property** begins or **personal property** or completed **real property** is acquired.

The most we will pay under this Additional Coverage at any one **premises** is the applicable Limit of Insurance shown on the Declarations for Newly Acquired Property.

21. Ordinance or Law

If at the time of direct physical loss of or damage to **real property** or **personal property** directly caused by a **covered cause of loss**, there is an ordinance or law in force that regulates zoning, land use, demolition, repairs or construction of **real property** or **personal property** at a **premises** or **reported unscheduled premises**, we will pay the:

a. Undamaged Portion

Loss in value of the undamaged portions of the **real property** or **personal property** as a consequence of, enforcement of, and in compliance with an ordinance or law requiring a demolition;

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the applicable Limit of Insurance shown on the Declarations for Undamaged Portion.

The Limit for the Undamaged Portion is included in, and not in addition to, the applicable Limit of Insurance shown on the Declarations for the **real property** or **personal property** at that **premises** or **reported unscheduled premises**.

b. Demolition

Costs to demolish and clear the site of the undamaged portions of the **real property** or **personal property** as a consequence of, enforcement of, and in compliance with an ordinance or law requiring a demolition;

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the applicable Limit of Insurance shown on the Declarations for Demolition.

c. Increased Cost of Construction

Increased costs to repair, rebuild or replace the damaged and undamaged **real property** or **personal property** as a consequence of, enforcement of, and in compliance with the minimum standards of an ordinance or law.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the applicable Limit of Insurance shown on the Declarations for Increased Cost of Construction.

This Additional Coverage does not apply to:

a. Costs directly or indirectly associated with the enforcement of any ordinance, law, request, demand, order, regulation or rule that requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of **contaminants**, **fungus** or wet rot or dry rot;

b. Enforcement of any ordinance, law, request, demand, order, regulation or rule which requires the demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination, presence, growth, proliferation, spread or activity of **contaminants**, **fungus** or wet rot or dry rot; or

c. Costs to comply with any ordinance, law, request, demand, order, regulation or rule that you were required to comply with before the loss or damage.

22. Outdoor Trees, Shrubs, Plants or Lawns

We will pay for direct physical loss of or damage to outdoor trees, shrubs, plants or lawns you own at a **premises** or **reported unscheduled premises** directly caused by:

a. Fire;

b. Lightning;

c. Explosion;

d. Riot or civil commotion; or

e. Aircraft.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the Limits of Insurance shown on the Declarations for Outdoor Trees, Shrubs, Plants or Lawns. However, the most we will pay for any one outdoor tree, shrub or plant is the per item Limits of Insurance shown on the Declarations.

This Additional Coverage does not apply to:

a. **Green roofing systems**; or

b. **Stock**.

23. Pair or Set

We will pay for the consequential loss in value of undamaged **stock** which has become unmarketable as a complete product because of direct physical loss of or damage to other **stock** directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the Limit of Insurance shown on the Declarations for Pair or Set.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

24. Preservation of Property

If **covered property** is removed from a **premises** or **reported unscheduled premises** to preserve it from actual or imminent physical loss of or damage by a **covered cause of loss**:

a. We will pay for direct physical loss of or damage to the **covered property** directly caused by a **covered cause of loss** while it is being:

(1) Moved to another location or returned from such location to the original **premises** or **reported unscheduled premises**; and

(2) Temporarily stored at another location; and,

b. We will also pay the reasonable and necessary costs to:

(1) Move the **covered property** to another location; and

(2) Return the **covered property** to its original **premises** or **reported unscheduled premises**.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Preservation of Property

The Limit for this Additional Coverage is included in, and not in addition to, the applicable Limit of Insurance shown on the Declarations for that **covered property**.

25. Professional Fees

We will reimburse you for the reasonable and necessary expenses you incur for professional services for auditors, accountants, architects or engineers which are necessary to prepare a statement of loss or exhibits required in connection with any loss covered under this Commercial Property Coverage Part.

This Additional Coverage does not apply to fees and costs of:

a. Your employees; or

b. Attorneys, public adjusters, loss appraisers or loss consultants.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Professional Fees.

26. Release of Refrigerant

We will pay for direct physical loss of or damage to **stock** caused by the release or escape of refrigerants from any equipment located at a **premises** or **reported unscheduled premises**.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the Limit of Insurance shown on the Declarations for Release of Refrigerant.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

This Additional Coverage does not apply to loss or damage caused directly or indirectly by **earth movement** or **flood**, even if coverage for **earth movement** or **flood** is added by endorsement to this Commercial Property Coverage Part.

27. Reported Unscheduled Premises

We will pay for direct physical loss of or damage to **covered property** at a **reported unscheduled premises** directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage at any one **reported unscheduled premises** is the applicable Limit of Insurance shown on the Declarations for Reported Unscheduled Premises.

28. Reward Payments

We will reimburse you for rewards you pay for information leading to:

a. The successful return of undamaged stolen **covered property** to you or a law enforcement agency; or

b. The arrest and conviction of any persons for having damaged or stolen your **covered property**.

The reward payments must be documented.

The most we will pay under this Additional Coverage is 25% of the value of the damaged or stolen **covered property**, up to the Limit of Insurance shown on the Declarations for Reward Payments.

29. Salespersons Samples

We will pay for direct physical loss of or damage to **personal property** used for sample purposes while in transit and in the custody of your salesperson, or at any location, other than a **premises**, **reported unscheduled premises** or **unreported premises**, directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Salespersons Samples.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

30. Sewer, Drain or Sump

We will pay for direct physical loss of or damage to **covered property** at a **premises** or **reported unscheduled premises** directly caused by water or waterborne material that backs up or overflows from a sewer, drain or sump when such back up or overflow is directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the Limit of Insurance shown on the Declarations for Sewer, Drain or Sump.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

This Additional Coverage does not apply to the back up or overflow of water or waterborne material that is directly or indirectly caused by **flood**.

31. Spoilage – Equipment Breakdown

We will pay for direct physical loss of or damage to **stock** at a **premises** or **reported unscheduled premises** directly caused by the loss of or changes in any artificially maintained or generated atmosphere, humidity or temperature resulting from an **equipment breakdown cause of loss** to atmosphere, humidity or temperature control equipment at the **premises** or **reported unscheduled premises**.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the Limit of Insurance shown on the Declarations for Spoilage – Equipment Breakdown.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

32. Theft Damage to Buildings

We will pay for direct physical loss of or damage to **real property** at a **premises** or **reported unscheduled premises** in which you are a tenant directly caused by theft, burglary or robbery, provided you are legally obligated to pay for such loss or damage.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for **personal property** at that **premises** or **reported unscheduled premises**.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

33. Transit

We will pay for direct physical loss of or damage to **personal property** in transit, including:

a. Your interest in shipments sold under Free on Board or Freight Allowed terms;

b. **Personal property** when the purchaser refuses to accept delivery or returns it to the shipper; or

c. General average and salvage charges on shipments while waterborne,

directly caused by a **covered cause of loss**.

This Additional Coverage starts when the vehicle transporting such **personal property** leaves the originating location and ends when unloaded at the final destination, including ordinary or reasonable stops, interruptions, delays or transfers in the course of transit.

In the event of any loss or damage to **personal property** in transit, you must immediately make a claim in writing against the carrier, bailee or others involved.

If **personal property** in transit which was sold under Free on Board or Freight Allowed terms is lost or damaged and the consignee refuses to pay for such **personal property** because of the loss or damage, we will not attempt to enforce collection from the consignee without your written permission.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Transit – Personal Property.

This Additional Coverage does not apply to:

a. Property of others in your care, custody or control if you are acting as a carrier for hire, broker, loader, consolidator or freight forwarder with a written contract or bill of lading;

b. Furs, fur garments and garments trimmed with fur;

c. Jewelry, watches, watch movements, jewels, pearls, precious or semiprecious stones, bullion, gold, silver, platinum and other precious alloys or metals, except for:

(1) Jewelry or watches worth $100 or less per item; or

(2) Precious or semiprecious stones or metals used for industrial purposes;

d. Lottery tickets held for sale; or

e. Property in transit insured under any other Coverage in this policy.

34. Undamaged Improvements and Betterments

We will pay for the value of undamaged **improvements and betterments** when your lease is cancelled:

a. By the lessor; and

b. As a result of a valid condition of your lease,

due to direct physical loss of or damage to property directly caused by a **covered cause of loss** at a **premises** or **reported unscheduled premises**.

The most we will pay under this Additional Coverage at any one **premises** or **reported unscheduled premises** is the Limit of Insurance shown on the Declarations for Undamaged Improvements and Betterments.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

35. Unintentional Errors or Omissions

We will pay for direct physical loss of or damage to **covered property** directly caused by a **covered cause of loss** which is not payable under this policy as a result of:

a. Your unintentional error or omission in the description or location of such **covered property**; or

b. Failure to include a **premises** you own, lease, rent or occupy as of the effective date shown on the Declarations due to your unintentional error or omission.

We will pay such loss or damage only to the extent such loss or damage would have been covered under the terms and conditions of this Commercial Property Coverage Part if the unintentional error or omission had not been made.

This Additional Coverage applies only if:

a. You report and correct such unintentional error or omission when discovered; and

b. You pay any additional premium that may be due.

This Additional Coverage does not apply if:

a. You collect or are entitled to collect any portion of the loss or damage under this or any other policy; or

b. The loss or damage is caused directly or indirectly by **earth movement** or **flood**, even if coverage for **earth movement** or **flood** is added by endorsement to this Commercial Property Coverage Part.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Unintentional Errors or Omissions Property Damage and Time Element Combined.

36. Unreported Premises

We will pay for direct physical loss of or damage to **covered property** at an **unreported premises** directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage at any one **unreported premises** is the applicable Limit of Insurance shown on the Declarations for Unreported Premises.

This Additional Coverage does not apply to property covered under any other Coverage in this Commercial Property Coverage Part.

37. Utility Service Interruption – Property Damage

We will pay for direct physical loss of or damage to **covered property** at a **premises** or **reported unscheduled premises** directly caused by the interruption of utility services consisting of water, power, steam, natural gas, sewer or communication, including video, voice, data and internet access, but not including **Information**

technology services provider. The interruption must result from direct physical loss of or damage directly caused by a **covered cause of loss** to property (including overhead transmission and distribution lines) of the utility service supplier located away from the **premises** or **reported unscheduled premises** where the loss or damage occurred.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Utility Service Interruption – Property Damage.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

38. Valuable Papers and Records

We will pay the reasonable and necessary costs you incur to research and reproduce a master copy of written, inscribed or printed valuable papers and records, including abstracts, blueprints, books, deeds, drawings, films, maps, mortgages, prints and tracings, files and tapes, when there is direct physical loss of or damage to such valuable papers and records at or away from a **premises** or **reported unscheduled premises** directly caused by a **covered cause of loss**.

The most we will pay for this Additional Coverage is the Limit of Insurance shown on the Declarations for Valuable Papers and Records.

This Additional Coverage does not apply to:

a. Papers and records that can be replaced by purchasing a duplicate that is available for sale;

b. Papers and records that can be copied from an existing original or duplicate;

c. **Stock**;

d. Property covered under the Fine Arts Additional Coverage;

e. **Electronic data**; or

f. Damage caused by or resulting from a **mistake** in programming or instructions to a machine.

D. Exclusions

Unless otherwise stated, the following exclusions apply to all coverages under this Coverage Form.

1. Atmosphere, Humidity or Temperature

We will not pay for loss or damage to **personal property** caused by or resulting from any condition of, loss of or change in humidity or temperature, all whether atmospheric or not. This exclusion applies even if the condition of, loss of or change in humidity or temperature was caused by or resulted from an **equipment breakdown cause of loss**, **mistake**, **malfunction** or weather condition.

But if a **covered cause of loss** results, we will pay for that portion of the loss or damage which was solely caused by that **covered cause of loss**.

This exclusion does not apply to loss of or damage to **computer systems**.

This exclusion does not apply to the extent coverage is provided by the Spoilage – Equipment Breakdown Additional Coverage of this Commercial Property Coverage Part.

2. Contaminants

We will not pay for loss or damage, including the inability to use or occupy any location, caused by or resulting from the actual or suspected presence, growth, proliferation, spread or any activity of **contaminants**. Such loss or damage is excluded regardless of any other cause or event, including a **mistake**, **malfunction** or weather condition, that contributes concurrently or in any sequence to the loss or damage, even if such other cause or event would otherwise be covered. But, if the actual or suspected presence, growth, proliferation, spread or any activity is directly caused by a **specified cause of loss**, we will pay only for that portion of the loss or damage solely caused by that **specified cause of loss**.

We will also not pay for loss, cost or expense arising out of any ordinance, law, request, demand, order, regulation or rule that requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of **contaminants**.

3. Cracking and Settling

We will not pay for loss or damage caused by or resulting from bulging, cracking, shrinkage, expansion or settling of **real property** or **personal property**. This exclusion applies even if the bulging, cracking, shrinkage, expansion or settling was caused by or resulted from a **mistake** or **malfunction.**

But if a **covered cause of loss** results, we will pay for that portion of the loss or damage which was solely caused by that **covered cause of loss.**

4. Defects or Errors

We will not pay for any of the following:

a. Loss or damage, including the costs of correcting or making good, caused by or resulting from:

(1) A **mistake** in planning, zoning, development, surveying, siting;

(2) A **mistake** in design, specifications, workmanship, repair, construction, renovation, remodeling, grading, compaction;

(3) A **mistake** in materials used in repair, construction, renovation or remodeling; or

(4) Insufficient or failure of maintenance or servicing,

of part or all of any property.

b. Loss or damage, including the costs of correcting or making good, caused by or resulting from incorporating materials which are broken, inadequate, improper, faulty, flawed, improperly specified, **contaminated**, unfit for the purpose intended, or which contain a latent defect into part or all of any property.

But if a **covered cause of loss** results, we will pay for that portion of the loss or damage which was solely caused by that **covered cause of loss**. In no event will we pay the costs or expense to improve or redesign the original materials, supplies, designs, plans or specifications or to improve workmanship.

For purposes of this policy and not merely this exclusion, **covered property**, or any part thereof, shall not be regarded as damaged solely by virtue of the existence of a condition stated under **4.a.** and **b.** above.

5. Disappearance or Shortage

We will not pay for loss caused by or resulting from disappearance or shortage disclosed on taking inventory or where there is no physical evidence to show what happened to the property. This exclusion applies even if the disappearance or shortage was caused by or resulted from a **mistake** or **malfunction.**

This exclusion does not apply to property in transit.

6. Dishonest Acts

We will not pay for loss or damage caused by or resulting from fraudulent, dishonest or criminal acts (including theft) or omissions, committed by you, your partners, **members**, officers, **managers**, employees (including leased or temporary employees), directors, trustees, authorized representatives, or theft by anyone else to whom you have entrusted the property for any purpose:

a. Acting alone or in collusion with others; or

b. Whether or not occurring during the hours of employment.

This exclusion applies even if the:

a. Fraudulent, dishonest or criminal acts (including theft) or omissions; or

b. Theft by anyone else to whom you have entrusted the **covered property** for any purpose,

was caused by or resulted from a **mistake** or **malfunction**.

This exclusion does not apply to:

a. Acts of vandalism committed by your employees (including leased or temporary employees) or authorized representatives; or

b. Carriers for hire or anyone claiming to be a carrier for hire at the time the property is entrusted to them.

7. Earth Movement

We will not pay for loss or damage caused directly or indirectly by **earth movement**. Such loss or damage is excluded regardless of any other cause or event, including a **mistake**, **malfunction** or weather condition, that contributes concurrently or in any sequence to the loss or damage, even if such other cause or event would otherwise be covered. But if **earth movement** results in fire, explosion, theft or **earthquake sprinkler leakage**, we will pay for that portion of the loss or damage which was solely caused by that fire, explosion, theft or **earthquake sprinkler leakage.**

This exclusion does not apply to:

a. Property in transit;

b. Property covered under the Mobile Communication Property – Worldwide Additional Coverage; and

c. **Stock**, tools, equipment or self-propelled machines while at an **installation or service premises** or at a **temporary storage location.**

8. Electronic Data

We will not pay for loss or damage directly or indirectly caused by:

a. Loss or damage to **electronic data**;

b. The inability to use or access **electronic data**;

c. The reduction in functionality of **electronic data**; or

d. The repair, replacement, restoration or reproduction of any **electronic data.**

Such loss or damage is excluded regardless of any other cause or event, including a **mistake**, **malfunction** or weather condition, that contributes concurrently or in any sequence to the loss or damage, even if such other cause or event would otherwise be covered.

However, if the loss or damage to the **electronic data** is the result of direct physical loss of or damage to a **computer system** by a **covered cause of loss**, we will pay for the cost to copy the **electronic data** from back-ups or originals of a previous generation.

In no event will we pay:

a. To research or recreate **electronic data**; or

b. For any value of **electronic data**.

9. Electronic Vandalism

We will not pay for loss or damage caused directly or indirectly by or resulting from **electronic vandalism** including any action taken in controlling, preventing, suppressing or remediating **electronic vandalism**. Such loss or damage is excluded regardless of any other cause or event, including a **mistake**, **malfunction** or physical damage to property, that contributes concurrently or in any sequence to the loss or damage, even if such other cause or event would otherwise be covered. But if **electronic vandalism** results in fire or explosion, we will pay for that portion of the loss or damage which was solely caused by that fire or explosion.

10. Expected, Preventable or Accumulated Losses

We will not pay for loss or damage caused by or resulting from:

a. Wear and tear;

b. Smoke, vapor or gas from agricultural smudging or industrial operations;

c. Smog;

d. Rust or other corrosion, decay, deterioration, fading, hidden or latent defect or any quality of the property that causes it to damage or destroy itself; or

e. Nesting or infestation, or discharge or release of waste products or secretions, by insects, birds, rodents or other animals.

But if a **covered cause of loss** results, we will pay for that portion of the loss or damage which was solely caused by that **covered cause of loss**.

11. Flood

We will not pay for loss or damage caused directly or indirectly by **flood**. Such loss or damage is excluded regardless of any other cause or event, including a **mistake**, **malfunction** or weather condition, that contributes concurrently or in any sequence to the loss or damage, even if such other cause or event would otherwise be covered. But if **flood** results in fire, explosion or theft, we will pay for that portion of the loss or damage which was solely caused by that fire, explosion or theft.

This exclusion does not apply to:

a. Property in transit;

b. Property covered under the Mobile Communication Property – Worldwide Additional Coverage; and

c. **Stock**, tools, equipment or self-propelled machines while at an **installation or service premises** or at a **temporary storage location**.

12. Fungus, Wet Rot or Dry Rot

We will not pay for loss or damage, including the inability to use or occupy any locations, consisting of, directly or indirectly caused by, contributed to, or aggravated by the actual or suspected presence, growth, proliferation, spread or any activity of **fungus**, wet rot or dry rot unless resulting from fire or lightning. Such loss or damage is excluded regardless of any other cause or event, including a **mistake**, **malfunction** or weather condition, that contributes concurrently or in any sequence to the loss or damage, even if such other cause or event would otherwise be covered.

But if **fungus**, wet rot or dry rot result in a **specified cause of loss**, other than fire or lightning, we will pay that portion of the loss or damage which was solely caused by that **specified cause of loss**.

We will also not pay for loss, cost or expense arising out of any ordinance, law, request, demand, order, regulation or rule that requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of **fungus**, wet rot or dry rot.

This exclusion does not apply to the extent coverage is provided by the Fungus, Wet Rot or Dry Rot Additional Coverage of this Commercial Property Coverage Part.

13. Governmental Action

We will not pay for loss or damage caused directly or indirectly by any seizure, confiscation, expropriation, nationalization or destruction of property by order of governmental authority. Such loss or damage is excluded regardless of any other cause or event, including a **mistake**, **malfunction** or weather condition, that contributes concurrently or in any sequence to the loss or damage, even if such other cause or event would otherwise be covered.

This exclusion does not apply to seizure or destruction of property by order of governmental authority and taken at the time of fire to prevent its spread.

14. Impact Damage

We will not pay for loss or damage caused by or resulting from water, including water pressure, ice or impact of watercraft to buildings or structures located on or partially over water, including retaining walls, bulkheads, piers, wharves, docks or any other property located on those structures. This exclusion applies even if the water, including water pressure, ice or impact of watercraft was caused by or resulted from a **mistake** or **malfunction**.

15. Loss of Market or Delay

We will not pay for loss or damage caused by or resulting from loss of market, loss of use or delay. This exclusion applies even if the loss of market, loss of use or delay was caused by or resulted from a **mistake** or **malfunction**.

16. Nuclear Hazard

We will not pay for loss or damage caused directly or indirectly by nuclear reaction or radiation, or radioactive contamination, however caused. Such loss or damage is excluded regardless of any other cause or event, including a **mistake** or **malfunction**, that contributes concurrently or in any sequence to the loss or damage, even if such other cause or event would otherwise be covered. But if nuclear reaction or radiation, or radioactive contamination results in fire, we will pay for that portion of the loss or damage which was solely caused by that fire.

17. Ordinance or Law

We will not pay for loss or damage caused by, resulting from or arising from the enforcement of any ordinance, law, request, demand, order, regulation or rule regulating or restricting the construction, installation, repair, replacement, improvement, modification, demolition, occupancy, operation or other use, or removal including debris removal of any property.

This exclusion applies:

a. Even if the enforcement of any ordinance, law, request, demand, order, regulation or rule was caused by or resulted from a **mistake** or **malfunction**; or

b. Whether the loss results from:

(1) An ordinance, law, request, demand, order, regulation or rule that is enforced even if the property has not been damaged; or

(2) The increased costs incurred to comply with an ordinance, law, request, demand, order, regulation or rule in the course of construction, repair, renovation, remodeling or demolition of property, or removal of its debris, following a physical loss to that property.

This exclusion does not apply to the extent coverage is provided by the Decontamination Expense or Ordinance or Law Additional Coverages of this Commercial Property Coverage Part.

18. Process Failures

We will not pay for loss or damage due to spoilage, destruction, adulteration, discard, reduction in value or any other loss or damage to **stock** caused by or resulting from a **mistake** or **malfunction** in the alteration, calibration, development, distribution, installation, manufacturing, maintenance, processing, repair, research or testing of such **stock**.

19. Shortage

We will not pay for loss or damage caused by or resulting from:

a. Alteration, falsification, concealment or destruction of recorded information done to conceal the wrongful giving, taking or withholding of **money**, **securities** or other property.

b. Bookkeeping, accounting or billing errors or omissions even if the bookkeeping, accounting or billing error or omissions were caused by or resulted from a **mistake** or **malfunction**.

20. Space and Space Related Risks

We will not pay for loss or damage directly or indirectly caused by:

a. Loss or damage to spacecraft, satellites, associated launch facilities or launch vehicles and any major components, including any property contained therein; or

b. The failure of, interruption of, or interference with, transmission(s) to or from, any satellite.

Such loss or damage is excluded regardless of any other cause or event, including a **mistake**, **malfunction** or weather condition, that contributes concurrently or in any sequence to the loss or damage, even if such other cause or event would otherwise be covered.

21. Suspended Equipment

We will not pay for loss or damage caused by or resulting from an **equipment breakdown cause of loss** to suspended equipment. This exclusion applies even if the **equipment breakdown cause of loss** was caused by or resulted from a **mistake** or **malfunction**.

But if a **covered cause of loss** results, we will pay for that portion of the loss or damage which was solely caused by that **covered cause of loss**.

22. Testing

We will not pay for loss or damage to machinery or equipment while undergoing a pressure, mechanical or electrical test. This exclusion applies even if the loss or damage to machinery or equipment undergoing a pressure, mechanical or electrical test was caused by or resulted from an **equipment breakdown cause of loss**, **mistake** or **malfunction**.

But if a **covered cause of loss** results, we will pay for that portion of the loss or damage which was solely caused by that **covered cause of loss**.

23. Utility Service Interruption

We will not pay for loss or damage caused by or resulting from the interruption of utility services, including but not limited to water, power, steam, natural gas, sewer, communication, including video, voice, data and internet access or any **information technology services provider**, supplied to a covered location, however caused, if the interruption takes place away from the covered location. Such loss or damage is excluded regardless of any other cause or event, including a **mistake**, **malfunction** or weather condition, that contributes concurrently or in any sequence to the loss or damage, even if such other cause or event would otherwise be covered.

But if a **covered cause of loss** results, we will pay for that portion of the loss or damage which was solely caused by that **covered cause of loss**.

This exclusion does not apply to the extent coverage is provided in the Utility Service Interruption – Property Damage Additional Coverage of this Commercial Property Coverage Part.

24. War and Military Action

We will not pay for loss or damage arising, directly or indirectly, out of:

a. War, including undeclared or civil war;

b. Warlike or hostile action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents;

c. Insurrection, rebellion, revolution, usurped power or action taken by governmental authority by hindering or defending against any of these; or

d. Any weapon of war or of mass destruction employing biological or chemical warfare, atomic fission, atomic fusion, radioactive force or radioactive material, whether in time of peace or war regardless of who commits the act.

Such loss or damage is excluded regardless of any other cause or event, including a **mistake** or **malfunction**, that contributes concurrently or in any sequence to the loss or damage, even if such other cause or event would otherwise be covered.

E. Limits of Insurance

1. Except as otherwise stated in Section **C.** in this Coverage Form for an Additional Coverage or an endorsement attached to this Commercial Property Coverage Part, the applicable Limits of Insurance shown on the Declarations are the most we will pay, per **premises** or in any one **occurrence**, as indicated, for direct physical loss of or damage to **covered property**.

If a Limit of Insurance applies in the Annual Aggregate, then the most we will pay in any one policy year, regardless of the number of locations, coverages or **occurrences** involved, will not exceed such Annual Aggregate Limit of Insurance as shown on the Declarations.

When a Limit of Insurance is shown as **NCP** on the Declarations for any coverage, cause of loss, or part thereof, then any loss, damage, cost or expense falling within such coverage, cause of loss, or part thereof is not covered even if coverage would otherwise be available under any other part of this Commercial Property Coverage Part.

2. The following types of **personal property** are covered only up to the Limits of Insurance shown below in any one **occurrence** for loss or damage due to theft:

a. $2,500 for furs, fur garments and garments trimmed with fur.

b. $2,500 for jewelry, watches, watch movements, jewels, pearls, precious and semiprecious stones, bullion, gold, silver, platinum and other precious alloys or metals.

This limit does not apply to:

(1) Jewelry or watches worth $100 or less per item; or

(2) Precious or semiprecious stones or metals used for industrial purposes.

c. $250 for lottery tickets held for sale.

These Limits of Insurance are included in, and not in addition to, any other applicable Limits of Insurance.

3. Inflation Guard

If a percentage is shown on the Declarations for Inflation Guard, the Limits of Insurance to which the Inflation Guard applies will automatically increase by the annual percentage shown on the Declarations.

The amount of the increase will be:

a. The Limit of Insurance that applied on the most recent of this Commercial Property Coverage Part's inception date, anniversary date or date of any other Commercial Property Coverage Part change amending the Limit of Insurance, multiplied by

b. The percentage of annual increase shown on the Declarations, expressed as a decimal (Example: 4% is .04), multiplied by

c. The number of days since the beginning of the most recent Commercial Property Coverage Part year or the effective date of the most recent Commercial Property Coverage Part change amending the Limit of Insurance, divided by 365.

Example:

If:	The applicable Limit of Insurance is	$100,000
	The annual percentage increase is	4%
	The number of days since the beginning of the Coverage Part Year (or last Coverage Part change) is	146
Then:	The amount of increase is $100,000 x .04 x 146 / 365 =	$1,600
	The available Limit of Insurance is	$101,600

4. Supplemental Premises Limit

If a percentage is shown on the Declarations for Supplemental Premises Limit, we will not pay more than the lesser of the following:

a. The amount of covered loss or damage at the **premises**; or

b. The percentage applied to the applicable Real Property or Personal Property Limit of Insurance for such property at the **premises**.

However, in no event will we pay more than $5,000,000 over the applicable Limits of Insurance shown on the Declarations for that **premises.**

This Supplemental Premises Limit does not apply to any **premises** included within any Blanket Limit of Insurance.

F. Deductible

1. We will not pay for loss or damage in any one **occurrence** until the amount of covered loss, damage, cost or expense exceeds the applicable deductibles shown on the Declarations. We will then pay the amount of covered loss, damage, cost or expense in excess of the deductibles, up to the applicable Limits of Insurance.

2. Unless otherwise stated, if two or more deductibles are applicable to covered loss, damage, cost or expense in an **occurrence**, the highest applicable deductible amount will be applied. However, if separate deductibles apply to **covered property** and **time element coverages**, then the deductibles shall apply separately but only the highest applicable deductible amount for loss or damage to **covered property** and the highest applicable deductible amount for loss under **time element coverage** will apply.

3. If two or more deductibles apply on a per **premises** or per **reported unscheduled premises** basis in an **occurrence**, the highest applicable deductible amount for loss or damage to **covered property** and the highest applicable deductible amount for loss under **time element coverage** applying to each **premises** or **reported unscheduled premises** will be applied separately to each such **premises** or **reported unscheduled premises**.

4. When a deductible is not specified for the Utility Service Interruption Additional Coverage, the deductible that applies to loss, damage, cost or expense covered under the Utility Service Interruption Additional Coverage will be the deductible that would apply if the cause of the interruption happened at the **premises** or **reported unscheduled premises** where the loss occurred.

G. Valuation

1. We will determine the amount of covered loss or damage at the lesser of the:

   a. **Replacement cost**; or

   b. **Amount you actually spend**,

   except as otherwise stated in this Section.

2. **Real property** or **personal property**, other than **improvements and betterments**, which are not repaired, rebuilt or replaced, will be valued at the **actual cash value** at the time and place of loss or damage. If you commence the repair, rebuilding or replacement of the lost or damaged **real property** or **personal property**, other than **improvements and betterments**, within 24 months from the date the loss or damage occurred, and upon completion of the repair, rebuilding or replacement, we will pay you the difference between the **actual cash value** previously paid and the **replacement cost** at the time of loss or damage.

3. **Merchandise:**

   a. That has been sold but not delivered; or

   b. That you have manufactured (or that was manufactured exclusively for you as described in Section **19.b.** of the Commercial Property Definitions) that is held for sale at a **premises** or **reported unscheduled premises** of any retail outlet that is not insured for Business Income Insurance,

   at the regular cash selling price, less any discounts and expenses you otherwise would have had.

4. **Finished stock** at the regular cash selling price, less any discounts and expenses you otherwise would have had.

5. **Stock in process** at the value of **raw stock**, your labor expended and your materials incorporated plus the proper proportion of your overhead charges, calculated in accordance with principles of Direct Costing. In no event will overhead be calculated in accordance with the principles of Absorption Costing.

6. **Improvements and betterments** at:

   a. The **replacement cost** if you make repairs with reasonable speed.

   b. A proportion of your original cost if you do not make repairs with reasonable speed. We will determine the proportionate value as follows:

      (1) Multiply the original cost by the number of days from the loss or damage to the expiration of the lease; and

      (2) Divide the amount determined in **(1)** above by the number of days from the installation of **improvements and betterments** to the expiration of the lease.

   If your lease contains a renewal option, the expiration of the renewal option period will be used as the expiration of the lease.

   c. That portion which has not been paid if others pay for repairs, rebuilding or replacement.

7. **Personal property** that is useless to you or obsolete at **actual cash value**.

8. **Duplicate information property** at the lesser of:

   a. The cost to purchase a duplicate copy, if a duplicate copy exists and is available for sale; or

   b. The cost of blank materials, plus any cost incurred to copy data onto blank materials from a duplicate source on the same type of materials, provided such copying does not violate licensing or contract agreements.

9. Valuable papers and records at the cost to research and reproduce a master copy, including the information and blank materials on which it resides. However, we will only pay for these costs if you reproduce the valuable papers and records. Any valuable papers and records not reproduced has no value.

10. Property covered under the Fine Arts Additional Coverage at the lesser of:

   a. **Market value** at the time of loss or damage; or

   b. The value shown for such property on a schedule that is on file with us, provided the property is individually listed and described on such schedule.

   If any such property is part of a pair or set, we may:

   a. Repair or replace any part to restore the pair or set to its value before the loss; or

   b. Pay the difference between the value of the pair or set before and after the loss.

Business Income Coverage Form (Including Extra Expense)

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Business Income Coverage Form (Including Extra Expense)

A. Coverage

We will pay for the:

1. Actual loss of **business income** you sustain due to the necessary **suspension** of your **operations**; and

2. Actual and necessary **extra expense** you incur,

during the **period of restoration**, caused by direct physical loss of or damage to property (of the type insurable under the Real and Personal Property Coverage Form) at a **premises** for which a Limit of Insurance is shown on the Declarations for Business Income or Extra Expense. The loss or damage must be directly caused by a **covered cause of loss**. We will not pay more in any one **occurrence** than the applicable Limit of Insurance shown on the Declarations for Business Income or Extra Expense at that **premises**.

B. Additional Coverages

The following are Additional Coverages to this Coverage Form. Each of the Additional Coverages applies independently of one another. Unless otherwise stated, the provisions, including the exclusions, limitations, deductibles, terms and conditions in this form apply to these Additional Coverages.

The applicable Limit of Insurance for any Additional Coverage will be shown on the Declarations and is the most we will pay for all loss, damage, cost or expense covered within that Additional Coverage, even if coverage would otherwise be available under any other part of this Commercial Property Coverage Part.

When any Additional Coverages – Limits of Insurance on the Declarations is shown as "Covered", the most we will pay for that Additional Coverage is the applicable Limit of Insurance shown on the Declarations for that **premises**.

When any Additional Coverages – Limits of Insurance on the Declarations is shown as **NCP**, (or is not shown on the Declarations) then any loss, damage, cost or expense falling within that Additional Coverage is not covered even if coverage would otherwise be available under any other part of this Commercial Property Coverage Part.

The Additional Coverages – Limits of Insurance shown on the Declarations are the most we will pay for the Additional Coverage indicated in any one **occurrence** unless otherwise shown. If a specific Limit of Insurance is shown for an Additional Coverage on the Property Schedule of Premises at any **premises**, that specific Limit of Insurance replaces, and is not in addition to, the Limits of Insurance shown in the Additional Coverages – Limits of Insurance section of the Declarations.

When any Additional Coverages – Limits of Insurance on the Declarations is shown in the Annual Aggregate, the most we will pay in any one policy year, regardless of the number of locations, coverages or **occurrences** involved, will not exceed such Annual Aggregate Limit of Insurance.

Limits for these Additional Coverages apply in addition to any other applicable Limits of Insurance, unless otherwise stated.

1. Better Green™ – Time Element

a. Better Green™ Upgrade – Time Element

We will pay for the:

(1) Actual loss of **business income** you sustain due to the necessary **suspension** of your **operations**; and

(2) Actual and necessary **extra expense** you incur, due to the increase in the **period of restoration** for the time to upgrade or improve **real property** and **personal property** as provided under the Better Green™ Upgrade Coverage in the Real and Personal Property Coverage Form.

The most we will pay under this Additional Coverage at any one **premises** is 10% of the covered **time element coverage** loss arising from the repair or replacement of the damaged property to its same pre-loss condition, after the application of any deductible, up to the Limit of Insurance shown on the Declarations for Better Green ™ Upgrade – Property Damage and Time Element Combined.

b. Pre-Certified Better Green™ Enhancement – Time Element

We will pay for the:

(1) Actual loss of **business income** you sustain due to the necessary **suspension** of your **operations**; and

(2) Actual and necessary **extra expense** you incur,

due to the increase in the **period of restoration** for the time to achieve a higher level of **green standard** energy efficiency or certification as provided under the Pre-Certified Better Green™ Enhancement Coverage in the Real and Personal Property Coverage Form.

The most we will pay under this Additional Coverage at any one **premises** is 50% of the **time element coverage** loss calculated in **b. (1)** and **(2)** above, up to the Limit of Insurance shown on the Declarations for Pre-Certified Better Green™ Enhancement – Property Damage and Time Element Combined.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

2. Civil Authority

We will pay for the actual loss of **business income** you sustain resulting from the necessary **suspension**, or delay in the start, of your **operations** and the actual and necessary **extra expense** you incur, for up to the number of days shown on the Declarations for Civil Authority, caused by an order of civil authority that prohibits access to a **premises** or **reported unscheduled premises**. That order must result from a civil authority's response to direct physical loss of or damage directly caused by a **covered cause of loss** to property (of the type insurable under the Real and Personal Property Coverage Form) located away from, but within the distance stated on the Declarations for Civil Authority, of the **premises** or **reported unscheduled premises** where the **business income** loss is sustained or the **extra expense** is incurred.

This Additional Coverage applies only to those **premises** or **reported unscheduled premises** for which a Business Income or Extra Expense Limit of Insurance is shown on the Declarations.

The most we will pay under this Additional Coverage is the applicable Limit of Insurance shown on the Declarations for Civil Authority.

The Limit for this Additional Coverage is included in, and not in addition to, the applicable Limit of Insurance.

3. Contractual Penalties

We will pay contractual penalties you are legally liable to pay under the provisions of a written contract due to late or non-completion of orders to your customers that result from direct physical loss of or damage to property (of the type insurable under the Real and Personal Property Coverage Form) at a **premises** or **reported unscheduled premises** for which a Limit of Insurance is shown on the Declarations for Business Income. The loss or damage must be directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Contractual Penalties.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

4. Dependent Premises – Unscheduled Locations

a. We will pay for the:

(1) Actual loss of **business income** you sustain due to the necessary **suspension** of your **operations**; and

(2) Actual and necessary **extra expense** you incur,

during the **period of restoration**, caused by direct physical loss of or damage to property (of the type insurable under the Real and Personal Property Coverage Form) at an unscheduled **dependent premises**. The loss or damage must be directly caused by a **covered cause of loss**.

b. Dependent Premises – Unscheduled Locations – Extension For Civil Authority

We will pay for the actual loss of **business income** you sustain resulting from the necessary **suspension**, or delay in the start, of your **operations** and the actual and necessary **extra expense** you incur, for up to 30 days, caused by an order of civil authority that prohibits access to an unscheduled **dependent premises**. That order must result from a civil authority's response to direct physical loss of or damage directly caused by a **covered cause of loss** to property (of the type insurable under the Real and Personal Property Coverage Form) located away from, but within one mile of, the unscheduled **dependent premises**. The Limit for this Extension is included in, and not in addition to, the Dependent Premises Business Income and Extra Expense – Unscheduled Locations Limit of Insurance.

c. Dependent Premises – Unscheduled Locations – Extension For Contractual Penalties

We will pay contractual penalties you are legally liable to pay under the provisions of a written contract due to late or non-completion of orders to your customers that result from direct physical loss of or damage to property (of the type insurable under the Real and Personal Property Coverage Form) at an unscheduled **dependent premises**. The loss or damage must be directly caused by a **covered cause of loss**. The Limit for this Extension is included in, and not in addition to, the Dependent Premises Business Income and Extra Expense – Unscheduled Locations Limit of Insurance.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Dependent Premises Business Income and Extra Expense – Unscheduled Locations.

This Additional Coverage does not apply at any location for which **business income** or **extra expense** coverage is provided by any other Coverage Form included in this Commercial Property Coverage Part.

5. Expense to Reduce Loss

We will pay reasonable and necessary expenses you incur, except the cost of extinguishing a fire, to reduce the amount of loss of **business income**. We will pay for such expenses to the extent that they do not exceed the amount of loss that otherwise would have been payable under this Coverage Form and subject to the applicable Limit of Insurance shown on the Declarations for Business Income at that **premises** or **reported unscheduled premises**.

6. Extended Period of Indemnity

We will pay for the actual loss of **business income** you continue to sustain resulting from the necessary **suspension** of your **operations** for the period of time that begins on the date the **period of restoration** ends and ends on the earlier of:

a. The date your gross sales, including rental income, are restored to the amount that would have existed if no direct physical loss or damage occurred; or

b. The date calculated by adding the number of days shown on the Declarations for Extended Period of Indemnity – Business Income to the date the **period of restoration** ended.

The most we will pay under this Additional Coverage is the applicable Limit of Insurance shown on the Declarations for Business Income at the **premises** or **reported unscheduled premises** where the direct physical loss or damage occurred.

The Limit for this Additional Coverage is included in, and not in addition to, the applicable Limit of Insurance.

This Additional Coverage does not apply to loss of **business income** incurred as a result of unfavorable business conditions caused by the impact of the **covered cause of loss** in the area where the **premises** or **reported unscheduled premises** are located.

7. Fairs or Exhibitions

We will pay for the:

a. Actual loss of **business income** you sustain due to the necessary **suspension** of your **operations**; and

b. Actual and necessary **extra expense** you incur,

during the **period of restoration**, caused by direct physical loss of or damage to **personal property** at, or while in transit to or from, any fair or exhibition. The loss or damage must be directly caused by a **covered cause of loss**.

This Additional Coverage does not apply to property covered under the Mobile Communication Property – Worldwide Additional Coverage.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Fairs or Exhibitions – Business Income and Extra Expense.

8. Fungus, Wet Rot or Dry Rot

We will pay for the:

a. Actual loss of **business income** you sustain due to the necessary **suspension** of your **operations**; and

b. Actual and necessary **extra expense** you incur,

during the **period of restoration**, due to direct physical loss of or damage to **covered property** caused by **fungus**, wet rot or dry rot when the **fungus**, wet rot or dry rot are the result of a **covered cause of loss**.

This Additional Coverage includes the prolonged **period of restoration** due to the remediation of **fungus**, wet rot or dry rot from a covered loss.

The most we will pay under this Additional Coverage in any one policy year is the Annual Aggregate Limit of Insurance shown on the Declarations for Fungus, Wet Rot or Dry Rot – Business Income and Extra Expense. Regardless of the number of **occurrences**, **premises** or **reported unscheduled premises** involved, this Limit of Insurance is the most we will pay for the total of all loss, even if the **fungus**, wet rot or dry rot continue to be present, active or recur in the current or subsequent policy period(s).

9. Ingress/Egress

We will pay for the actual loss of **business income** you sustain resulting from the necessary **suspension**, or delay in the start, of your **operations** and the actual and necessary **extra expense** you incur, for up to the number of days shown on the Declarations for Ingress/Egress, when ingress or egress by your suppliers, customers or employees to the **premises** or **reported unscheduled premises** is physically obstructed due to direct physical loss of or damage to property (of the type insurable under the Real and Personal Property Coverage Form) not owned, occupied, leased or rented by you or insured under this Commercial Property Coverage Part. That property must be located within the distance stated on the Declarations for Ingress/Egress from the **premises** or **reported unscheduled premises** where the **business income** loss is sustained or the **extra expense** is incurred. The loss or damage must be directly caused by a **covered cause of loss**. The obstruction cannot be the result of an order of civil authority that prohibits access to that **premises** or **reported unscheduled premises**.

This Additional Coverage applies only to those **premises** or **reported unscheduled premises** for which a Business Income or Extra Expense Limit of Insurance is shown on the Declarations.

The most we will pay under this Additional Coverage is the applicable Limit of Insurance shown on the Declarations for Ingress/Egress.

The Limit for this Additional Coverage is included in, and not in addition to, the applicable Limit of Insurance.

10. Mobile Communication Property – Worldwide

We will pay for the:

a. Actual loss of **business income** you sustain due to the necessary **suspension** of your **operations**; and

b. Actual and necessary **extra expense** you incur,

during the **period of restoration**, caused by direct physical loss of or damage to **personal property** that are cellular phones, laptop computers or other personal handheld computer or communication devices and their accessories being used in your **operations** that are away from a **premises** or **reported unscheduled premises.** The loss or damage must be directly caused by a **covered cause of loss**.

The coverage territory for this Additional Coverage is extended to apply anywhere in the world.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Mobile Communication Property – Worldwide – Property Damage and Time Element Combined.

This Additional Coverage does not apply to:

a. Property that is **stock**;

b. Property rented or leased to others.

11. Newly Acquired Premises

We will pay for the:

a. Actual loss of **business income** you sustain due to the necessary **suspension** of your **operations**; and

b. Actual and necessary **extra expense** you incur,

during the **period of restoration**, caused by direct physical loss of or damage to your property (of the type insurable under the Real and Personal Property Coverage Form) at a **newly acquired premises**. The loss or damage must be directly caused by a **covered cause of loss**.

This Additional Coverage will automatically expire on the earliest of the following dates:

a. The date you report the **newly acquired premises** to us;

b. The number of days shown on the Declarations from the date the location becomes a **newly acquired premises**; or

c. The date this policy expires or is cancelled.

We will charge you additional premium for values reported from the date the location becomes a **newly acquired premises**.

The most we will pay under this Additional Coverage at any one **newly acquired premises** is the applicable Limit of Insurance shown on the Declarations for Newly Acquired Premises **–** Business Income or Extra Expense.

12. Ordinance or Law – Increased Period of Restoration

If **covered property** at a **premises** or **reported unscheduled premises** has incurred direct physical loss of or damage directly caused by a **covered cause of loss**, resulting in a **suspension** of your **operations** covered under this Coverage Form, the **period of restoration** includes any increased period of time required to comply with the minimum standards of an ordinance or law, provided that:

a. The ordinance or law regulates zoning, land use, demolition, repairs or construction of **real property** or **personal property** at the **premises** or **reported unscheduled premises**; and

b. The requirements of the ordinance or law are in force at the time of loss.

This Additional Coverage does not apply to any increase in the **period of restoration** caused:

a. Directly or indirectly by the enforcement of any ordinance, law, request, demand, order, regulation or rule that requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify, or neutralize, or in any way respond to, or assess the effects of **contaminants**, **fungus**, wet rot or dry rot;

b. By the enforcement of any ordinance, law, request, demand, order, regulation or rule which requires the demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination, presence, growth, proliferation, spread or activity of **contaminants**, **fungus**, wet rot or dry rot;

c. To comply with any ordinance, law, request, demand, order, regulation or rule that you were required to comply with before the loss or damage; or

d. By repairing, rebuilding or replacing **covered property** as provided under the Increased Cost of Construction Coverage in the Real and Personal Property Coverage Form, unless you have added such Coverage to your policy.

13. Reported Unscheduled Premises

We will pay for the:

a. Actual loss of **business income** you sustain due to the necessary **suspension** of your **operations**; and

b. Actual and necessary **extra expense** you incur,

during the **period of restoration**, caused by direct physical loss of or damage to property (of the type insurable under the Real and Personal Property Coverage Form) at a **reported unscheduled premises**. The loss or damage must be directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage at any one **reported unscheduled premises** is the applicable Limit of Insurance shown on the Declarations for Reported Unscheduled Premises – Business Income or Extra Expense.

14. Scheduled Property

We will pay for the:

a. Actual loss of **business income** you sustain due to the necessary **suspension** of your **operations**; and

b. Actual and necessary **extra expense** you incur,

during the **period of restoration**, caused by direct physical loss of or damage to **scheduled property**. The loss or damage must be directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage in any one **occurrence** is 25% of the applicable Limit of Insurance shown on the Scheduled Property Coverage Form, for the **scheduled property** that has suffered direct physical loss or damage.

The Limit for this Additional Coverage is included in, and not in addition to the applicable Limit of Insurance, shown on the Scheduled Property Coverage Form, for the **scheduled property** that has suffered direct physical loss or damage.

15. Transit

We will pay for the:

a. Actual loss of **business income** you sustain due to the necessary **suspension** of your **operations**; and

b. Actual and necessary **extra expense** you incur,

during the **period of restoration**, caused by direct physical loss of or damage to **covered property** in transit. The loss or damage must be directly caused by a **covered cause of loss**.

This Additional Coverage applies to **covered property** in transit, meaning when the **covered property** being transported leaves the originating location and ends when unloaded at the final destination including ordinary or reasonable stops, interruptions, delays or transfers in the course of transit.

In the event of any loss of or damage to **covered property** in transit, you must immediately make a claim in writing against the carrier, bailee or others involved.

If **covered property** in transit which was sold under Free on Board or Freight Allowed terms is lost or damaged and the consignee refuses to pay for such **covered property** because of the loss or damage, we will not attempt to enforce collection from the consignee without your written permission.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Transit – Business Income and Extra Expense.

This Additional Coverage does not apply to:

a. Property of others in your care, custody or control if you are acting as a carrier for hire, broker, loader, consolidator or freight forwarder with a written contract or bill of lading;

b. Furs, fur garments and garments trimmed with fur;

c. Jewelry, watches, watch movements, jewels, pearls, precious or semiprecious stones, bullion, gold, silver, platinum and other precious alloys or metals, except for:

(1) Jewelry or watches worth $100 or less per item; or

(2) Precious or semiprecious stones or metals used for industrial purposes;

d. Lottery tickets held for sale; or

e. Property in transit insured under any other Coverage in this policy.

16. Unintentional Errors or Omissions

We will pay for the actual loss of **business income** you sustain due to the necessary **suspension** of your **operations** during the **period of restoration**, due to direct physical loss of or damage to property (of the type insurable under the Real and Personal Property Coverage Form) directly caused by a **covered cause of loss** which is not payable under this policy as a result of:

a. Your unintentional error or omission in the description or location of property; or

b. Failure to include a **premises** you own, lease, rent or occupy as of the effective date shown on the Declarations due to your unintentional error or omission.

We will pay such loss only to the extent such loss would have been covered under the terms and conditions of this Coverage Form if the unintentional error or omission had not been made.

This Additional Coverage applies only if:

a. You report and correct such unintentional error or omission when discovered; and

b. You pay any additional premium that may be due.

This Additional Coverage does not apply if:

a. You collect or are entitled to collect any portion of the loss or damage under this or any other policy; or

b. The loss or damage is caused directly or indirectly by **earth movement** or **flood**, even if coverage for **earth movement** or **flood** is added by endorsement to this Commercial Property Coverage Part.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Unintentional Errors or Omissions – Property Damage and Time Element Combined.

17. Unreported Premises

We will pay for the:

a. Actual loss of **business income** you sustain due to the necessary **suspension** of your **operations**; and

b. Actual and necessary **extra expense** you incur,

during the **period of restoration**, caused by direct physical loss of or damage to your property (of the type insurable under the Real and Personal Property Coverage Form) or property of your landlord, at an **unreported premises**. The loss or damage must be directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage at any one **unreported premises** is the applicable Limit of Insurance shown on the Declarations for Unreported Premises – Business Income or Extra Expense.

This Additional Coverage does not apply to loss of **business income** or **extra expense** incurred that is insured under any other Coverage in this policy.

18. Utility Service Interruption – Time Element

a. We will pay for the:

(1) Actual loss of **business income** you sustain resulting from the necessary **suspension** of your **operations**; and

(2) Actual and necessary **extra expense** you incur,

during the **period of restoration**, directly caused by the interruption of utility services consisting of water, power, steam, natural gas, sewer or communication, including video, voice, data and internet access, but not including an **Information technology services provider**. The interruption must result from direct physical loss of or damage directly caused by a **covered cause of loss** to property (including overhead transmission and distribution lines) of the utility service supplier located away from the **premises** or **reported unscheduled premises** where the loss occurred.

b. Utility Service Interruption – Extension For Contractual Penalties

We will pay contractual penalties you are legally liable to pay under the provisions of a written contract due to late or non-completion of orders to your customers due to the **suspension** of your **operations** that results from interruption of utility services consisting of water, power, steam, natural gas, sewer or communication, including video, voice, data and internet access, but not including an **information technology services provider**. The interruption must result from direct physical loss of or damage directly caused by a **covered cause of loss** to property (including overhead transmission and distribution lines) of the utility service supplier located away from the **premises** or **reported unscheduled premises** where the loss occurred. The Limit for this Extension is included in, and not in addition to, the applicable Utility Service Interruption – Business Income or Extra Expense Limit of Insurance.

The most we will pay under this Additional Coverage is the applicable Limit of Insurance shown on the Declarations for Utility Service Interruption – Business Income or Extra Expense.

The Limit for this Additional Coverage is included in, and not in addition to, any other applicable Limits of Insurance.

C. Exclusions

The exclusions stated below in this Coverage Form and the exclusions in the Real and Personal Property Coverage Form, except Utility Service Interruption, apply to loss of **business income** sustained and **extra expense** incurred caused by or resulting from loss of or damage to any property:

1. Finished Stock

We will not pay for loss of **business income** sustained, caused by or resulting from:

a. Loss or damage to **finished stock**; or

b. The time required to replace **finished stock**.

2. Idle Periods

We will not pay for loss of **business income** sustained or **extra expense** incurred during any period in which business would not or could not have been conducted for any reason other than direct physical loss of or damage to property, as described in Sections **A.** and **B.** above.

3. Strikers or Others Causing Delay

We will not pay for any loss of **business income** sustained or **extra expense** incurred caused by or resulting from delay in rebuilding, repairing or replacing property or resuming **operations**, due to the interference at the location of the rebuilding, repair or replacement by strikers or other persons.

4. Suspension, Lapse or Cancellation

We will not pay for an increase in your **business income** loss sustained caused by or resulting from a suspension, lapse or cancellation of any license, lease or contract, except for that portion of the loss you sustain, directly caused by the **suspension** of your **operations** covered under this Coverage Form and only during the **period of restoration** and time period as provided under Section **B.6.** Extended Period of Indemnity.

5. Utility Service Interruption

We will not pay for loss or damage caused by or resulting from the interruption of utility services, including but not limited to water, power, steam, natural gas, sewer or communication, including video, voice, data and internet access or any **information technology services provider** supplied to a covered location, however caused, if the interruption takes place away from the covered location. Such loss or damage is excluded regardless of any other cause or event, including a **mistake**, **malfunction** or weather condition, that contributes concurrently or in any sequence to the loss or damage, even if such other cause or event would otherwise be covered.

This exclusion does not apply to:

a. The extent coverage is provided in the Utility Service Interruption – Time Element Additional Coverage of this policy; and

b. **Scheduled property.**

D. Limitations

1. Green Roofing Systems

We will not pay for loss of **business income** sustained or **extra expense** incurred caused by or resulting from loss or damage to **green roofing systems** unless the physical loss or damage is directly caused by a **covered cause of loss**. However, in no event will we pay for the following causes of loss or damage:

a. Disease or sickness;

b. Changes in or extremes of temperature;

c. Dampness or dryness of atmosphere or of soil supporting the vegetation; or

d. Rain, snow, hail, ice or sleet.

2. Outdoor Trees, Shrubs, Plants or Lawns

We will not pay for loss of **business income** sustained or **extra expense** incurred caused by or resulting from loss or damage to outdoor trees, shrubs, plants or lawns unless the physical loss or damage is directly caused by fire, lightning, explosion, riot or civil commotion or aircraft.

E. Deductible

1. We will not pay for any loss, damage, cost or expense in any one **occurrence** until the amount of covered loss, damage, cost or expense exceeds the applicable Deductibles or, if subject to a Waiting Period, the loss, damage, cost or expense is incurred after the applicable Waiting Period shown on the Declarations has expired. We will then pay the amount of covered loss, damage, cost or expense in excess of the Deductibles, or incurred after the Waiting Period has expired, up to the applicable Limits of Insurance.

If a Waiting Period is shown on the Declarations, the Waiting Period begins immediately following the direct physical loss of or damage to property, directly caused by a **covered cause of loss**.

2. Unless otherwise stated, If two or more deductibles are applicable to covered loss or damage in an **occurrence**, the highest applicable deductible amount will be applied. However, if separate deductibles apply to **covered property** and **time element coverages**, then the deductibles shall apply separately but only the highest applicable deductible amount for loss or damage to **covered property** and the highest applicable deductible amount for loss under **time element coverage** will apply.

3. If two or more deductibles apply on a per **premises** or per **reported unscheduled premises** basis in an **occurrence**, the highest applicable deductible amount for loss or damage to **covered property** and the highest applicable deductible amount for loss under **time element coverage** applying to each **premises** or **reported unscheduled premises** will be applied separately to each such **premises** or **reported unscheduled premises**.

F. Loss Determination

1. Sources of Information

The amount of actual **business income** loss sustained and actual and necessary **extra expense** you incur will be based on relevant sources of information, including, but not limited to:

a. Your financial records, tax returns and accounting procedures;

b. Bills, invoices and other vouchers; and

c. Deeds, liens and contracts.

2. Net Income

The amount of **net income** will be determined based on:

a. The **net income** of the business before the direct physical loss or damage occurred; and

b. The likely **net income** of the business if no direct physical loss or damage had occurred.

3. Extra Expense

The amount of actual and necessary **extra expense** you incur will be determined based on all **extra expense** that exceeds the normal operating expenses that would have been incurred by your **operations** during the **period of restoration** if no direct physical loss or damage had occurred.

Once **operations** are resumed, we will deduct from the total **extra expense** incurred, the salvage value of any property bought for temporary use during the **period of restoration**.

4. Continuing Expenses

The amount of **continuing expenses** will be determined based on those expenses which are necessary to resume your **operations** with the same quality of service that existed just before the direct physical loss or damage.

5. Resumption of Operations

a. We will reduce the amount of the **business income** loss payment:

(1) To the extent you could resume your **operations**, in whole or in part, by using damaged or undamaged property, including **stock**; or

(2) To the extent you could resume your **operations**, in whole or in part, by using any other location.

b. We will reduce the amount of **extra expense** paid to the extent you can return **operations** to normal and discontinue such **extra expense**.

c. With respect to a **suspension** of **operations** caused by direct physical loss of or damage at a **dependent premises**, we will reduce the amount of **business income** and **extra expense** loss payment to the extent you could resume your **operations**, in whole or in part, by using:

(1) Sources of materials or services; or

(2) Outlets for your products or services,

available to you.

6. Finished Stock and Merchandise

Lost or damaged **finished stock** or **merchandise** that is valued at regular cash selling price will be considered to have been sold to your customers and will be credited against the lost sales.

G. Limits of Insurance

1. Except as otherwise stated in Section **B.** in this Coverage Form for any Additional Coverage or any endorsement attached to this Commercial Property Coverage Part, the applicable Limits of Insurance shown on the Declarations are the most we will pay, per **premises** or in any one **occurrence**, as indicated, for loss covered under this Coverage Form.

If a Limit of Insurance applies in the Annual Aggregate, then the most we will pay in any one policy year, regardless of the number of locations, coverages or **occurrences** involved, will not exceed such Annual Aggregate Limit of Insurance as shown on the Declarations.

When a Limit of Insurance is shown as **NCP** on the Declarations for any coverage, cause of loss or part thereof, then any loss, damage, cost or expense falling within such coverage, cause of loss or part thereof is not covered even if coverage would otherwise be available under any other part of this Commercial Property Coverage Part.

2. If Maximum Period of Indemnity is shown on the Declarations, the following applies:

The most we will pay for loss of **business income** you sustain is the lesser of:

a. The amount of loss incurred during the 120 days immediately following the beginning of the **period of restoration**; or

b. The applicable Limit of Insurance shown on the Declarations for Business Income.

If the Maximum Period of Indemnity applies, the Additional Condition – Coinsurance endorsement and the Extended Period of Indemnity Additional Coverage do not apply.

3. If Monthly Limit of Indemnity is shown on the Declarations, the following applies:

The most we will pay for loss of **business income** in each period of 30 consecutive days after the beginning of the **period of restoration** is:

a. The applicable Limit of Insurance for Business Income, multiplied by

b. The fraction shown on the Declarations for Monthly Limit of Indemnity.

If the Monthly Limit of Indemnity applies, the Additional Condition – Coinsurance endorsement and the Extended Period of Indemnity Additional Coverage do not apply.

Example:

If:

The Limit of Insurance is $120,000 and the fraction shown on the Declarations for Monthly Limit of Indemnity is ¼, The most we will pay for loss in each period of 30 consecutive days is $30,000.

If:

The actual amount of the loss is:

Days 1-30	$40,000
Days 31-60	20,000
Days 61-90	30,000
	$90,000

We will pay:

Days 1-30	$30,000
Days 31-60	20,000
Days 61-90	30,000
	$80,000

The remaining $10,000 of loss is not covered.

Wind/Hail Deductible

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies the following:

Business Income Coverage Form (Including Extra Expense)
Business Income Coverage Form Including Research and Development Continuing Expenses (Including Extra Expense) – Technology
Extra Expense Coverage Form
Real and Personal Property Coverage Form
Scheduled Property Coverage Form

With respect to any **premises** at which a Wind/Hail Deductible is shown on the Declarations, the following is added to the Deductible section:

With respect to all loss or damage caused directly or indirectly by wind or hail, regardless of whether any other cause or event, including a **mistake**, **malfunction** or another weather condition, contributes concurrently or in any sequence to the loss or damage, the following deductibles apply to **covered property** and **time element coverages**:

1. We will not pay for loss, damage, cost or expense at any one **premises** until the amount of covered loss, damage, cost or expense exceeds the Wind/Hail Deductible shown on the Declarations for that **premises**. We will then pay for the amount of covered loss, damage, cost or expense in excess of the deductible, up to the applicable Limits of Insurance.

2. If more than one **premises** suffers loss or damage in one **occurrence**, the applicable Deductibles shown on the Declarations will apply separately and individually to the covered loss, damage, cost or expense at each **premises**.

All other terms, conditions, provisions and exclusions of this policy remain the same.

Earth Movement Coverage

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies the following:

Business Income Coverage Form (Including Extra Expense)
Business Income Coverage Form Including Research and Development Continuing Expenses (Including Extra Expense) – Technology
Commercial Property Definitions
Extra Expense Coverage Form
Real and Personal Property Coverage Form

A. The following applies to:

Business Income Coverage Form (Including Extra Expense)
Business Income Coverage Form Including Research and Development Continuing Expenses (Including Extra Expense) – Technology
Extra Expense Coverage Form
Real and Personal Property Coverage Form

1. Coverage

The Earth Movement exclusion does not apply to loss or damage at a **premises** at which a Limit of Insurance is shown on the Declarations for Earth Movement. However, we will not pay for loss or damage caused directly or indirectly by any **earth movement** that begins before the inception of this Commercial Property Coverage Part.

All earthquake shocks that occur within any single 168-hour period will constitute a single **occurrence**. The expiration of this policy will not reduce the 168-hour period.

This Coverage does not apply to resulting:

a. Fire;

b. Explosion;

c. Theft; and

d. **Earthquake sprinkler leakage**.

This Coverage does not apply to property covered under the Earth Movement and Flood Coverage –Specified Additional Coverages endorsement if that endorsement is included in this Commercial Property Coverage Part.

2. Additional Exclusions

a. Mine Subsidence

We will not pay for loss or damage caused directly or indirectly by **mine subsidence**. Such loss or damage is excluded regardless of any other cause or event, including a **mistake**, **malfunction** or weather condition, that contributes concurrently or in any sequence to the loss or damage, even if such other cause or event would otherwise be covered. But if **mine subsidence** results in fire, explosion or theft, we will pay for that portion of the loss or damage solely caused by that fire, explosion or theft.

b. Off-Premises Damage

We will not pay for loss or damage caused directly or indirectly by **earth movement** at any of the following locations:

(1) **Dependent premises**;

(2) Fairs or exhibitions;

(3) **Information technology services provider**;

(4) **Newly acquired premises**;

(5) **Reported unscheduled premises**;

(6) **Unreported premises**; or

(7) Any location of a utility service provider, including but not limited to water, power, steam, natural gas, sewer or communication, including video, voice, data and internet access to the **premises**.

3. Limits Of Insurance

With respect to loss or damage at a **premises** at which a Limit of Insurance is shown on the Declarations for Earth Movement, the following applies:

a. Premises Limits

The most we will pay in any one **occurrence** for covered loss, damage, cost or expense caused directly or indirectly by **earth movement** at any one **premises** is the Limit of Insurance shown on the Declarations for Earth Movement for that **premises**.

b. Occurrence Limits

(1) The most we will pay in any one **occurrence** for all covered loss, damage, cost or expense caused directly or indirectly by **earth movement** at all **Schedule A Premises** is the Occurrence Limit of Insurance shown on the Declarations for Earth Movement (Schedule A), regardless of the number of **Schedule A Premises** involved.

(2) The most we will pay in any one **occurrence** for all covered loss, damage, cost or expense caused directly or indirectly by **earth movement** at all **Schedule B Premises** is the Occurrence Limit of Insurance shown on the Declarations for Earth Movement (Schedule B), regardless of the number of **Schedule B Premises** involved.

(3) The most we will pay in any one **occurrence** for all covered loss, damage, cost or expense caused directly or indirectly by **earth movement** at all **Schedule C Premises**, is the Occurrence Limit of Insurance shown on the Declarations for Earth Movement (Schedule C), regardless of the number of **Schedule C Premises** involved.

c. Annual Aggregate Limits

(1) The most we will pay for all covered loss, damage, cost or expense caused directly or indirectly by **earth movement** in any one policy year, regardless of the number of **occurrences** or **Schedule A Premises** involved, is the annual Aggregate Limit of Insurance shown on the Declarations for Earth Movement (Schedule A).

(2) The most we will pay for all covered loss, damage, cost or expense caused directly or indirectly by **earth movement** in any one policy year, regardless of the number of **occurrences** or **Schedule B Premises** involved, is the annual Aggregate Limit of Insurance shown on the Declarations for Earth Movement (Schedule B).

(3) The most we will pay for all covered loss, damage, cost or expense caused directly or indirectly by **earth movement** in any one policy year, regardless of the number of **occurrences** or **Schedule C Premises** involved, is the annual Aggregate Limit of Insurance shown on the Declarations for Earth Movement (Schedule C).

These Limits are included in, and not in addition to, any other applicable Limits of Insurance.

4. Deductible

With respect to any **premises** at which an Earth Movement Deductible is shown on the Declarations, the following is added to the Deductible section:

With respect to all loss or damage caused directly or indirectly by **earth movement**, the following deductibles apply to **covered property** and **time element coverages**:

a. We will not pay for loss, damage, cost or expense at any one **premises** until the amount of covered loss, damage, cost or expense exceeds the Earth Movement Deductible shown on the Declarations for that **premises**. We will then pay for the amount of covered loss, damage, cost or expense in excess of the deductible, up to the applicable Limits of Insurance.

b. If more than one **premises** suffers loss or damage in one **occurrence**, the applicable Deductibles shown on the Declarations will apply separately and individually to covered loss, damage, cost or expense at each **premises**.

5. Coinsurance

The Additional Condition – Coinsurance endorsement does not apply to coverage provided by this endorsement.

B. The following definitions are added to the Commercial Property Definitions:

1. **Mine subsidence** means subsidence of a man-made mine, whether or not mining activity has ceased.

2. **Schedule A Premises** means **premises** at which the term Schedule A is shown under the Summary of Premises section on the Declarations.

3. **Schedule B Premises** means **premises** at which the term Schedule B is shown under the Summary of Premises section on the Declarations.

4. **Schedule C Premises** means **premises** at which the term Schedule C is shown under the Summary of Premises section on the Declarations.

All other terms, conditions, provisions and exclusions of this policy remain the same.

Enabling Endorsement

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies the following:

Commercial Property Coverage Part

The provisions of any forms or endorsements that make reference to the Building And Personal Property Coverage Form or the Causes Of Loss – Special Form are applicable to the forms and endorsements that make up this Commercial Property Coverage Part.

All other terms, conditions, provisions and exclusions of this policy remain the same.

Flood Coverage

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies the following:

Business Income Coverage Form (Including Extra Expense)
Business Income Coverage Form Including Research and Development Continuing Expenses (Including Extra Expense) – Technology
Commercial Property Definitions
Extra Expense Coverage Form
Real and Personal Property Coverage Form

A. The following applies to:

Business Income Coverage Form (Including Extra Expense)
Business Income Coverage Form Including Research and Development Continuing Expenses (Including Extra Expense) – Technology
Extra Expense Coverage Form
Real and Personal Property Coverage Form

1. Coverage

The Flood exclusion does not apply to loss or damage at a **premises** at which a Limit of Insurance is shown on the Declarations for Flood. However, we will not pay for loss or damage caused directly or indirectly by **flood** that begins before the inception of this Commercial Property Coverage Part.

This Coverage does not apply to property covered under the Earth Movement and Flood Coverage – Specified Additional Coverages endorsement if that endorsement is included in this Commercial Property Coverage Part.

2. Additional Exclusions

Off-Premises Damage

We will not pay for loss or damage caused directly or indirectly by **flood** at any of the following locations:

a. **Dependent premises**;

b. Fairs or exhibitions;

c. **Information technology services provider**;

d. **Newly acquired premises**;

e. **Reported unscheduled premises**;

f. **Unreported premises**; or

g. Any location of a utility service provider, including but not limited to water, power, steam, natural gas, sewer or communication, including video, voice, data and internet access to the **premises**.

3. Limits Of Insurance

With respect to loss or damage at a **premises** at which a Limit of Insurance is shown on the Declarations for Flood, the following applies:

a. Premises Limits

The most we will pay in any one **occurrence** for covered loss, damage, cost or expense caused directly or indirectly by **flood** at any one **premises** is the Limit of Insurance shown on the Declarations for Flood for that **premises**.

b. Occurrence Limits

The most we will pay in any one **occurrence** for all covered loss, damage, cost or expense caused directly or indirectly by **flood**, regardless of the number of coverages or **premises** involved, is the Flood Occurrence Limit of Insurance shown on the Declarations, except not to exceed the following limits which are included in, and not in addition to this Flood Occurrence Limit of Insurance:

(1) The most we will pay in any one **occurrence** for all covered loss, damage, cost or expense caused directly or indirectly by **flood**, at all **Schedule I Premises** is the Occurrence Limit of Insurance shown on the Declarations for Flood (Schedule I), regardless of the number of **Schedule I Premises** involved.

(2) The most we will pay in any one **occurrence** for all covered loss, damage, cost or expense caused directly or indirectly by **flood**, at all **Schedule II Premises** is the Occurrence Limit of Insurance shown on the Declarations for Flood (Schedule II), regardless of the number of **Schedule II Premises** involved.

(3) The most we will pay in any one **occurrence** for all covered loss, damage, cost or expense caused directly or indirectly by **flood**, at all **Schedule III Premises** is the Occurrence Limit of Insurance shown on the Declarations for Flood (Schedule III), regardless of the number of **Schedule III Premises** involved.

c. Annual Aggregate Limits

The most we will pay for all covered loss, damage, cost or expense caused directly or indirectly by **flood**, in any one policy year, regardless of the number of coverages, **occurrences** or **premises** involved, is the Flood Annual Aggregate Limit of Insurance shown on the Declarations, except not to exceed the following limits which are included in, and not in addition to this Flood Annual Aggregate Limit of Insurance:

(1) The most we will pay for all covered loss, damage, cost or expense caused directly or indirectly by **flood** in any one policy year, regardless of the number of **occurrences** or **Schedule I Premises** involved, is the annual Aggregate Limit of Insurance shown on the Declarations for Flood (Schedule I).

(2) The most we will pay for all covered loss, damage, cost or expense caused directly or indirectly by **flood** in any one policy year, regardless of the number of **occurrences** or **Schedule II Premises** involved, is the annual Aggregate Limit of Insurance shown on the Declarations for Flood (Schedule II).

(3) The most we will pay for all covered loss, damage, cost or expense caused directly or indirectly by **flood** in any one policy year, regardless of the number of **occurrences** or **Schedule III Premises** involved, is the annual Aggregate Limit of Insurance shown on the Declarations for Flood (Schedule III).

These Limits are included in, and not in addition to, any other applicable Limits of Insurance.

4. Deductible

With respect to any **premises** at which a Flood Deductible is shown on the Declarations, the following is added to the Deductible section:

With respect to all loss or damage caused directly or indirectly by **flood**, the following deductibles apply to **covered property** and **time element coverages**:

a. We will not pay for loss, damage, cost or expense at any one **premises** until the amount of covered loss, damage, cost or expense exceeds the Flood Deductible shown on the Declarations for that **premises**. We will then pay for the amount of covered loss, damage, cost or expense in excess of the deductible, up to the applicable Limits of Insurance.

b. If more than one **premises** suffers loss or damage in one **occurrence**, the applicable Deductibles shown on the Declarations will apply separately and individually to covered loss, damage, cost or expense at each **premises**.

c. Notwithstanding **a.** above, If direct physical loss or damage directly or indirectly caused by **flood** occurs concurrently or in any sequence with direct physical loss or damage caused directly or indirectly by **named storm**, (and your policy contains Named Storm Deductibles in this Commercial Property Coverage Part), separate Named Storm Deductibles will also be applied.

5. Coinsurance

The Additional Condition – Coinsurance endorsement does not apply to coverage provided by this endorsement.

B. The following definitions are added to the Commercial Property Definitions:

1. **Schedule I Premises** means **premises** at which the term Schedule I is shown under the Summary of Premises section on the Declarations.

2. **Schedule II Premises** means **premises** at which the term Schedule II is shown under the Summary of Premises section on the Declarations.

3. **Schedule III Premises** means **premises** at which the term Schedule III is shown under the Summary of Premises section on the Declarations.

All other terms, conditions, provisions and exclusions of this policy remain the same.

Financial Institution Coverage

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies the following:

Commercial Property Definitions
Real and Personal Property Coverage Form

A. The following is added to Section **C.** Additional Coverages in the Real and Personal Property Coverage Form:

Automatic Teller Machines (ATMs)

We will pay for direct physical loss of or damage to ATMs away from a **premises** or **reported unscheduled premises** directly caused by a **covered cause of loss**.

The most we will pay under this Additional Coverage is $50,000.

B. The Commercial Property Definitions are amended as follows:

1. The following is added to the definition of **personal property**:

Vaults, night depositories, drive-up windows and automatic teller machines at **premises** and **reported unscheduled premises** you occupy but do not own.

2. The following is added to the definition of **real property**:

Vaults, night depositories, drive-up windows and automatic teller machines at **premises** and **reported unscheduled premises** owned by you.

3. The following is added to the definition of **newly acquired premises** under **newly acquired premises** does not mean:

A location that is acquired by:

a. Any trust, guardianship or estate for which you are acting in a fiduciary or representative capacity; or

b. Repossession, foreclosure, deed in lieu of foreclosure or as a mortgagee in possession.

4. The following is added to the definition of **personal property of others**:

Personal property of others does not mean contents of safe deposit boxes or property entrusted to you for safekeeping.

5. The following is added to the definition of **unreported premises** under **unreported premises** does not mean:

A location that is acquired or owned by:

a. Any trust, guardianship or estate for which you are acting in a fiduciary or representative capacity; or

b. Repossession, foreclosure, deed in lieu of foreclosure or as a mortgagee in possession.

All other terms, conditions, provisions and exclusions of this policy remain the same.

Tenant Relocation and Replacement Expense Coverage

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies the following:

Commercial Property Definitions
Real and Personal Property Coverage Form

A. The following is added to Section **C.** Additional Coverages in the Real and Personal Property Coverage Form:

1. Tenant Relocation Expense

If any of your tenants are temporarily evacuated from a **premises** or **reported unscheduled premises** due to direct physical loss of or damage to **covered property** from a **covered cause of loss**, we will pay for the reasonable and necessary **tenant relocation expenses** you incur to return any evacuated tenant to the **premises** or **reported unscheduled premises**.

The tenant must return within 60 days after the space leased by that tenant has been repaired, rebuilt or replaced and is ready for occupancy.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Tenant Relocation Expense.

2. Tenant Replacement Expense

In the event of a **covered cause of loss** to **real property** at a **premises** or **reported unscheduled premises** which directly resulted in the cancellation of tenant leases of said **premises** or **reported unscheduled premises**, we will pay for the reasonable and necessary fees and commissions of real estate brokers or real estate agents and advertising and promotional expenses you pay to obtain new tenant leases.

This Additional Coverage will end when the percentage of occupancy at the **premises** or **reported unscheduled premises** reaches the same level that existed at the time of loss or damage.

The most we will pay under this Additional Coverage is the Limit of Insurance shown on the Declarations for Tenant Replacement Expense.

B. The following is added to the Commercial Property Definitions:

Tenant relocation expense means the following documented expenses:

1. Packing materials and packing;

2. Movers, moving equipment and moving vans;

3. Transportation costs from a temporary location;

4. Insurance coverage for tenant's personal property during the move;

5. Assembling and setting up furniture, fixtures and equipment;

6. Unpacking and re-shelving stock and supplies; and

7. Re-establish public utility and communication service, less refunds from discontinued services.

Tenant relocation expense does not mean:

1. Financial loss incurred due to the termination of a lease or other agreement;
2. Security deposits or any other payments or penalties made to the landlord or lessor of temporary locations; or
3. Moving costs associated with evacuating the tenant.

All other terms, conditions, provisions and exclusions of this policy remain the same.

Ordinance or Law Limits Inclusion

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies the following:

Real and Personal Property Coverage Form

The following is added to Section **C.** Additional Coverages, Subsection **21. c.** Ordinance or Law:

The Limit for this Additional Coverage is included in, and not in addition to, the applicable Limit of Insurance shown on the Declarations for the **real property** or **personal property** at that **premises** or **reported unscheduled premises**.

All other terms, conditions, provisions and exclusions of this Policy remain the same.

This endorsement changes the policy
-- PLEASE READ THIS CAREFULLY --

POLICY NUMBER
CPP 6104133 - 01

POLLUTANT -- AMENDED DEFINITION

(The entries required to complete this schedule
will be shown below or on the "schedule of coverages".)

SCHEDULE

Additional Substance(s) or Material(s):

This policy is amended to include the following "terms". All other "terms" of this policy apply, except as amended by this endorsement.

DEFINITIONS

The definition of "pollutant" is deleted and replaced by the following:

"Pollutant":

a. "Pollutant" means any substance or material that is a solid, liquid, gaseous, thermal, or radioactive irritant or contaminant, including but not limited to acids, alkalis, chemicals, fumes, smoke, soot, vapor, and waste.

   Such substances and materials include, but are not limited to:

   1) diesel, gasoline, propane, and other fuels, kerosene and other fuel oils, petroleum distillates, and any other petroleum-derived products; lubrication oils, adjuvant oils, crop oils; brake and other hydraulic fluids; methanol and other antifreeze additives; exhaust gases; ethylene dichloride, hexylene glycol, mineral spirits and other solvents; perchloroethylene (PERC) and other dry cleaning chemicals; chlorofluorocarbons; adhesives; and pesticides, insecticides, fungicides, fertilizer, animal or bird waste, and sewage;

   2) all substances and materials listed or described by one or more of the following references, including any amendments there to: the Comprehensive Environmental Response, Compensation, and Liability Act (CERCLA); the Priority List Of Hazardous Substances (1997 and all subsequent editions) developed by the Agency For Toxic Substances And Disease Registry; and/or the U.S. Environmental Protection Agency EMCI Chemical References Complete Index; and

   3) any substance or material shown in the Schedule above.

b. With respect to this definition, waste includes substances or materials to be disposed of as well as recycled, reclaimed, or reconditioned.

c. "Pollutant" also means electrical, magnetic, or electromagnetic particles or fields, whether visible or invisible, and sound.

d. This definition of "pollutant "applies whether or not the substance, material, particle, field, or sound is used at or in or arises out of "your" business, operations, premises, site, or location.

Mine Subsidence Schedule

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies the following:

Commercial Property Coverage Part

Coverage for **mine subsidence**, mine subsidence or **Coal Mine Subsidence** applies to the following **structures**, **Structure**, structures, **commercial buildings** and **residences** shown in the Schedule below and as described in the endorsement providing such coverage:

Schedule

Premises #	Building Description	Limit of Insurance	Additional Premium
14-1	3167 Robbins Road, Springfield, IL 62704-6553	$750,000	$244.00
		Total	$244.00

All other terms, conditions, provisions and exclusions of this policy remain the same.

Arkansas Changes

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

THIS ENDORSEMENT ONLY APPLIES TO LOCATIONS IN ARKANSAS.

This endorsement modifies the following:

Common Policy Conditions
Commercial Property Conditions
Commercial Property Definitions
Commercial Property Coverage Part

A. The following is added to the Common Policy Conditions:

Multi Year Policies

We may issue this policy for a term in excess of twelve months with the premium adjusted on an annual basis in accordance with our rates and rules.

B. Except as provided in **C.** below, the Appraisal Condition in the Commercial Property Conditions is replaced by the following:

1. If we and you disagree on the value of the property or the amount of loss, either party may make a written request for an appraisal of the loss. However, an appraisal will be made only if both we and you agree, voluntarily, to have the loss appraised. If so agreed, each party will select a competent, disinterested and impartial appraiser who has no direct or indirect financial interest in the claim. The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the value of each item of lost or damaged property as of the date of loss and amount of loss in accordance with the Valuation provisions of the applicable Coverage Form or, if not stated, the **actual cash value** and **replacement cost**. If they fail to agree, they will submit their differences to the umpire.

2. An appraisal decision will not be binding on either party.

3. If there is an appraisal, we will still retain our right to deny the claim in whole or in part, based on the terms and conditions of the policy.

4. Each party will:

a. Pay its chosen appraiser; and

b. Bear the other expenses of the appraisal and umpire equally.

C. With respect to losses covered by the Business Income Coverage Form (Including Extra Expense) and the Business Income Coverage Form Including Research and Development Continuing Expenses (Including Extra Expense) – Technology, the Appraisal Condition in the Commercial Property Conditions is replaced by the following:

1. If we and you disagree on the amount of **net income** and **continuing expenses** or the amount of loss, either party may make a written request for an appraisal of the loss. However, an appraisal will be made only if both we and you agree, voluntarily, to have the loss appraised. If so agreed, each party will select a competent, disinterested and impartial appraiser who has no direct or indirect financial interest in the claim. The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of **net income** and **continuing expenses** or amount of loss. If they fail to agree, they will submit their differences to the umpire.

2. An appraisal decision will not be binding on either party.

3. If there is an appraisal, we will still retain our right to deny the claim in whole or in part, based on the terms and conditions of the policy.

4. Each party will:

a. Pay its chosen appraiser; and

b. Bear the other expenses of the appraisal and umpire equally.

D. Subsection **J.2.** Legal Action Against Us Condition in the Commercial Property Conditions is replaced by the following:

The action is brought within 5 years after the date on which the loss or damage commenced.

E. Section **M.6.** Mortgage Holders, Subsection **b.** in the Commercial Property Conditions is replaced by the following:

20 days before the effective date of cancellation if we cancel for any other reason.

F. The second paragraph of the Transfer of Rights of Recovery Against Others to Us Condition in the Commercial Property Conditions is replaced by the following:

We will be entitled to recovery only after you have been fully compensated for the loss or damage sustained.

G. The definition of **actual cash value** in the Commercial Property Definitions is replaced by the following:

Actual cash value means **replacement cost** reduced by each of the following:

a. Physical deterioration;

b. **Expense depreciation**;

c. Obsolescence; and

d. Depletion.

But in no event will the **actual cash value** be higher than the **market value**.

H. The following definition is added to the Commercial Property Definitions:

Expense depreciation means depreciation, including but not limited to the cost of goods, materials, labor and services necessary to replace, repair or rebuild damaged property.

All other terms, conditions, provisions and exclusions of this policy remain the same.

Illinois Changes

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

THIS ENDORSEMENT ONLY APPLIES TO LOCATIONS IN ILLINOIS.

This endorsement modifies the following:

Commercial Property Conditions
Commercial Property Coverage Part
Crime Coverage Form

A. The following is added to the Legal Action Against Us Condition in the Commercial Property Conditions:

The 2-year period for legal action against us is extended by the number of days between the date the proof of loss is filed with us and the date we deny the claim in whole or in part.

B. If this Commercial Property Coverage Part covers:

1. The following property in **a.** and **b.** below, then **2.** and **3.** apply:

a. **Real property** used principally for residential purposes up to and including a four-family dwelling; or

b. Household, **personal property** or **scheduled property** that is usual or incidental to the occupancy of any **premises** used for residential purposes.

2. The following is added to the Appraisal Condition in the Commercial Property Conditions:

However, we will pay your appraiser's fee and the umpire's appraisal fee, if the following conditions exist:

a. You demanded the appraisal; and

b. The full amount of loss, as set by your appraiser, is agreed to by our appraiser or by the umpire.

3. The Concealment, Misrepresentation or Fraud Condition in the Commercial Property Conditions is replaced by the following:

Concealment, Misrepresentation or Fraud

a. This Commercial Property Coverage Part is void if you or any insured commit fraud or conceal or misrepresent a fact in the process leading to the issuance of this insurance, and such fraud, concealment or misrepresentation is stated in the policy or endorsement or in the written application for this Commercial Property Coverage Part and:

(1) Was made with actual intent to deceive; or

(2) Materially affected either our decision to provide this insurance or the hazard we assumed.

However, this condition will not serve as a reason to void this Commercial Property Coverage Part after this Commercial Property Coverage Part has been in effect for one year or one policy term, whichever is less.

b. This Commercial Property Coverage Part is void if you or any other insured, at any time subsequent to the issuance of this insurance, commit fraud or intentionally conceal or misrepresent a material fact relating to:

(1) This Commercial Property Coverage Part;

(2) The **covered property**;

(3) Your interest in the **covered property**; or

(4) A claim under this Commercial Property Coverage Part.

c. Notwithstanding the limitations stated in **a.** above, we may cancel this Commercial Property Coverage Part in accordance with the terms of the Cancellation Condition in the Common Policy Conditions.

C. The following exclusion and related provisions are added to the Exclusions of each applicable Coverage Form in this Commercial Property Coverage Part:

1. We will not pay for loss or damage arising out of any act committed:

a. By or at the direction of any insured; and

b. With the intent to cause a loss.

2. However, this exclusion does not apply to deny payment to an innocent co-insured who did not cooperate in or contribute to the creation of the loss if:

a. The loss arose out of a pattern of criminal domestic violence; and

b. The perpetrator of the loss is criminally prosecuted for the act causing the loss.

3. If we pay a claim pursuant to **2.** above, our payment to the insured is limited to that insured's insurable interest in the property less any payments we first made to a mortgagee or other party with a legal secured interest in the property. In no event will we pay more than the applicable Limit of Insurance.

D. The definition of **employee** in Section **F.** Definitions in the Crime Coverage Form is amended to include the spouse of or party to a civil union recognized under Illinois law and the children over 18 years old who reside with any **employee** who is a building manager, superintendent or janitor.

Each such family is considered to be, collectively, one **employee** for the purposes of this insurance, except that the Cancellation as to Any Employee condition under Subsection **1.** of Section **D.** Additional Conditions applies individually to the spouse of or party to a civil union and children.

E. The Cancellation as to Any Employee Condition under Subsection **1.** of Section **D.** Additional Conditions in the Crime Coverage Form is replaced with the following:

a. Cancellation as to Any Employee

This insurance is cancelled as to any **employee** immediately upon discovery by you or any of your partners, **members**, **managers**, officers, directors or trustees not in collusion with the **employee** of **theft** or any other dishonest act committed by the **employee** whether before or after becoming employed by you.

All other terms, conditions, provisions and exclusions of this policy remain the same.

Illinois Changes – Mine Subsidence

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

THIS ENDORSEMENT ONLY APPLIES TO LOCATIONS IN ILLINOIS.

This endorsement modifies the following:

Commercial Property Conditions
Commercial Property Definitions
Real and Personal Property Coverage Form

A. Coverage

With respect to **mine subsidence** only, the following is added to Section **A.** Coverage in the Real and Personal Property Coverage Form:

We will pay for direct physical loss of or damage to **commercial buildings** and **residences** at the **premises** for which a Limit of Insurance is shown in the Mine Subsidence Schedule directly caused by **mine subsidence**.

We will also pay your expense to remove debris of **covered property** directly caused by **mine subsidence**.

1. Subject to **2.** below, the most we will pay for loss of or damage to any one **commercial building** or **residence**, including debris removal, is the Limit of Insurance shown in the Mine Subsidence Schedule for that **commercial building** or **residence** at that **premises**.

2. Regardless of any Limit of Insurance stated in this policy, including this endorsement, loss payment will not exceed the amount reinsured by the appropriate sub-fund of the Illinois Mine Subsidence Insurance Fund at the time the damage caused to the **commercial building** or **residence** by **mine subsidence** first became reasonably observable, and will be further limited by the amount available by the amount available in the appropriate sub-fund of the Illinois Mine Subsidence Insurance Fund to reimburse us.

B. The following definitions are added to the Commercial Property Definitions:

1. **Commercial building** means any building, other than a **residence**, permanently affixed to realty, including:

a. Cost of excavation, grading or fillings;

b. The foundation, basements and footings of buildings;

c. Septic systems directly servicing the buildings;

d. Pilings, piers, pipes, flues and drains, all of which are underground; and

e. Pilings which are below the low water mark.

Commercial building does not mean or include:

a. Land, trees, plants, crops or agricultural field drainage tile;

b. **Personal property**; or

c. Driveways, parking lots and sidewalks of **commercial buildings**.

2. **Mine subsidence** means loss or damage caused by lateral or vertical ground movement, caused by a failure initiated at the mine level of manmade underground mines, including but not limited to coal, clay, limestone and fluorspar mines, that directly damages **commercial buildings** or **residences**.

Mine subsidence does not mean lateral or vertical ground movement caused by:

a. Earthquake, landslide or volcanic eruption;

b. Soil conditions, soil erosion, soil freezing or thawing, improperly compacted soil, construction defects, roots of trees or shrubs; or

c. Collapse of storm or sewer drains or rapid transit tunnels.

All loss or damage caused by a single **mine subsidence** event or several **mine subsidence** events that are continuous, will constitute one **mine subsidence occurrence**.

3. **Residence** means any building used principally for residential purposes up to and including a four-family dwelling, permanently affixed to realty, including:

a. Appurtenant structures;

b. Cost of excavation, grading or fillings;

c. The foundation, basements and footings of buildings;

d. Septic systems directly servicing the buildings;

e. Pilings, piers, pipes, flues and drains, all of which are underground;

f. Pilings which are below the low-water mark; and

g. Driveways, parking lots and sidewalks.

Residence does not mean or include:

a. Land, trees, plants, crops or agricultural field drainage tile; or

b. **Personal property**.

C. Exclusions

1. The Earth Movement exclusion in the Real and Personal Property Coverage Form does not apply to direct physical loss of or damage to **covered property** directly caused by **mine subsidence**.

2. The following are added to Section **D.** Exclusions in the Real and Personal Property Coverage Form:

We will not pay for:

a. Indirect or consequential loss; or

b. Loss of use;

caused by or resulting from **mine subsidence**.

D. The Additional Condition – Coinsurance endorsement does not apply to coverage provided by this endorsement.

E. Other Insurance – Mine Subsidence

With respect to coverage provided by this endorsement, the Other Insurance Condition in the Commercial Property Conditions is replaced by the following:

In the event of loss or damage to any **commercial building** or **residence** insured by this endorsement, in excess of the deductible amount, we shall be liable for no greater portion of such loss or damage than the amount provided by this endorsement shall bear to all coverage for **mine subsidence**, whether collectible or not.

All other terms, conditions, provisions and exclusions of this policy remain the same.

Kansas Changes

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

THIS ENDORSEMENT ONLY APPLIES TO LOCATIONS IN KANSAS.

This endorsement modifies the following:

Commercial Property Conditions
Commercial Property Coverage Part
Commercial Property Definitions

A. The Legal Action Against Us Condition in the Commercial Property Conditions is replaced by the following:

Legal Action Against Us

No one may bring a legal action against us under this Commercial Property Coverage Part unless:

1. There has been full compliance with all of the terms of this Commercial Property Coverage Part; and

2. The action is brought within 5 years after the date on which the direct physical loss or damage occurred.

B. The following applies when coverage is provided for townhouse buildings and structures:

1. The following is added:

The Association of Townhouse Owners includes every person or organization who is an owner of a fee simple title to a townhouse unit, for which insurance is provided by this policy.

2. The Control of Property Condition in the Commercial Property Conditions is replaced by the following:

The following will not affect this insurance if beyond your direction or control:

a. Any act or neglect by any occupants or owners of the buildings; or

b. Your failure to comply with any warranty or condition with regard to any portion of a **premises**.

If you violate a condition of this Commercial Property Coverage Part, we will not pay for loss or damage at the involved location. But your coverage will continue for other locations at which the violation does not apply.

3. The following is added to the definition of **personal property** in the Commercial Property Definitions:

Personal property does not mean household and personal property, unless owned by the Association of Townhouse Owners.

4. Subsection **2.** in the Mortgage Holders Condition in the Commercial Property Conditions is replaced by the following:

2. We will pay for covered loss of or damage to buildings or structures to:

a. The Insurance Trustee for the benefit of each Townhouse Owner;

b. The holder of each first mortgage; and

c. The Association;

as interests may appear and as shown on the Townhouse Declaration.

C. The definition of **actual cash value** in the Commercial Property Definitions is replaced by:

Actual cash value means **replacement cost** reduced by each of the following:

a. Physical deterioration;

b. Depreciation; and

c. Obsolescence.

But in no event will the **actual cash value** be higher than the **market value**.

D. The following Condition is added to the Commercial Property Conditions:

When **actual cash value** is used in this Commercial Property Coverage Part, **actual cash value** does not include the following:

1. Costs associated with non-conformity to codes, ordinances, regulations or statutes; and

2. The cost to reconstruct or remodel undamaged portions of **real property**.

All other terms, conditions, provisions and exclusions of this policy remain the same.

Louisiana Changes

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

THIS ENDORSEMENT ONLY APPLIES TO LOCATIONS IN LOUISIANA.

This endorsement modifies the following:

Commercial Property Conditions
Commercial Property Coverage Part
Commercial Property Definitions
Common Policy Conditions

A. The Appraisal Condition in the Commercial Property Conditions is replaced by the following:

Appraisal

If we and you disagree on the value of the property or the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent, disinterested and impartial appraiser who has no direct or indirect financial interest in the claim. The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the value of each item of lost or damaged property as of the date of loss and amount of loss in accordance with the Valuation provisions of the applicable Coverage Form or, if not stated, the **actual cash value** and **replacement cost**. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will not be binding. The Appraisal Condition will not deprive the Louisiana courts of jurisdiction or venue. You shall maintain the right to seek judicial resolution of a dispute.

Each party will:

1. Pay its chosen appraiser; and

2. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim in whole or in part, based on the terms and conditions of the policy.

B. With respect to loss or damage caused by fire, the Concealment, Misrepresentation or Fraud Condition in the Commercial Property Conditions is replaced by the following:

Concealment, Misrepresentation or Fraud – Fire

We do not provide coverage to the insured who, whether before or after a loss, has intentionally concealed or misrepresented any material fact or circumstance, with the intent to deceive, concerning:

1. The insurance provided by this policy;

2. The **covered property**;

3. Your interest in the **covered property**; or

4. A claim under this policy.

C. With respect to loss or damage caused by a **covered cause of loss** other than fire, the Concealment, Misrepresentation or Fraud Condition in the Commercial Property Conditions is replaced by the following:

Concealment, Misrepresentation or Fraud – Other Than Fire

We do not provide coverage for loss or damage if, whether before or after a loss, one or more insureds have intentionally concealed or misrepresented any material fact or circumstance, with the intent to deceive, concerning:

1. The insurance provided by this policy;

2. The **covered property**;

3. Your interest in the **covered property**; or

4. A claim under this policy.

D. The following is added to the Duties in the Event of Loss or Damage Condition in the Commercial Property Conditions and supersedes any provision to the contrary in this Commercial Property Coverage Part:

If loss or damage arises due to a catastrophic event for which a state of disaster or emergency is declared pursuant to law by civil officials, and the **covered property** is located in an area within the declaration, you must submit the proof of loss to us within 180 days, but this 180-day period does not commence as long as the declaration of disaster or emergency is in existence and civil authorities are denying you access to your property.

E. Subsection **5.** of the Loss Payment Condition in the Commercial Property Conditions is replaced by the following:

5. We will pay for the undisputed portion of the loss or damage within 30 days after we receive the satisfactory sworn proof of loss. However, we have no duty to provide coverage under this Commercial Property Coverage Part if you fail to comply with the terms of this Commercial Property Coverage Part and to the extent it is prejudicial to us.

F. Subsections **6.** and **7.** of the Mortgage Holders Condition in the Commercial Property Conditions are replaced by the following:

6. If we cancel a policy that has been in effect for fewer than 60 days and is not a renewal of a policy we issued, we will give written notice to the mortgage holder, pledgee or other known person shown in the policy to have an insurable interest in any loss at least:

a. 10 days before the effective date of cancellation, if we cancel for nonpayment of premium; or

b. 60 days before the effective date of cancellation, if we cancel for any other reason.

If we cancel a policy that has been in effect for 60 days or more, or is a renewal of a policy we issued, we will give written notice to the mortgage holder, pledgee or other known person shown in the policy to have any insurable interest in any loss at least:

a. 10 days before the effective date of cancellation, if we cancel for nonpayment of premium; or

b. 30 days before the effective date of cancellation, if we cancel for any other reason.

7. If we elect not to renew the policy, we will mail or deliver written notice of nonrenewal to the mortgage holder, pledgee or other known person shown in the policy to have an insurable interest in any loss at least 60 days before its expiration date or its anniversary date if it is a policy written for a term of more than one year or with no fixed expiration date.

We need not mail or deliver this notice if:

a. We or another company within our insurance group have offered to issue a renewal policy; or

b. You have obtained replacement coverage or have agreed in writing to obtain replacement coverage.

Any notice of nonrenewal will be mailed or delivered to the mortgage holder, pledgee or other known person shown on the policy to have an insurable interest in any loss, at the last mailing address known to us. If notice is mailed, proof of mailing will be sufficient proof of notice.

Such notice to the insured shall include the insured's loss run information for the period the policy has been in force within, but not to exceed, the last three years of coverage.

G. The Transfer of Rights of Recovery Against Others to Us Condition in the Commercial Property Conditions is replaced by the following:

Transfer Of Rights Of Recovery Against Others To Us

If any person or organization to or for whom we make payment under this Commercial Property Coverage Part has rights to recover damages from another, those rights are transferred to us, but only to the extent of our payment. That person or organization must do everything necessary to secure our rights and cooperate with our efforts to recover our payment and must do nothing after loss to impair our rights. But you may, without restricting your coverage, waive your rights against another party in writing:

1. Prior to a loss.

2. After a loss only if, at the time of loss, that party is one of the following:

a. Someone insured under this Commercial Property Coverage Part;

b. A business firm owned or controlled by you;

c. A business firm or an individual, that owns or controls you; or

d. Your tenant.

If you waive your rights against another party in writing after a loss, we can recover from you any amount you received for that waiver. But we cannot recover more than the amount we paid you for that loss.

Any recovery as a result of subrogation proceedings arising out of a covered loss, net of fees (including legal fees) and expenses we incur in such subrogation proceedings, will be shared with you in the following manner:

1. We will add the amount of any deductible you incurred to the amount of any other provable uninsured loss you incurred. This is your interest.

2. We will determine the proportion your interest bears to the entire provable loss (both insured and uninsured). This is your pro rata share.

3. We will reimburse to you your pro rata share of the recovery after deduction, from the total recovery, of recovery expenses paid by us and after deduction of any legal fees paid by us. We will retain the balance, but only up to the amount we paid you for that loss. We will not owe you any amount for any legal fees or any expenses incurred by you in furtherance of any recovery unless those fees or expenses are approved by us in writing and in advance of your incurring those fees or expenses.

H. The following exclusion and related provisions are added to the Exclusions of each applicable Coverage Form in this Commercial Property Coverage Part:

Intentional Acts

We will not pay for loss or damage arising out of any act committed:

1. By, or at the direction of, the insured; and

2. With the intent to cause a loss.

This exclusion does not apply, with respect to loss to **covered property** caused by fire, to an insured who does not commit or direct another to commit, any act that results in loss by fire. We cover such insured only to the extent of that insured's legal interest, but not exceeding the applicable Limit of Insurance. We may apply reasonable standards of proof to claims for such loss.

I. The definition of **actual cash value** in the Commercial Property Definitions is replaced by the following:

2. **Actual cash value** means **replacement cost** reduced by each of the following:

a. Physical deterioration;

b. Depreciation;

c. Obsolescence; and

d. Depletion.

The term depreciation includes, but is not limited to, the cost of goods, material, labor and services necessary to replace, repair or rebuild damaged property. But in no event will **actual cash value** be higher than **market value**.

J. Subsection **5.** of the Cancellation Condition in the Common Policy Conditions is replaced by the following:

5. If this policy is cancelled, we will return any premium refund due. The cancellation will be effective even if we have not made or offered a refund.

a. If the first Named Insured cancels, the refund will not be less than 90% of the pro rata unearned premium, rounded to the next higher whole dollar. The refund will be returned within 30 days after the effective date of cancellation.

b. If we cancel, the refund will be pro rata and we will send the refund to the first Named Insured.

All other terms, conditions, provisions and exclusions of this policy remain the same.

Mississippi Changes

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

THIS ENDORSEMENT ONLY APPLIES TO LOCATIONS IN MISSISSIPPI.

This endorsement modifies the following:

Commercial Property Conditions

Section **J.** Legal Action Against Us is replaced by the following:

Legal Action Against Us

No one may bring a legal action against us under this Commercial Property Coverage Part unless:

1. All of its terms have been fully complied with; and

2. The action is brought within 3 years after the date on which the loss or damage commenced.

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All other terms, conditions, provisions and exclusions of this policy remain the same.

Missouri Changes

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies the following:

Commercial Property Conditions
Commercial Property Coverage Part
Common Policy Conditions
Real and Personal Property Coverage Form
Scheduled Property Coverage Form

A. Except as provided in **E.** below, the Appraisal Condition in the Commercial Property Conditions is replaced by the following:

Appraisal

If we and you disagree on the value of the property or the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent, disinterested, and impartial appraiser who has no direct or indirect financial interest in the claim and will notify the other of the appraiser selected within 20 days of the written demand for appraisal. The two appraisers will select an umpire. If they cannot agree upon an umpire within 15 days, we or you may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the value of each item of lost or damaged property as of the date of loss and amount of loss in accordance with the Valuation provisions of the applicable Coverage Form or, if not stated, the **actual cash value** and **replacement cost**. If they fail to agree, they will submit their differences to the umpire. The umpire shall make an award within 30 days after the umpire receives the appraisers' submissions of their differences. A decision agreed to by any two will be binding. Each party will:

1. Pay its chosen appraiser; and

2. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim in whole or in part, based on the terms and conditions of the policy.

B. With respect to losses covered by the Business Income Coverage Form (Including Extra Expense) and the Business Income Coverage Form Including Research and Development Continuing Expenses (Including Extra Expense) – Technology, the Appraisal Condition in the Commercial Property Conditions is replaced by the following:

Appraisal

If we and you disagree on the amount of **net income** and **continuing expenses** or the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent, disinterested, and impartial appraiser who has no direct or indirect financial interest in the claim and will notify the other of the appraiser selected within 20 days of the written demand for appraisal. The two appraisers will select an umpire. If they cannot agree upon an umpire within 15 days, we or you may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of **net income** and **continuing expenses** or the amount of loss. If they fail to agree, they will submit their differences to the umpire. The umpire shall make an award within 30 days after the umpire receives the appraisers' submissions of their differences. A decision agreed to by any two will be binding. Each party will:

1. Pay its chosen appraiser; and

2. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim in whole or in part, based on the terms and conditions of the policy.

C. The Concealment, Misrepresentation or Fraud Condition in the Commercial Property Conditions is replaced by the following:

Any case of concealment, misrepresentation or fraud by you or any other insured as it relates to this Commercial Property Coverage Part at any time before or after a loss is grounds for cancellation of the policy. We will not pay you or any other insured, if you or any other insured, at any time before or after a loss, intentionally conceal or misrepresent or fraudulently state a material fact concerning:

1. The insurance provided by this policy;
2. The **covered property**;
3. Your interest in the **covered property**; or
4. A claim under the policy.

D. The Legal Action Against Us Condition in the Commercial Property Conditions is replaced by the following:

No one may bring a legal action against us under this Commercial Property Coverage Part unless:

1. There has been full compliance with all of the terms of this Commercial Property Coverage Part; and
2. The action is brought within 10 years after the date on which the direct physical loss or damage occurred.

E. If partial loss or damage to **covered property** is caused by fire, Subsection **1.** of the Loss Payment Condition in the Commercial Property Conditions is replaced by the following:

1. In the event of partial loss or damage caused by fire and covered by this Commercial Property Coverage Part, at your option, we will either:
   a. Pay you an amount of money equal to the damage done; or
   b. Repair the damage, so that the property is in as good a condition as before the fire.

   But we will not pay more than the Limit of Insurance.

F. The last sentence in Subsection **1.** of the Loss Payment Condition in the Commercial Property Conditions is replaced by the following:

In the event of loss or damage covered under this Commercial Property Coverage Part, we will give you notice, within 15 working days after we receive a properly executed proof of loss, that we:

1. Accept your claim;
2. Deny your claim; or
3. Need more time to determine whether your claim should be accepted or denied.

If we deny your claim, such notice will be in writing, and will state any policy provision, condition or exclusion used as the basis for denial.

If we need more time to determine whether your claim should be accepted or denied, the written notice will state the reasons why more time is needed.

If we have not completed our investigation, we will again notify again in writing, within 45 days after the date the initial notice is sent informing you that we need more time to determine whether your claim should be accepted or denied and thereafter every 45 days. The written notice shall state why more time is needed to investigate your claim.

G. The following is added to the Transfer of Rights of Recovery Against Others To Us Condition in the Commercial Property Conditions:

If we pay an innocent co-insured for loss arising out of an act of domestic violence by another insured, the rights of the innocent co-insured to recover damages from the abuser are transferred to us to the extent of our payment. Following the loss, the innocent co-insured may not waive such rights to recover against the abuser.

H. The following exclusion and related provisions are added to the Exclusions section of every applicable Coverage Form in this Commercial Property Coverage Part:

1. We will not pay for loss or damage arising out of any act an insured commits or conspires to commit with the intent to cause a loss.

In the event of such loss, no insured is entitled to coverage, even insureds who did not commit or conspire to commit the act causing the loss.

2. However, this exclusion will not apply to deny coverage to an innocent co-insured who did not cooperate in or contribute to the creation of the loss, provided the loss is otherwise covered under this Commercial Property Coverage Part and the loss arose out of domestic violence. Such coverage will be provided only if the innocent co-insured files a police report and completes a sworn affidavit indicating both:

a. The cause of the loss; and

b. A pledge to cooperate in any criminal prosecution of the person committing the act causing the loss.

3. If we pay a claim pursuant to **2.** above, our payment to the innocent co-insured will be limited to that insured's ownership interest in the property as reduced by any payment to a mortgagee or other secured interest; however, we shall not be required to make any subsequent payment for any loss for which the innocent co-insured has received payment. In no event will we pay more than the Limit of Insurance.

I. The Transfer of Your Rights and Duties Under This Policy Condition in the Common Policy Conditions is replaced by the following:

1. Transfer By Beneficiary Deed

If you convey **real property** insured under this policy to a person (known as a grantee beneficiary) designated under a beneficiary deed, which has been properly recorded prior to your death, that person will have your rights and duties with respect to the insured **real property**, but only for the period from the date of your death until the first of the following occurs:

a. A period of 30 days from the date of your death;

b. The date that alternative coverage is obtained on your property; or

c. The end of the policy period as shown on the Declarations.

2. Transfer By Other Means Following Death

If you die, your rights and duties will be transferred to your legal representative but only while acting within the scope of duties as your legal representative. Until your legal representative is appointed, anyone having proper temporary custody of your property will have your rights and duties, but only with respect to that property. Your rights and duties under this policy may not be transferred without our written consent except in the case of death of an individual Named Insured.

J. The following is added to the Debris Removal and Contaminant Clean Up and Removal – Land and Water Additional Coverages in the Real and Personal Property Coverage Form, and to the Debris Removal Additional Coverage in the Scheduled Property Coverage Form:

If you fail to report the expenses to us within the 180–day timeframe, such failure will not invalidate a claim under this coverage unless such failure operates to prejudice our rights.

K. Missouri Property and Casualty Insurance Guaranty Association Coverage Limitations

1. Subject to the provisions of the Missouri Property and Casualty Insurance Guaranty Association Act (to be referred to as the Act), if we are a member of the Missouri Property and Casualty Insurance Guaranty Association (to be referred to as the Association), the Association will pay claims covered under the Act if we become insolvent.

2. The Act contains various exclusions, conditions, and limitations that govern a claimant's eligibility to collect payment from the Association and affect the amount of any payment. The following limitations apply subject to all other provisions of the Act:

a. Claims covered by the Association do not include a claim by or against an insured of an insolvent insurer, if the insured has a net worth of more than $25 million on the later of the end of the insured's most recent fiscal year or the December thirty-first of the year next preceding the date the insurer becomes insolvent; provided that an insured's net worth on such date shall be deemed to include the aggregate net worth of the insured and all of its affiliates as calculated on a consolidated basis.

b. Payments made by the Association for covered claims will include only that amount of each claim which is less than $300,000.

However, the Association will not:

(1) Pay an amount in excess of the applicable Limit of Insurance of the policy from which a claim arises; or

(2) Return to an insured any unearned premium in excess of $25,000.

These limitations have no effect on the coverage we will provide under this policy.

All other terms, conditions, provisions and exclusions of this policy remain the same.

Nebraska Changes – Appraisal

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

THIS ENDORSEMENT ONLY APPLIES TO LOCATIONS IN NEBRASKA.

This endorsement modifies the following:

Commercial Property Conditions

A. Except as provided in **B.** below, the Appraisal Condition in the Commercial Property Conditions is replaced by the following:

Appraisal

If we and you disagree on the value of the property or the amount of loss, both parties may agree in writing to an appraisal of the loss and to be bound by the results of that appraisal. If both parties so agree, then each party will select a competent, disinterested and impartial appraiser who has no direct or indirect financial interest in the claim. The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the value of each item of lost or damaged property as of the date of loss and amount of loss in accordance with the Valuation provisions of the applicable Coverage Form or, if not stated, the **actual cash value** and **replacement cost**. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by two will be binding. Each party will:

1. Pay its chosen appraiser; and

2. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim in whole or in part, based on the terms and conditions of the policy.

B. With respect to losses covered by the Business Income Coverage Form (Including Extra Expense) and the Business Income Coverage Form Including Research and Development Continuing Expenses (Including Extra Expense) – Technology, the Appraisal Condition in the Commercial Property Conditions is replaced by the following:

Appraisal

If we and you disagree on the amount of **net income** and **continuing expenses** or the amount of loss, both parties may agree in writing to an appraisal of the loss and to be bound by the results of that appraisal. If both parties so agree, then each party will select a competent, disinterested and impartial appraiser who has no direct or indirect financial interest in the claim. The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of **net income** and **continuing expenses** or amount of loss.

If they fail to agree, they will submit their differences to the umpire. A decision agreed to by two will be binding. Each party will:

1. Pay its chosen appraiser; and

2. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim in whole or in part, based on the terms and conditions of the policy.

All other terms, conditions, provisions and exclusions of this policy remain the same.

Oklahoma Changes – Appraisal

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

THIS ENDORSEMENT ONLY APPLIES TO LOCATIONS IN OKLAHOMA.

This endorsement modifies the following:

Commercial Property Conditions

A. Except as provided in **B.** below, the Appraisal Condition in the Commercial Property Conditions is replaced by the following:

Appraisal

If we and you disagree on the value of the property or the amount of loss, either party may make written demand for an appraisal of the loss. In this event, only the party which demanded the appraisal will be bound by the results of that appraisal.

Each party will select a competent, disinterested and impartial appraiser who has no direct or indirect financial interest in the claim and notify the other of the appraiser selected within 20 days after the written demand for an appraisal has been made. The two appraisers will select an umpire. If they cannot agree upon an umpire within 15 days, then, at the request of either you or us, and after notice of hearing to the non–requesting party by certified mail, selection of the umpire will be made by a judge of a district court in the county where the loss occurred. The appraisers will state separately the value of each item of lost or damaged property as of the date of loss and amount of loss in accordance with the Valuation provisions of the applicable Coverage Form or, if not stated, the **actual cash value** and **replacement cost**. If the appraisers submit a written report of agreement to us, the amounts agreed upon will be the value of the property and the amount of loss and will be binding on the party which demanded the appraisal. If the appraisers fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding on the party which demanded the appraisal. Each party will:

1. Pay its chosen appraiser; and

2. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim in whole or in part, based on the terms and conditions of the policy.

B. With respect to losses covered by the Business Income Coverage Form (Including Extra Expense) and the Business Income Coverage Form Including Research and Development Continuing Expenses (Including Extra Expense) – Technology, the Appraisal Condition in the Commercial Property Conditions is replaced by the following:

Appraisal

If we and you disagree on the amount of **net income** and **continuing expenses** or the amount of loss, either party may make written demand for an appraisal of the loss. In this event, only the party which demanded the appraisal will be bound by the results of that appraisal.

Each party will select a competent, disinterested and impartial appraiser who has no direct or indirect financial interest in the claim and notify the other of the appraiser selected within 20 days after the written demand for an appraisal has been made. The two appraisers will select an umpire. If they cannot agree upon an umpire within 15 days, then, at the request of either you or us, and after notice of hearing to the non–requesting party by certified mail, selection of the umpire will be made by a judge of a district court in the county where the loss occurred. The appraisers will state separately the amount of **net income** and **continuing expenses** or amount of loss. If the appraisers submit a written report of agreement to us, the amounts agreed upon will be the value of the property and the amount of loss and will be binding on the party which demanded the appraisal. If the appraisers fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding on the party which demanded the appraisal. Each party will:

1. Pay its chosen appraiser; and

2. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim in whole or in part, based on the terms and conditions of the policy.

All other terms, conditions, provisions and exclusions of this policy remain the same.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

MISSOURI – CALCULATION OF ADDITIONAL PREMIUM

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART
STANDARD PROPERTY POLICY

A. If changes are made to this policy after the beginning of the current policy period, and such changes require an additional premium, the additional premium will be pro rated to recognize the actual period of coverage.

B. Changes To A Covered Location

If changes are made to a location that was covered at the beginning of the current policy period, and those changes require additional premium (e.g., an increase in the limit of insurance), we will calculate the additional premium using the rates and rules which were in effect on the effective date of the current policy period.

C. Additional Locations

1. If a location(s) is added to the policy after the beginning of the current policy period, we will calculate the premium for that location(s), including all coverages, options and causes of loss at that location(s), using the rates and rules which are in effect when the location(s) is added.

2. If changes are subsequently made to a location(s) described in **C.1.** above, and those changes require additional premium, we will calculate the additional premium using the rates and rules which were in effect when the location(s) was added.

D. Any additional premium calculated in accordance with this endorsement will be charged in full, whether or not we applied a policywriting minimum premium in developing the premium that was charged at the beginning of the current policy period.

